

BEFORE THE
FEDERAL MARITIME COMMISSION

DOCKET NO. 15-04

CROCUS INVESTMENTS, LLC AND CROCUS, FZE

(Complainants)

v.

MARINE TRANSPORT LOGISTICS, INC. AND
ALEKSANDR SOLOVYEV a/k/a ROYAL FINANCE GROUP INC.

(Respondents)

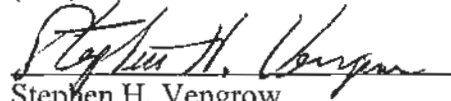
**RESPONDENT MARINE TRANSPORT LOGISTICS, INC.'S APPENDIX OF
DOCUMENTS IN REPLY TO COMPLAINANTS' EXCEPTIONS TO THE JUNE 17,
2016 INITIAL DECISION**

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DOCKET NO. 15-04

Dated: April 4, 2017
New York, NY

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Resp. App. “1”

FEDERAL MARITIME COMMISSION

DOCKET NO. 15-04

CROCUS INVESTMENTS, LLC AND CROCUS FZE

v.

**MARINE TRANSPORT LOGISTICS, INC. and
ALEKSANDR SOLOVYEV a/k/a ROYAL FINANCE GROUP INC.**

INITIAL DECISION

I. INTRODUCTION AND SUMMARY OF DECISION.

On May 27, 2015, complainants Crocus Investments, LLC, and Crocus FZE commenced this proceeding by filing a Complaint with the Secretary. Crocus Investments and Crocus FZE are owned and operated by Alexander Safonov. The Complaint alleges that respondents Marine Transport Logistics, Inc. (MTL) and Aleksandr Solovyev a/k/a Royal Finance Group, Inc., violated section 41102(c) of the Shipping Act of 1984 (Shipping Act or Act) when handling three boats. MTL is licensed by the Commission as a non-vessel-operating common carrier (NVOCC), license number 018709. Aleksandr Solovyev (Solovyev) operates Royal Finance Group, Inc. (RFG) and two other companies that are relevant to this proceeding. Solovyev at times works as an agent for MTL. MTL is owned and operated by Solovyev's wife Alla Solovyeva from whom he was and is separated. The Complaint alleges that Solovyev violated section 40901 of the Act by operating as an ocean transportation intermediary without holding a valid license to do so.

As set forth more fully below, in separate shipments, MTL operated as an NVOCC when it transported by water two of the boats at issue from the United States to Dubai, United Arab Emirates, and delivered them to the consignee without problem. Complainants do not claim that Respondents violated the Act on these shipments. The boats were then returned to the United States and delivered to MTL as consignee. Complainants contend that MTL operated as an NVOCC on this shipment, but the evidence does not establish that MTL operated as an NVOCC. The evidence establishes that the third boat never left the United States; therefore, the third boat never entered into

international commerce, the Shipping Act does not apply, and the Commission does not have jurisdiction to resolve disputes regarding its handling. Complainants have not proved by a preponderance of the evidence that Respondents violated the Act. Therefore, the Complaint is dismissed.

Part II of this decision sets forth the background in narrative form, Part III the procedural background, Part IV the controlling authority, and Part V the findings of fact on which the narrative and this decision is based. Parts VI and VII address the claims that Respondents violated the Act. Part VIII finds that as a prevailing party, Respondents may be awarded reasonable attorney fees.

II. BACKGROUND.

Entrepreneur – one who organizes, manages, and assumes the risks of a business or enterprise.¹

This proceeding is essentially about the business dealings of two entrepreneurs. Alexander Safonov (Safonov), the owner of Complainants, has a degree in jurisprudence from the Moscow State Law Academy. After graduating, Safonov registered a company in Moscow and spent the next three to six years buying and selling real estate until he bought an apartment for himself. Safonov then registered another company in Moscow to engage in engineering and communication. He ran this business until 2011 when he closed it and moved to Dubai. Safonov saw a business opportunity in purchasing used boats in the United States and shipping them to Dubai for repair and resale. In Dubai, Safonov opened and began operating complainant Crocus FZE to pursue investment opportunities. He then opened and operated another company relevant to this proceeding called Middle East Asia Alfa, FZC (Middle East Asia). “[T]here was agreement between Crocus FZE and company, Middle East Asia Alfa, that I [Safonov], as Crocus FZE, invest my money into Middle East Asia Alfa.” Middle East Asia was involved in the events that resulted in this proceeding, but is not a party. In 2013, Safonov opened complainant Crocus Investments, LLC (Crocus Investments), a Florida limited liability company. Safonov was the 100% owner of Crocus Investments and Crocus FZE and co-owner of Middle East Asia with decision-making rights for the company. (ALJFF 1-8.)

Respondent Solovyev, who holds a bachelors degree in music from a college in Moscow, operates or acts as agent for several businesses useful to someone who wants to purchase used boats in the United States and ship them overseas. In 2007, Solovyev relocated to New Jersey where he incorporated World Express & Connection, Inc. (World Express), a warehouse. World Express was involved in the events that resulted in this proceeding as it operates a warehouse in which the boats that are the subject of this proceeding were stored, but is not named as a respondent. Solovyev is

¹ Merriam-Webster, <http://www.merriam-webster.com/dictionary/entrepreneur> last visited May 27, 2016.

also the sole owner, officer, and director of respondent Royal Finance Group, Inc. (RFG).² RFG advances payments on international transactions on behalf of its customers for the purchase of used vehicles and boats at auction and for payment of transportation charges. Solovyev is also the sole owner, officer, and director of Car Express & Import, Inc. (Car Express). *Inter alia*, at the request of customers, Car Express purchases automobiles and boats from auctions and arranges on behalf of that customer for the transportation of the automobile or boat from the United States to a foreign country. (ALJFF 21.) Solovyev is married to Alla Solovyeva, although they are now separated. (ALJFF 17.) Alla Solovyeva owns respondent MTL. (ALJFF 16.) MTL and World Express are both located at 63 New Hook Road, Bayonne, NJ 07002. Solovyev/Car Express also acts as an agent for MTL on shipments transported by MTL. (ALJFF 28.)

Safonov, located in Dubai, contacted Solovyev, located in the United States, to engage his services and companies to assist in the purchase of used boats in on-line auctions operated by Copart, a company that conducts Internet auctions to sell used motor vehicles and boats. Safonov and Solovyev would view boats online and Safonov would decide which boats to purchase. Solovyev, operating as his companies and as agent for respondent MTL, would then carry out the tasks necessary to purchase the boats and transport them to Dubai. Car Express, identified as a “member” of Copart, would purchase the boats from Copart on behalf of Safonov’s companies. RFG provided financial services. One of Safonov’s companies would wire the money for purchase or transportation of a boat to RFG which would then transfer the money to the appropriate recipient – Copart for the purchase or respondent MTL for transportation, and RFG would retain a fee. World Express stored the boats before they were loaded on board vessels to be transported to Dubai. MTL operated as an NVOCC on the shipments of the boats from the United States to Dubai. Solovyev through his company Car Express would act as an agent for MTL in arranging the shipment. Approximately ten boats were purchased using this process. With one exception, the boats were sent to Middle East Asia in Dubai for repair and resale there. (ALJFF 29-37.)

Safonov and Solovyev each state that they are the sole decision-makers for their corporations, and of course, a corporation can only act through the natural persons who run it or are employed by it. The record suggests that both Safonov and Solovyev are somewhat casual about following corporate formalities. For instance, Safonov formed Middle East Asia to purchase used boats in the United States to be shipped overseas for repair and sale in Dubai, but Crocus FZE or Crocus Investments, not Middle East Asia, paid for the boats and their transportation. Solovyev used his corporation Car Express to purchase the boats from Copart for Safonov, used his corporation RFG to send invoices for the purchase and other costs, used his corporation World Express to store the boats, and arranged for shipping to Dubai in his role as agent for MTL. For that reason, in this narrative, I often refer to Safonov and Solovyev instead of their corporate identities.

On April 13, 2013, Safonov purchased the first boat that is a subject of this proceeding – a 2011 Monterey 20', VIN RGFMC1931011. On April 13, 2013, Crocus FZE wired \$30,000 to RFG

² The caption identifies “Aleksandr Solovyev a/k/a Royal Finance Group Inc.” as a respondent.

as payment for the Monterey and another invoice. The Monterey invoice indicates that Safonov³ paid \$9,855 for the Monterey, \$800 for delivery (apparently to World Express/MTL in New Jersey), \$2,400 for loading/shipping to Dubai, \$500 for commission, \$400 for documentation, and \$900 for a trailer for the boat, a total of \$14,855. Safonov instructed Solovyev to ship the Monterey to Dubai. On May 5, 2013, MTL through its agent Solovyev issued bill of lading number HBOL 13535 identifying "Tretykov Andrey" as shipper, Middle East Asia Alfa, FZE, as consignee, New York as port of loading, and Jebel Ali as port of unloading, and identifying the cargo to include the Monterey. Also on May 5, 2013, vessel-operating common carrier (VOCC) Maersk Line issued Maersk non-negotiable waybill number 560010878 identifying MTL as shipper, Middle East Asia Alfa, FZE, as consignee, Newark as port of loading, and Jebel Ali, United Arab Emirates, as port of unloading, and identifying the cargo to include the Monterey. The Monterey was transported by water to Dubai and delivered to Middle East Asia. MTL operated as an NVOCC on this shipment. Complainants do not contend that Respondents violated the Shipping Act during the transportation of the Monterey from the United States to Dubai. (ALJFF 44-50.)

On May 7, 2013, Safonov purchased the second boat that is a subject of this proceeding – a 2008 Chaparral, VIN FGDL 3738D808. The RFG invoice indicates that Middle East Asia was charged \$10,505 for the Chaparral, \$800 for delivery, \$2,400 for loading/shipping to Dubai, \$450 for commission, \$400 for documentation, and \$900 for a trailer, a total of \$15,455. I do not find proof of payment for the Chaparral in the record, but in closing argument, counsel for Respondents acknowledged that "there is really no dispute from respondents' side that the Monterey and the Chaparral were ultimately paid for by one of Mr. Sofonov's companies." Closing Argument Transcript 49:3-6.⁴ Safonov instructed Solovyev to ship the Chaparral to Dubai. On May 22, 2013, MTL issued bill of lading number EO-20756 identifying MTL as shipper, Middle East Asia Alfa, FZE, as consignee, Newark as port of loading, and Jebel Ali as port of unloading, and identifying the cargo to include the Chaparral. On May 25, 2013, Maersk Line issued Maersk non-negotiable waybill number 560083476 identifying MTL as shipper, Middle East Asia Alfa, FZE, as consignee, Newark as port of loading, and Jebel Ali, United Arab Emirates, as port of unloading, and identifying the cargo to include the Chaparral. The Chaparral was transported by water to Dubai and delivered to Middle East. (ALJFF 51-56.) MTL operated as an NVOCC on this shipment. Complainants do not contend that Respondents violated the Shipping Act during the transportation of the Chaparral from the United States to Dubai.

³ The invoice identifies Andrey Tretyakov, the Middle East employee in Dubai, as the purchaser.

⁴ During closing argument, counsel for Complainants suggested that the \$30,000 wire transfer to RFG on April 13, 2013, was for the Chaparral as well as the Monterey. Closing Argument Transcript 47:6-19. The Chaparral was not purchased and invoice 1177AT issued until May 7, 2013, so the April 13, 2013, wire transfer for invoices 1168AT and 1174 could not have been meant for payment of the Chaparral.

On August 7, 2013, Safonov instructed Solovyev to purchase a 2010 Formula boat 34PC, VIN TNRD7870C010 with the intention of sending the boat to Dubai for repair and resale. Solovyev, through Car Express, purchased the Formula for a total of \$56,280. The Formula required a trailer for ocean shipment. The record contains three different RFG invoices with the same number for this purchase. On August 7, 2013, RFG issued invoice #1189AT to Alexander Safonov, Crocus Investments in the amount of \$56,280 for purchase of the Formula and \$3,500 for delivery, a total of \$59,780. Also on August 7, 2013, RFG issued invoice #1189AT to Andrey Tretyakov, Dubai, UAE, Middle Asia Alfa in the amount of \$56,280 for purchase of the Formula, \$3,500 for delivery, \$12,000 for loading/shipping to Dubai, \$500 for commission, \$500 for documentation, and \$4,500 for a trailer, a total of \$77,280. Then on August 8, 2013, RFG issued invoice #1189AT to Crocus FZE in the amount of \$56,280.00 for purchase of the Formula, \$3,500 for delivery, \$12,000 for loading and shipping the Formula to Dubai, \$500 for commission, \$500 for documentation, and \$4,500 for a trailer, a total of \$77,280. On August 9, 2013, Crocus Investments wired \$59,780 to RFG to pay the \$56,280.00 for the Formula and the \$3,500 for delivery to the port of loading. Complainants did not pay the \$12,000 for loading and shipping the Formula to Dubai, \$500 for commission, \$500 for documentation, or \$4,500 for a trailer. (ALJFF 83-89.)

In November 2013, Solovyev told Safonov that he had found a trailer for the Formula but Safonov did not like the trailer. In December 2013, Solovyev offered what Safonov found to be a suitable trailer. The record contains three different RFG invoices with number 1204AS issued on December 3, 2013. The first is to Crocus FZE in the amount of \$12,000 for loading and shipping the Formula to Dubai, \$500 for commission, and \$500 for documentation. (CX 028.) The second invoice is to Crocus FZE in the amount of \$4,950 for boat trailer 2005 NTTRL VIN LW95151. (CX 035.) The third invoice is to Crocus FZE in the amount of \$4,950 for boat trailer 2005 NTTRL VIN LW95151, \$12,000 for loading/shipping the Formula to Dubai, \$500 for commission, and \$500 for documentation. (CX 038.) On December 4, 2013, Crocus FZE wired \$4,950 to RFG to pay for boat trailer 2005 NTTRL VIN LW95151. The record does not contain any evidence that Complainants paid the \$12,000 for loading/shipping the Formula to Dubai, \$500 for commission, or \$500 for documentation.

Safonov reached the conclusion that Tretyakov, the Middle East Asia employee in Dubai, "started to become a crook" and decided that he did not want to deal with "crooks." On February 14, 2014, Safonov sent an email to Solovyev stating: "I am sending you the name of the company in Florida—from which you have received the money for Formula-34—please prepare all documents for the boat reflecting this company's information and send me all copies, ok? Do you know if copies of the documents will be enough to transfer Formula to Florida? It is good that we did [not] have time to send it to Dubai." (CX 055.) Solovyev did not send the Formula to Florida.

The Monterey and the Chaparral remained in Dubai for about one year. Middle East Asia repaired the boats and, along with several other boats, they were offered for sale on March 1, 2014. Middle East Asia was able to sell several boats that had been purchased by Safonov using Solovyev's services, but was not able to sell the Monterey and the Chaparral. (ALJFF 57-58.)

After the Monterey and the Chaparral did not sell, Safonov instructed two employees of Middle East Asia to arrange for the shipment of the boats back to the United States. A representative for Middle East Asia contacted Solovyev for assistance in arranging the shipment. On April 25, 2014, Solovyev sent an email from his address at mtlworld@mtlworld.com to Zahedi at Emirates Logistics, a freight forwarder in Dubai, stating "hi Zahedi, can u offer me 40hc, ocean freight only Dubai-NY, cargo boats?" Zahedi forwarded the email to Linnet at Emirates Logistics with a cc to Solovyev [sic] stating "Ms. Linnet, Plz assist with rate. Rgds/Zahedi." On April 27, 2014, Linnet at Emirates Logistics sent Solovyev rates of US \$2492 on VOCC Hapag Lloyd and US \$3411 on VOCC MSC. (ALJFF 59-62.)

On May 30, 2014, another VOCC, APL, issued APL bill of lading number APLU 020188407 identifying Middle East Asia Alfa, FZE, as shipper, AEC Cargo Services LLC as the forwarding agent, MTL as consignee, Jebel Ali, Dubai, as port of loading, and Maher Terminal, NJ, as port of unloading, and identifying the cargo to include the Chaparral and the Monterey. Emirates Logistics, Solovyev's contact in Dubai, is not mentioned on the APL bill of lading. MTL is not mentioned on the APL bill of lading except as consignee and MTL did not issue a bill of lading assuming responsibility for transporting the boats on their return voyage. Neither Hapag Lloyd nor MSC transported the Monterey and the Chaparral back to the United States and Emirates Logistics did not act as a forwarding agent on the shipment. APL issued a Notice of Arrival to MTL with an ETA of July 12, 2014. On July 23, 2014, Fauna & Flora Customhouse issued an invoice to MTL in the amount of \$615.70 for duty, custom entry service fee, bond preparation, and importer security filing (ISF) bond for the Monterey and Chaparral, and on August 26, 2014, MTL paid \$615.70 to Fauna & Flora. Solovyev notified Safonov that the Chaparral and the Monterey arrived in the United States and the boats were stored in the warehouse operated by World Express. (ALJFF 63-70.)

The Monterey and the Chaparral arrived in New Jersey from Dubai on or about July 12, 2014. On July 17, 2014, Safonov sent an email to Solovyev stating: "Aleksandr – please calculate the shipping from you to Ft. Lauderdale – Formula-34, + 2 boats that arrived from Dubai" followed by emails on July 24, 2014, and August 3, 2014, asking Solovyev to send the boats to Florida. On August 13, 2014, Solovyev sent Safonov an email requesting payment of invoices for storage of the three boats: an invoice to Crocus Investment for \$38,859.39 for 369 days of storage of the Formula, and an invoice to Crocus Investment for the port fee for the container that transported the Monterey and the Chaparral from Dubai to the United States, \$1,200 for custom clearance, \$1,250 for delivery and unloading/documentation/tracking/return empty back, \$700 for delivery to the storage lot/put together trailer and boat, \$800 for thirty-two days storage of the Chaparral, and \$800 for thirty-two days storage of the Monterey. On August 19, 2014, Safonov sent an email demanding the boats and threatening legal action. (ALJFF 93-99.)

Safonov and Solovyev had at least one other business transaction during this period. Solovyev purchased two automobiles – a Mercedes and a Porsche – in the United States and shipped them to Middle East Asia in Dubai for repair and sale in Dubai. (ALJFF 101-102.)

Safonov commenced this proceeding before the Commission on May 27, 2015, and on November 15, 2015, World Express commenced an action against Crocus Investments, Crocus FZE, Alexander Safonov, and Middle East Asia in the United States District Court for the District of New Jersey seeking unpaid storage fees for the Monterey, the Chaparral, and the Formula. (ALJFF 100.)

III. PROCEDURAL HISTORY.

Crocus International and Crocus FZE filed their Complaint on May 27, 2015, and Respondents filed their Answer on July 10, 2015. The parties engaged in discovery. The parties completed their briefing on the merits on February 25, 2016. On March 3, 2016, Complainants were ordered to file translations of document in languages other than English that they had included in their appendix. *Crocus Investments, LLC and Crocus, FZE v. Marine Transport Logistics, Inc. and Aleksandr Solovyev a/k/a Royal Finance Group Inc. (Crocus v. MTL)*, FMC No. 15-04 (ALJ Mar. 3, 2016) (Order to File English Translations of Documents in Languages Other than English). Complainants filed the translations on March 23, 2016. On April 12, 2016, the parties were each ordered to file all shipping documents relating to the transportation of the Monterey and the Chaparral from Dubai back to the United States.

On April 26, 2016, two months after briefing on the merits had concluded, Complainants sought leave to amend their Complaint. The proposed amended complaint sought to clarify factual allegations in the original Complaint and did not allege any new violations of the Act. The motion to amend was denied. *Crocus v. MTL*, FMC No. 15-04 (ALJ Apr. 27, 2016) (Order Denying Motion to Amend Complaint).

On May 13, 2016, the parties appeared by telephone for closing argument. A transcript was made of the testimony and is part of the record. The parties' contentions in the closing argument have been considered along with their written briefs.

IV. CONTROLLING AUTHORITY.

A. Statutory Background.

Complainants filed their Complaint pursuant to section 41301 of the Act.

A person may file with the . . . Commission a sworn complaint alleging a violation of this part, except section 41307(b)(1). If the complaint is filed within 3 years after the claim accrues, the complainant may seek reparations for an injury to the complainant caused by the violation.

46 U.S.C. § 41301(a).

The Complaint alleges that MTL is an NVOCC licensed by the Commission. (Complaint ¶ 7.) "The term 'non-vessel-operating common carrier' means a common carrier that – (A) does not

operate the vessels by which the ocean transportation is provided; and (B) is a shipper in its relationship with an ocean common carrier.” 46 U.S.C. § 40102(16).

The term “common carrier” – (A) means a person that – (i) holds itself out to the general public to provide transportation by water of passengers or cargo between the United States and a foreign country for compensation; (ii) assumes responsibility for the transportation from the port or point of receipt to the port or point of destination; and (iii) uses, for all or part of that transportation, a vessel operating on the high seas or the Great Lakes between a port in the United States and a port in a foreign country.

46 U.S.C. § 40102(6).

The Act prohibits NVOCCs from taking certain actions. Paragraph 28 of the Complaint alleges that Respondents violated section 41102(c) of the Act: “A common carrier, marine terminal operator, or ocean transportation intermediary may not fail to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property.” 46 U.S.C. § 41102(c).

The Complaint also alleges that “[r]espondent Solovyev, doing business as Royal Finance Group violated 46 U.S.C. § 40901(a) when it presented invoices and collected payment for MTL’s transportation services acting in essence as an ocean transportation intermediary without holding a valid license to do so.” (Complaint ¶ 29.) Section 40901 provides:

A person in the United States may not act as an ocean transportation intermediary unless the person holds an ocean transportation intermediary’s license issued by the Federal Maritime Commission. The Commission shall issue a license to a person that the Commission determines to be qualified by experience and character to act as an ocean transportation intermediary.

46 U.S.C. § 40901(a).

The Complaint alleges that the Complainants were injured by Respondents’ alleged violations and seeks a reparation award for their injuries. (Complaint ¶¶ 25-27.) The Act defines actual injury.

(a) *Definition.* – In this section, the term “actual injury” includes the loss of interest at commercial rates compounded from the date of injury.

(b) *Basic amount.* – If the complaint was filed within the period specified in section 41301(a) of this title, the . . . Commission shall direct the payment of reparations to the complainant for actual injury caused by a violation of this part.

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(e) *Attorney Fees.* – In any action brought under section 41301, the prevailing party may be awarded reasonable attorney fees.

46 U.S.C. § 41305.

B. Evidence and Burden of Persuasion.

Under the Administrative Procedure Act (APA), an administrative law judge may not issue an order “except on consideration of the whole record or those parts thereof cited by a party and supported by and in accordance with the reliable, probative, and substantial evidence.” 5 U.S.C. § 556(d). *See also Steadman v. SEC*, 450 U.S. 91, 102 (1981). All documents provided by the parties in support of their arguments are admitted as evidence. This initial decision is based on the Complaint and Answer, the parties’ briefs, the appendices filed with the briefs, the supplemental evidence filed by the parties, and the parties’ oral arguments.

This initial decision addresses only material issues of fact and law. It is not necessary to resolve disagreements on matters not material to the outcome of this proceeding. Administrative adjudicators are “not required to make subordinate findings on every collateral contention advanced, but only upon those issues of fact, law, or discretion which are ‘material.’” *Minneapolis & St. Louis R.R. Co. v. United States*, 361 U.S. 173, 193-194 (1959); *In re Amrep Corp.*, 102 F.T.C. 1362, 1670 (1983).

A complainant alleging a violation of the Shipping Act “has the initial burden of proof to establish the[] violation[]”. The applicable standard of proof is one of substantial evidence, an amount of information that would persuade a reasonable person that the necessary premise is more likely to be true than to be not true.” *AHL Shipping Company v. Kinder Morgan Liquids Terminals, LLC*, FMC No. 04-05, 2005 WL 1596715, at *3 (ALJ June 13, 2005). *See* 5 U.S.C. § 556(d) (“Except as otherwise provided by statute, the proponent of a rule or order has the burden of proof.”); 46 C.F.R. § 502.155. “[A]s of 1946 the ordinary meaning of burden of proof [in section 556(d)] was burden of persuasion, and we understand the APA’s unadorned reference to ‘burden of proof’ to refer to the burden of persuasion.” *Director, Office of Workers' Compensation Programs v. Greenwich Collieries*, 512 U.S. 267, 276 (1994). The party with the burden of persuasion must prove its case by a preponderance of the evidence. *Steadman v. SEC*, 450 U.S. at 102. “[W]hen the evidence is evenly balanced, the [party with the burden of persuasion] must lose.” *Greenwich Collieries*, 512 U.S. at 281. It is appropriate to draw inferences from certain facts when direct evidence is not available, and circumstantial evidence alone may even be sufficient; however, such findings may not be drawn from mere speculation. *Waterman Steamship Corp. v. General Foundries, Inc.*, 26 S.R.R. 1173, 1180 (ALJ 1993), adopted in relevant part, 26 S.R.R. 1424 (FMC 1994).

V. FINDINGS OF FACT.

The parties submitted appendices containing documents relevant to the claims in this proceeding and additional documents as ordered by the undersigned. All documents are admitted as evidence. Closing Argument Transcript 5:7-6-5.

1. Complainant Crocus Investments, LLC (Crocus Investments) is a Florida limited liability company. (CX 001-002.)⁵
2. Alexander Safonov (Safonov) is the 100% owner of complainant Crocus Investments. (RX 58 (Dep. of Safonov, 8:8-10); Resp. Comp. Prop. FF 1.)
3. Complainant Crocus FZE is a Free Zone Establishment licensed by the United Arab Emirates. (CX 003.)
4. Safonov is the 100% owner of complainant Crocus FZE. (RX 65 (Dep. of Safonov 37:11-12); Resp. Comp. Prop. FF 1.)
5. Safonov is the co-owner of Middle East Asia Alfa, FZC (Middle East Asia), not a party to this proceeding, and had decision-making rights for the company. (RX 60 (Dep. of Safonov 16:10-18); RX 61 (Dep. of Safonov 19:18-25); Resp. Comp. Prop. FF 2.)
6. Safonov formed Middle East Asia with Oleg Bortsov to purchase used boats in the United States and ship the boats overseas for repair and sale in Dubai. (RX 60 (Dep. of Safonov 17:7-8); RX 61 (Dep. of Safonov 18, 20-21); RX 62 (Dep. of Safonov 23-25).)
7. Safonov was co-owner with decision-making rights for Middle East Asia. (RX 60 (Dep. of Safonov 16:15-18).)
8. “[T]here was agreement between Crocus FZE and company, Middle East Asia Alfa, that I [Safonov], as Crocus FZE, invest my money into Middle East Asia Alfa.” (RX 67 (Dep. of Safonov 42:14-19).)
9. Middle East Asia employed Andrey Tretyakov (Tretyakov) as an associate in Dubai. (RX 61 (Dep. of Safonov 18:21-23); Resp. Comp. Prop. FF 2.)
10. Tretyakov also owned an interest in Middle East Asia. Closing Argument Transcript at 9-10.

⁵ “CX” followed by a number refers to a page in Complainants’ Appendix, “RX” followed by a number 1-89 refers to a page in Respondents’ Appendix, “RX” followed by a number 90-95 refers to Respondents’ Notice of Filing dated May 4, 2016, “Resp. Comp. Prop. FF” refers to Respondents’ Proposed Findings of Fact and Response to Complainants’ Proposed Findings of Fact filed February 11, 2016.

11. Middle East Asia sold seven boats in Dubai that had been purchased in the United States. (RX 67 (Dep. of Safonov 42:23-25).)
12. Until the summer of 2014, Safonov lived in Dubai, United Arab Emirates. (RX 58 (Dep. of Safonov 6:11-12).)
13. In business situations, Safonov sometimes acts as Crocus Investments, sometimes as Crocus FZE, and sometimes as Middle East Asia. (Closing Argument Transcript at 8.)
14. Respondent Marine Transport Logistic, Inc. (MTL) is licensed by the Commission as a non-vessel-operating common carrier, license number 018709. Official notice of Commission records, <http://www2.fmc.gov/oti/NVOCC.aspx>, last visited June 13, 2016.
15. MTL is located at 63 New Hook Road, Bayonne, NJ 07002. Official notice of Commission records, <http://www2.fmc.gov/oti/NVOCC.aspx>, last visited June 13, 2016.
16. Alla Solovyeva is the owner of MTL. (Resp. Comp. Prop. FF 8.)
17. At the time the relevant events occurred, respondent Aleksandr Solovyev (Solovyev) and Alla Solovyeva were husband and wife, but separated. (Resp. Comp. Prop. FF 8; RX 30 (Dep. of Aleksandr Solovyev 11:20-12-5).)
18. Solovyev uses the email address mtlworld@mtlworld.com. (Resp. Comp. Prop. FF 9.)
19. Alla Solovyeva uses the email address alla@mtlworld.com. (Resp. Comp. Prop. FF 10.)
20. Solovyev is the sole owner, officer, and director of Car Express & Import, Inc. (Car Express). (Complaint ¶ 6; Answer ¶¶ 5, 6.)
21. At the request of customers, Car Express purchases automobiles and boats from auctions and arranges on behalf of that customer for the transportation of the automobile or boat from the United States to a foreign country. (Complaint ¶¶ 5, 9; Answer ¶¶ 5, 9.)
22. Solovyev is the sole owner, officer, and director of the owner of respondent Royal Finance Group, Inc. (RFG). (Complaint ¶ 6; Answer ¶ 6.)
23. Solovyev is the owner, officer, and director of World Express & Connection, Inc. (World Express). (Resp. Comp. Prop. FF 6.)
24. World Express is a warehouse company providing loading and storage services for vehicles, boats, and other cargo, including for ocean transportation from the United States to foreign ports. (Resp. Comp. Prop. FF 6; RX 32 (Dep. of Aleksandr Solovyev 20:13-22).)

25. World Express is located at 63 New Hook Road, Bayonne, NJ 07002. (Resp. Comp. FF 7.)
26. MTL's tariff provides that MTL's container freight station/container yard (CFS/CY) "may be a designated warehouse. Shipper, at its own expense, will deliver its vehicle to [MTL's] designated warehouse for loading into the container for movement to the U.S. load port." (CX 178.)
27. MTL uses World Express as its CFS/CY. (RX 14 (Dep. of Alla Solovyeva at 33-36).)
28. At times, Solovyev or one of his companies acts as agent for MTL. (CX 024 (Email dated October 31, 2013, from Solovyev to Complainants).)
29. Safonov engaged Solovyev and his three companies to perform services for Safonov and his three companies to purchase used boats in the United States and ship the boats to Dubai for repair and resale. (RX 63 (Dep. of Safonov 28:21-23).)
30. Copart is a company that conducts Internet auctions of vehicles and boats in part by posting photographs and descriptions of the vehicles and boats online. (RX 64 (Dep. of Safonov 32:13-22).)
31. Safonov and Solovyev would view boats together online and Safonov would decide which boats to purchase. (RX 63 (Dep. of Safonov 29:1-12); RX 68 (Dep. of Safonov 46:3-23).)
32. All of the boats were purchased from the auction company Copart. (RX 64 (Dep. of Safonov 30:6-13).)
33. Car Express was a member of Copart and was able to purchase boats from Copart on behalf of buyers. (CX 115, 118.)
34. When Safonov wanted Aleksandr Solovyev to purchase a boat, RFG would often pay for the boat and incur other fees related to the purchase.
35. [RFG] advanced payments on behalf of the foreign Complainants to Co-Part (a U.S. auction site), and to other companies (e.g. MTL, Car Express, inland trucking companies). This was done as a convenience to Complainants so that Complainants would only need to make a single "lump sum" wire-transfer payment to RFG and, accordingly, could avoid paying the fees associated with sending multiple wire transfers. In this way, Complainants would also avoid incurring penalties for late payment to the auction site, which could occur if there are delays with the foreign wire transfers. (See Dep. Tr. of [Aleksandr] Solovyev, at 45-17 - 47:25). RFG, in turn, charged

a commission to Complainants for its services. (*See* Dep. Tr. of [Aleksandr] Solovyev, at 46:8-14).

(Resp. Comp. Prop. FF 4; Closing Argument Transcript 36:9-39:11.)

36. Q Did Royal Finance Group receive payment on behalf of MTL?
A Yes.
Q Why did it do that?
A Because it was easy to receive one lump sum from Dubai and Andre was asking to pay once to the company for the all services out of USA and Royal Finances – Royal Finance Group was receiving money for all services, five, six services and paying on behalf of the customer for all the services up to shipping to the pay Dubai.
Q So Royal Finance Group would receive money on behalf of MTL and then pay MTL its portion for its services?
A Yes.

(RX 41 (Dep. of Aleksandr Solovyev 54:19-55:10); Closing Argument Transcript 37-39).)

37. Solovyev through RFG forwarded payments he had collected from Complainants for MTL's shipping services to MTL. (Resp. Comp. Prop. FF 5.)
38. Safonov or a Middle East Asia associate "Sergey" had final decision-making authority about which boats to buy. (RX 63 (Dep. of Safonov 29:1-12).)
39. Safonov purchased about ten boats using Solovyev's services. (RX 63-64 (Dep. of Safonov 29:13-30:13).)
40. Crocus FZE wired the money to pay for the boats to RFG. (RX 65 (Dep. of Safonov 34:12-35:4).)
41. After purchase from Copart, the boats would be transported to the World Express warehouse. (Resp. Comp. Prop. FF 27.)
42. Solovyev/Car Express, as agent for MTL, would arrange for the shipment of the boats to Dubai. (Resp. Comp. Prop. FF 12, 13.)
43. Other than the three boats at issue in this proceeding, Complainants did not have any problems with boats purchased and shipped to Dubai using Solovyev and his companies. (RX 67 (Dep. of Safonov 44:6-9).)

44. On April 18, 2013, RFG sent invoice 1168AT to Andrey Tretyakov at Middle East Asia for the purchase of a boat identified as 2011 Monterey 20', VIN RGFMC1931011. (CX 011.)
45. The RFG invoice indicates that Andrey Tretyakov was charged \$9,855 for the boat, \$800 for delivery, \$2,400 for loading/shipping to Dubai, \$500 for commission, \$400 for documentation, and \$900 for a trailer for the Monterey, a total of \$14,855. (CX 011.)
46. On April 13, 2013, Crocus FZE wired \$30,000 to RFG as payment for invoice 1168AT (the Monterey) and invoice 1174.⁶ (CX 112.)
47. Safonov instructed Solovyev to ship the Monterey to Dubai. (RX 68 (Dep. of Safonov 48:12-14).)
48. On May 5, 2013, MTL issued bill of lading number HBOL 13535 identifying Tretykov Andrey as shipper, Middle East Asia Alfa, FZE, as consignee, New York as port of loading, and Jebel Ali (Dubai) as port of unloading, and identifying the cargo to include the 2011 Monterey. (CX 006.)
49. On May 5, 2013, Maersk Line issued Maersk non-negotiable waybill number 560010878 identifying MTL as shipper, Middle East Asia Alfa, FZE, as consignee, Newark as port of loading, and Jebel Ali, United Arab Emirates, as port of discharge, and identifying the cargo to include the 2011 Monterey. (RX 01.)
50. The Monterey arrived in Dubai and was delivered to Middle East Asia Alfa, FZE. (RX 69 (Dep. of Safonov 50:21-51:1).)
51. On May 7, 2013, RFG sent invoice 1177AT to Middle East Asia for the purchase of a boat identified as 2008 Chaparral, VIN FGBL 3738D808. (CX 007.)
52. The RFG invoice indicates that Middle East Asia was charged \$10,505 for the Chaparral, \$800 for delivery, \$2,400 for loading/shipping to Dubai, \$450 for commission, \$400 for documentation, and \$900 for a trailer, a total of \$15,455. (CX 007.)
53. Safonov instructed Solovyev to ship the Chaparral to Dubai. (RX 68 (Dep. of Safonov 48:12-14).)
54. On May 22, 2013, MTL issued bill of lading number EO-20756 identifying MTL as shipper, Middle East Asia Alfa, FZE, as consignee, Newark as port of loading, and Jebel Ali as port of unloading, and identifying the cargo to include the Chaparral. (CX 116.)

⁶ Invoice 1174 is not in the record. I assume it was for another boat or other items Solovyev purchased for Safonov.

55. On May 25, 2013, Maersk Line issued Maersk non-negotiable waybill number 560083476 identifying MTL as shipper, Middle East Asia Alfa, FZE, as consignee, Newark as port of loading, and Jebel Ali, United Arab Emirates, as port of discharge, and identifying the cargo to include the Chaparral. (RX 02.)
56. The Chaparral arrived in Dubai and was delivered to Middle East Asia. (RX 69 (Dep. of Safonov 50:21-51:1).)
57. Middle East Asia repaired the Monterey and the Chaparral in Dubai and they boats were ready for sale on March 1, 2014. (RX 69 (Dep. of Safonov 51:2-51:14).)
58. Middle East Asia was not able to sell the Monterey and the Chaparral in Dubai. (RX 69 (Dep. of Safonov 51:18-52:9).)
59. Safonov instructed two employees of Middle East Asia to arrange the shipment of the Monterey and the Chaparral to the United States. (RX 69 (Dep. of Safonov 52:13-53:9).)
60. Tretyakov contacted Solovyev for assistance in shipping the Monterey and the Chaparral back to the United States. (RX 42 (Dep. of Solovyev 52:13-53:9).)
61. On April 25, 2014, Solovyev sent an email from his address at mtlworld@mtlworld.com to Zahedi at Emirates Logistics stating "hi Zahedi, can u offer me 40hc, ocean freight only Dubai-NY, cargo boats?" Zahedi forwarded the email to Linnet at Emirates Logistics with a cc to Solovyev [*sic*] stating "Ms. Linnet, Plz assist with rate. Rgds/Zahedi." (CX 058.)
62. On April 27, 2014, Linnet at Emirates Logistics sent Solovyev rates of US \$2492 on Hapag Lloyd and US \$3411 on MSC. (CX 056.)
63. On May 30, 2014, APL issued bill of lading number APLU 020188407 identifying Middle East Asia Alfa, FZE, as shipper, AEC Cargo Services LLC as forwarding agent, MTL as consignee, Jebel Ali, Dubai as port of loading, and Maher Terminal, NJ, as port of discharge and place of delivery, and identifying the cargo to include the Monterey and the Chaparral. (RX 05.)
64. APL charged a total of \$3,593.46 for the transportation. (RX 05.)
65. APL operated as a vessel-operating common carrier transporting the boats from Dubai to the United States. (RX 05.)
66. APL issued a Notice of Arrival to MTL with an ETA of July 12, 2014. (RX 90 (Resp. Notice of Filing May 4, 2016).)

67. The Notice of Arrival states: "You are requested to arrange for prompt delivery of your cargo. By doing so, you will avoid any unnecessary cargo and equipment detention costs. If incurred, these costs (DEMURRAGE/STORAGE CHARGES) will be assessed in accordance with the applicable tariff for any delays after expiration of free time. These charges must be paid before cargo can be released." (RX 90 (Notice of Filing May 4, 2016).)
68. The Monterey and the Chaparral arrived at Maher Terminal in New Jersey on July 12, 2014. (RX 93 (Resp. Notice of Filing May 4, 2016).)
69. On July 23, 2014, Fauna & Flora Customhouse issued an invoice to MTL in the amount of \$615.70 for custom and related fees for the Monterey and Chaparral. (RX 93 (Resp. Notice of Filing May 4, 2016).)
70. On August 26, 2014, MTL paid \$615.70 to Fauna & Flora Customhouse for duty, custom entry service fee, bond preparation, and ISF bond for the Chaparral and the Monterey. (RX 92 (Resp. Notice of Filing May 4, 2016).)
71. MTL received delivery of the Monterey and the Chaparral. (Resp. Comp. Prop. FF 27.)
72. The international transportation on the return trip ended when the Monterey and the Chaparral were delivered to MTL at Maher Terminal in New Jersey. (RX 05.)
73. Solovyev notified Safonov that the Monterey and the Chaparral arrived in the United States. (RX 69-70 (Dep. of Safonov 53:23-54:2).)
74. On August 7, 2013, Car Express purchased a 2010 Formula boat 34PC, VIN TNRD7870C010, for Safonov for a total of \$56,280. (CX 118.)
75. Safonov bought the Formula with the intention of sending it to Dubai for repair and resale. (RX 72 (Dep. of Safonov 62:21-64:15).)
76. On August 7, 2013, RFG sent invoice 1189AT to Alexander Safonov, Crocus Investments for the purchase of a Formula boat 34PC, VIN TNRD7870C010. (CX 009.)
77. The RFG invoice indicates that Alexander Safonov, Crocus Investments, was charged \$56,280 for the Formula and \$3,500 for delivery, a total of \$59,780. (CX 009.)
78. On August 7, 2013, RFG sent invoice 1189AT to Andrey Tretyakov, Dubai, UAE, Middle Asia Alfa for the purchase of the Formula. (CX 031.)
79. The RFG invoice indicates that Andrey Tretyakov, Dubai, UAE, Middle Asia Alfa was charged \$56,280 for the Formula, \$3,500 for delivery, \$12,000 for loading/shipping to Dubai,

- \$500 for commission, \$500 for documentation, and \$4,500 for a trailer, a total of \$77,280. (CX 031.)
80. On August 9, 2013, Crocus Investments wired \$59,780 to RFG to pay for the Formula (\$56,280.00) and the delivery to the intended port of loading (\$3,500). (CX 114.)
 81. The Formula required a trailer for ocean shipment. (RX 72 (Dep. of Safonov 64:7-12).)
 82. On August 13, 2013, Crocus FZE made a wire transfer of \$5,000.00, Fed Wire Out 028409, Reference Number W028409 0813. (CX 114.)
 83. In November 2013 Solovyev told Safonov he found a trailer for the Formula but Safonov did not like the trailer. (RX 72 (Dep. of Safonov 64:18-19).)
 84. In December 2013, Solovyev found another trailer for the Formula that Safonov found acceptable. (RX 72 (Dep. of Safonov 64:20-24).)
 85. On December 3, 2013, RFG issued invoice #1204AS to Crocus FZE in the amount of \$12,000 for loading and shipping the Formula to Dubai, \$500 for commission, and \$500 for documentation, a total of \$13,000. (CX 028.)
 86. On December 3, 2013, RFG issued invoice #1204AS to Crocus FZE in the amount of \$4,950 for a boat trailer 2005 NTTRL VIN LW95141 for the Formula. (CX 035.)
 87. On December 3, 2013, RFG issued invoice #1204AS to Crocus FZE in the amount of \$4,950 for boat trailer 2005 NTTRL VIN LW95141, \$12,000 for loading/shipping the Formula to Dubai, \$500 for commission, and \$500 for documentation, a total of \$17,950. (CX 038.)
 88. Complainants did not pay the \$12,000 for loading and shipping the Formula to Dubai, the \$500 for commission, or the \$500 for documentation. (Complainants' Response to Respondents' Proposed FF 5.)
 89. On December 4, 2013, Crocus FZE wired \$4,950 to RFG to pay for boat trailer 2005 NTTRL VIN LW95141. (CX 113.)
 90. Complainants reached the conclusion that Tretyakov, the Middle East Asia employee in Dubai, "started to become a crook." (RX 72 (Dep. of Safonov 65:3-6).)
 91. Safonov decided that he did not want to deal with "crooks," so in February 2014 Complainants instructed Solovyev to ship the Formula to Miami. (RX 72 (Dep. of Safonov 65:6-10).)

92. On February 14, 2014, Safonov sent an email to Solovyev stating: "I am sending you the name of the company in Florida – from which you have received the money for Formula-34 – please prepare all documents for the boat reflecting this company's information and send me all copies, ok? Do you know if copies of the documents will be enough to transfer Formula to Florida? It is good that we did [not] have time to send it to Dubai." (CX 055.)⁷
93. On July 17, 2014, Safonov sent an email to Solovyev stating: "Aleksandr – please from you to Ft. Lauderdale – Formula-34 PC, + 2 boats that arrived from Dubai." (CX 061.)
94. On July 24, 2014, Safonov sent an email to Solovyev stating: "I went to get a license plate for mercedes - GL450 – they asked for Title, I said I don't have it – then they asked for proof of purchase reflecting paid taxes. What is going on with the boats?" (CX 064.)
95. On August 3, 2014, Safonov sent an email to Solovyev stating: "We agreed with Andrei that he will ship those boats to the USA for me to sell -- he kept another boat for sale Four winns (\$40000) – he will sell it in Dubai and will come to the US. Now he is changing the plan – we did not agree to that! That's why I am asking to send the boats to me in Miami." (CX 064.)
96. On August 13, 2014, Solovyev sent Safonov an email stating:

Alexander, your attention to unpaid invoices for your boats! [Unfortunately] because of non-payment, we are not able to hold your boats anymore in our storage facility and have to cover all expenses of their storage, not later than Monday, 18th of August of year 2014! Your boat Formula has been stored in our storage facility for more than a year? This will not work! Therefore, immediately I request to cover all your expenses! If you need help delivering the boats to Miami, our prices are as follows: Monterey and Chaparral- for \$3,500 each! Boat Formula to Miami- \$17,000.

(CX 103.)

97. On August 13, 2014, Solovyev (RFG) sent an invoice to Crocus Investment for \$38,859.39 for 369 days of storage of the Formula. (CX 106.)

⁷ On March 23, 2016, Complainants filed copies of pages 19-110 of Complainants' Appendix with English translations. The English translation does not say "not." Given the context, I conclude that either the English translation inadvertently omitted "not" or in the original transmission, Safonov omitted the negative. Because the Formula was not shipped to Dubai, the sentence has no meaning with the "not."

98. On August 13, 2014, Solovyev (RFG) sent an invoice to Crocus Investment for the port fee for the container that transported the Monterey and the Chaparral from Dubai to the United States, \$1,200 for custom clearance, \$1,250 for delivery and unloading/documentation/tracking/return empty back, \$700 for delivery to the storage lot/put together trailer and boat, \$800 for thirty-two days storage of the Chaparral, and \$800 for thirty-two days storage of the Monterey. (CX 107.)
99. On August 19, 2014, Safonov sent an email to Solovyev stating: "I am attaching copies of the documents for the boats that were shipped from [Dubai] by Middle East Asia Alfa to your company MTL. Based on the agreement between the partners Bortcov [*sic*] Oleg (manager) and Safonov Alexander – I have the last say in this company! In case of not meeting my lawful demands – I will be forced to go through the legal system of the USA." (CX 077.)
100. On November 15, 2015, World Express commenced an action against Crocus Investments, Crocus FZE, Alexander Safonov, and Middle East Asia in the United States District Court for the District of New Jersey seeking unpaid storage fees for the Monterey, the Chaparral, and the Formula. *World Express & Connection, Inc. v. Crocus Investments, LLC, Crocus FZE, Alexander Safonov, and Middle East Asia Alfa FZE*, 2:15-cv-08126-KM-MAH (D.N.J. Nov. 18, 2015) (complaint filed). (CX 254.)
101. Solovyev shipped two automobiles – a Mercedes and a Porsche – to Middle East Asia for sale in Dubai for another customer. (RX 62 (Dep. of Safonov 22-23).)
102. On August 20, 2014, Middle East Asia sent invoice #a20 to RFG for repairs to the Mercedes and the Porsche. (CX 101-102.)
103. MTL's tariff states: "Carrier provides 30 calendar days free storage prior for vehicles, trucks and boats received for US export shipment at its CFS/CY as listed herein. Beyond 30 days, storage charges per day apply as follows: A. STORAGE CHARGES AT BAYONNE, NJ . . . Boats: USD 20 per day." (CX 178.)

VI. COMPLAINANTS HAVE NOT PROVED THAT ALEKSANDR SOLOVYEV OPERATED AS AN OCEAN TRANSPORTATION INTERMEDIARY WITHOUT A VALID LICENSE.

Complainants allege that "[r]espondent Solovyev, doing business as Royal Finance Group violated 46 U.S.C. § 40901(a) when it presented invoices and collected payment for MTL's transportation services acting in essence as an ocean transportation intermediary without holding a valid license to do so." (Complaint 29.) Complainants argue:

Solovyev provided services in arranging the shipment of certain good[s] internationally to his customers, such as the Complainants. Complainants never actually dealt directly with Marine Transport [Logistics], Inc., to coordinate the

shipment of the boats that they acquired from the United States. Solovyev was the one that communicated between the Complainants and MTL. Solovyev collected payment for Marine Transport Logistic, Inc.'s services via an entity called Royal Finance Group, Inc. and forwarded payment to Marine Transport Logistic, Inc. He also was the one that set up all the shipment arrangements with Safonov and his employees. In essence, Solovyev was the middleman between Complainants and Marine Transport Logistic, Inc. Therefore, Solovyev was acting as an ocean freight forwarder in the transactions out of which this lawsuit arises.

(Complainants' Proposed Findings of Fact, Brief, and Appendix at 6-7).⁸

The record shows that upon purchase of Complainants' boats in the United States, Solovyev/Car Express, acting as agent for MTL, would arrange for the international ocean transportation of the boats to Dubai, MTL issued the bills of lading for transporting the boats to Dubai, and MSC identified MTL as the shipper on the MSC bills of lading. (ALJFF 42, 48, 49, 54, 55.) Solovyev also used the email mtlworld@mtlworld.com in arranging for the ocean shipment of Complainants' 2001 Monterey and Chaparral from Dubai back to the United States. (ALJFF 61).

Section 40901 provides:

A person in the United States may not act as an ocean transportation intermediary unless the person holds an ocean transportation intermediary's license issued by the Federal Maritime Commission. The Commission shall issue a license to a person that the Commission determines to be qualified by experience and character to act as an ocean transportation intermediary.

46 U.S.C. § 40901(a). In *Landstar*, the court, held that "the plain language of [section 40901's] licensing requirement does not extend to agents of Ocean Transportation Intermediaries." *Landstar Express America, Inc. v. Federal Maritime Commission*, 569 F.3d 493, 499 (D.C. Cir. 2009). The court stated that this was so because a person providing NVOCC services only falls within the ambit of the Commission's licensing requirement when it holds itself out to the general public to provide transportation and assumes responsibility for the transportation.

An agent providing NVOCC services on behalf of a disclosed NVOCC principal possesses neither of those two defining characteristics . . . because it holds out only in the name of the NVOCC, subject to that NVOCC's control . . . [and] . . . does not ordinarily assume responsibility for the transportation of the cargo as the principal bears the burdens of liability.

⁸ It is not clear whether Complainants contend that Solovyev operated as an OTI regarding the three boats at issue in this proceeding or on all the boats that Safonov purchased and shipped to Dubai using Solovyev's services.

Id. at 497 (emphasis in original, internal citations omitted).

Because Solovyev made it known that he was acting as an agent for the disclosed NVOCC principal MTL, Solovyev did not hold himself or RFG out to the public to provide transportation and did not assume responsibility for Complainants' boats. Operating as an NVOCC, MTL issued the bills of lading for the transportation from the United States to Dubai. ALJFF 48, 54. Complainants have not proved by a preponderance of the evidence that Aleksandr Solovyev acted as an ocean transportation intermediary (OTI), not as an agent for MTL in arranging for the international ocean transportation of Complainant's boats. I find that Solovyev did not operate as an NVOCC when the Monterey and the Chaparral were transported to Dubai and is not subject to the Commission's section 40901 licensing requirements. The claim that Solovyev violated section 40901(a) of the Act by operating as an OTI without a license issued by the Commission is dismissed.

VII. COMPLAINANTS HAVE NOT PROVED THAT RESPONDENTS VIOLATED SECTION 41102(c) OF THE SHIPPING ACT.

A. Claims Regarding the 2011 Monterey and the 2008 Chaparral.

1. Transportation of the Monterey and the Chaparral from the United States to Dubai.

MTL operated as an NVOCC for the transportation of the Monterey and the Chaparral from the United States to Dubai. MTL issued bills of lading on the separate shipments of each boat. Each boat was transported by water to Dubai and delivered to Middle East Asia, the consignee, without problem. Complainants do not claim violations of the Act occurred when the boats were transported to Dubai. Closing Argument Transcript at 52-54.

2. Transportation of the Monterey and the Chaparral from Dubai to the United States.

Middle East Asia repaired the boats and offered them for sale, but they were not purchased. Safonov decided to ship the boats back to the United States. He instructed Tretyakov to find transportation to the United States. Because the only document in the parties' appendices filed with their briefs on the merits was the APL bill of lading submitted by Respondents (RX 06), the parties were ordered to serve and file:

all documents related to the transportation of the 2008 Chaparral and the 2011 Monterey from Dubai to the United States, including, but not limited to, bills of lading, waybills, dock receipts, notices of arrival, invoices, and records of payment for the transportation created by Complainants, Respondents, Middle East Asia Alfa, FZE, AEC Cargo Services LLC, APL, or any other entity.

Crocus v. MTL, FMC No. 15-04 (ALJ Apr. 12, 2016) (Order to Supplement the Record). Complainants responded by identifying emails between Solovyev and Emirates Logistics already in the record at CX 058-059 and submitting the Certification of Safonov dated April 21, 2016, but did not file any documents from AEC Cargo Services LLC or APL. (Complainants' Response to Supplement the Record (filed April 22, 2016).) On May 4, 2016, Respondents submitted the APL Notice of Arrival sent to MTL, a Fauna & Flora Customhouse invoice to MTL in the amount of \$615.70 for the Chaparral and the Monterey, MTL check no. 479 to Fauna & Flora Customhouse in the amount of \$615.70, and Solovyev's response to Safonov's certification. (Respondents' Response to the April 12, 2016, Order filed May 4, 2016.)

In his Certification dated April 21, 2016, Safonov states that Tretyakov "found two companies that can deliver the boats for approximately \$4,000.00, but then he received a better offer for the same delivery from Aleksandr Solovyev for \$1,500.00." (Safonov Certification ¶ 4.) Safonov states that he "agreed to the proposal made by Aleksandr Solovyev with the understanding that [MTL] will arrange for the shipment of the boats from Dubai . . . and the boats will be picked up and held by MTL in the USA." (Safonov Certification ¶ 5.)

Solovyev acknowledges that Tretyakov contacted him to obtain a freight quote for the transportation of the boats from Dubai to the United States and that he "emailed Zahedi, an agent at Emirates Logistics, LLC, in Dubai, to obtain a freight quote for a 40' high cube container, moving from Dubai to New York." (Declaration by Aleksandr Solovyev in Response to Complainants' April 21, 2016 Certification (Solovyev Dec.) ¶ 2-3; ALJFF 59.) Zahedi responded with quotes of US \$2492 on Hapag Lloyd and US \$3411 on MSC that Solovyev forwarded to Tretyakov. (Solovyev Dec. ¶¶ 6-7; ALJFF 60.) Solovyev states that these are the only quotes that he gave Tretyakov and that he did not send a better offer of \$1,500 and did not offer for MTL to arrange for the shipment of the boats from Dubai to the United States. (Solovyev Dec. ¶¶ 8-10.)

MTL's only connection to the Dubai-United States shipment of the Monterey and Chaparral from Dubai to the United States established by the documents is as consignee. APL is the carrier, Middle East Asia Alfa, FZE, is the shipper, and AEC Cargo Services LLC is the forwarding agent. (ALJFF 61.) It is clear that MTL was contacted about the shipment through its agent Solovyev and that Solovyev and that Solovyev forwarded quotes to Tretyakov at Middle East Asia, but those quotes were for transportation by VOCCs Hapag Lloyd and Mediterranean Shipping Company. Another VOCC, APL, transported the boats and nothing connects Solovyev or MTL to the transportation by APL. Although Solovyev conveyed offers to Complainants, Complainants have not proved by a preponderance of the evidence that Middle East Asia shipped the Monterey and the Chaparral to the United States using a carrier identified by Solovyev or that MTL assumed responsibility for transporting the boats.

Complainants argue that the facts that Solovyev forwarded the quotes from Hapag Lloyd and MSC for transportation from Dubai to the United States to Tretyakov at Middle East Asia and that MTL paid the Fauna & Flora Customhouse charges and took possession of the boats proves MTL was involved in their transportation.

MS. TARASSOVA: It is my client's position that Mr. Solovyev who was acting on behalf of MTL throughout the course of their dealings arranged that. It is corroborated by the fact that MTL did not object to picking up the boats once they arrived. They did not object to paying customs and taking custody or control over the boats and that is evident in the respondents' supplemental documents which they filed just a week ago or so. It looks like MTL not only acquiesced to being a consignee they also took responsibility for the cargo.

JUDGE GUTHRIDGE: Took responsibility at what point?

MS. TARASSOVA: When the boats arrived to the United States they paid customs fees for it and they produced documentation that showed that MTL – if you look at RX 92 it looks like a copy of the check from Marine Transport Logistics –

JUDGE GUTHRIDGE: RX 92? Oh, that's one of the supplemental responses.

MS. TARASSOVA: Yes, Your Honor. And then I guess the check relates to RX 93 for an invoice to MTL from Fauna and Flora for duty customs, entry fee, bond preparation, et cetera which they paid on behalf of the complainants when they picked up the cargo which is the two boats in question. So how they got to be the consignee it is unclear. That is the question again for the actual parties to answer but it certainly looks like they did not have an objection to that and picked up the boat.

Closing Argument Transcript 59:16-61:5.

Regarding the fact that Solovyev sent the quotes, the Monterey and the Chaparral were transported by APL, not one of the VOCCs from which Solovyev obtained quotes. Other than the fact that MTL was named as consignee, no documentary evidence in the record links MTL to the transportation of the Monterey and the Chaparral by APL. When an NVOCC is involved in the transportation of cargo, the VOCC bill of lading would normally identify the NVOCC as the shipper. The APL identifies Middle East Asia (not MTL) as the shipper and AEC Cargo Services LLC (not MTL or Emirates Logistics, the entity in Dubai that Solovyev contacted for rates) as the forwarding agent. Furthermore, Safonov's certification filed April 22, 2016, states that Safonov's assistant received an offer from Solovyev for \$1,500. APL charged \$3,593.46 for the transportation.

Regarding the payment of the charges and taking possession of the Monterey and the Chaparral, the APL Notice of Arrival sent to MTL states:

You are requested to arrange for prompt delivery of your cargo. By doing so, you will avoid any unnecessary cargo and equipment detention costs. If incurred, these costs (DEMURRAGE/STORAGE CHARGES) will be assessed in accordance with

the applicable tariff for any delays after expiration of free time. These charges must be paid before cargo can be released.

(RX 91.) As consignee, MTL was potentially liable for demurrage charges that would accrue if the boats were not picked up within the free time allotted by the VOCC. *See Capitol Transportation, Inc. v. United States*, 612 F. 2d 1312, 1319-1321 (1st Cir. 1979) (upholding Commissions decision that Capitol was a carrier as well as a consignee subject to liability for payment of demurrage under the underlying vessel-operating carriers' tariffs); *Safmarine v. Columbia Container Lines (USA), Inc.*, No. 10-CV-1825 (KAM), 2010 U.S. Dist. LEXIS 143502 *10, 2010 WL 7134001 (E.D.N.Y. Dec. 15, 2010) ("The general rule is that shippers or consignees are liable for demurrage."); *Prudential Lines, Inc. v. Farrell Lines, Inc., Zim Container Service and Zim Israel Navigation Co., Ltd.*, 1984 FMC LEXIS 15, 26 F.M.C. 497 (ALJ June 7, 1984). The litigation costs defending an action brought against MTL contesting liability, even if MTL prevailed, would far exceed the \$615.70 that MTL paid to secure release of the container. Securing release of the shipment was a prudent business decision by MTL.

Complainants contend that MTL "failed to establish, observe, and enforce just and reasonable regulations and practices by (1) failing to notify Complainants when the two smaller boats arrived in New Jersey, [and] (2) releasing the Complainants' property to a third party, World Express and Connection, which was owned by Solovyev." (Complainants' Brief at 8.) The Monterey and the Chaparral arrived from Dubai on July 12, 2014. (ALJFF 68.) On July 17, 2014, Safonov sent an email to Solovyev stating: "Aleksandr – please calculate the shipping from you to Ft. Lauderdale – Formula-34, + 2 boats that arrived from Dubai." (ALJFF 93.) Safonov knew that the boats arrived within five days of their arrival. The evidence does not support Complainants' claim that they were not notified that the boats arrived from Dubai. MTL's tariff provides that MTL's container freight station/container yard "may be a designated warehouse." (ALJFF 26.) If it were determined that MTL operated as a common carrier when the boats were transported from Dubai to the United States, storing the boats in the World Express warehouse is contemplated by MTL's tariff.

Complainants have "the initial burden of proof to establish the[] violation[]." *AHL Shipping Company v. Kinder Morgan Liquids Terminals, LLC*, FMC No. 04-05, 2005 WL 1596715, at *3 (ALJ June 13, 2005). Based on the evidence in the record, Complainants have not proved by a preponderance of the evidence that MTL assumed responsibility for the transportation of the Chaparral and the Monterey from Dubai to the United States and operated as an NVOCC on the shipment.

3. Request to transport the Monterey and the Chaparral from New Jersey to Florida.

One of the purposes of the Shipping Act is to "establish a nondiscriminatory regulatory process for the common carriage of goods by water in the foreign commerce of the United States with a minimum of government intervention and regulatory costs." 46 U.S.C. § 40101(1). The Act imposes requirements on common carriers that "provide transportation by water of . . . cargo

between the United States and a foreign country for compensation [and] assume[] responsibility for the transportation from the port or point of receipt to the port or point of destination [and] use[] for all or part of that transportation, a vessel operating on the high seas . . . between a port in the United States and a port in a foreign country.” 46 U.S.C. § 40102(6) The Act provides that a common carrier “may not fail to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property.” 46 U.S.C. § 41102(c). The Act and the Commission’s power to enforce the Act is limited to transportation that fits within these definitions. Therefore, the Commission has jurisdiction over the transportation by water of the Monterey and the Chaparral on their voyages from the United States to Dubai and from Dubai to the United States and the concomitant power to sanction violations of the Act that occur during that transportation. As discussed above, Complainants do not contend that Respondents committed any violations of the Act on the transportation of the Monterey and the Chaparral from the United States to Dubai, and Complainants have not proved by a preponderance of the evidence that Respondents operated as a common carrier when the boats were transported back to the United States.

The record indicates that on July 17, 2014, after the Monterey and the Chaparral arrived in the United States, Safonov sent an email to Solovyev stating: “Aleksandr – please calculate the shipping from you to Ft. Lauderdale – Formula-34 PC, + 2 boats that arrived from Dubai.” (CX 061.)⁹ Assuming that there was an agreement between Safonov and any respondent – Solovyev, any of his corporations, or MTL – to transport the Monterey and the Chaparral by water or any other means from New Jersey to Florida, this was not an agreement to “provide transportation by water of . . . cargo between the United States and a foreign country” subject to the Shipping Act or Commission jurisdiction.

Even if it were determined that MTL assumed responsibility for the transportation of the Monterey and the Chaparral from Dubai to New Jersey, the APL bill of lading shows that the ultimate destination of the boats was New Jersey and that international transportation ended when the boats were delivered to MTL. *See, e.g., Norfolk Southern R. Co. v. James N. Kirby, Pty Ltd.*, 543 U.S. 14, 23-27 (2004) (finding that federal maritime law applies to the inland portions of international shipments transported under a through bill of lading). *See also, Kawasaki Kisen Kaisha, Ltd. v. Regal-Beloit Corp.*, 561 U.S. 89, 108 (2010) (finding that ocean transportation occurring under a through bill of lading cannot be separated into ocean and domestic inland transportation); *accord, Mitsui O.S.K. Lines Ltd. v. Global Link Logistics*, 2011 FMC LEXIS 12, 56 (FMC 2011) (“[L]egislative history demonstrates that Congress intended that the Commission have jurisdiction over through transportation including the inland segment of such transportation.”) Because, in this case, the international shipment of the boats terminated in New Jersey with delivery

⁹ The first request regarding sending the third boat – the Formula – to Florida came in February 2014. Presumably, if Safonov had decided then or at any time before they were shipped from Dubai on May 30, 2014, that he wanted the Monterey and Chaparral to go to Florida, Safonov would have had them shipped from directly from Dubai to Florida, not to New Jersey.

to MTL and the arrangement to ship the boats to Florida was a separate and new arrangement, the transportation in question is a purely domestic one, over which the Commission has no jurisdiction.

B. Claims Regarding the Formula.

The record shows that Complainants originally intended to ship the Formula to Dubai for repair and resale. On August 7, 2013, RFG sent invoice 1189AT for payment in the amount of \$77,280 to Complainants' employee in Dubai, Andrey Tretyakov, reflecting \$56,280 for the Formula, \$3,500 for delivery, \$12,000 for loading/shipping to Dubai, UAE, \$500 for commission, \$500 for documentation, and \$4,500 for a trailer to load the boat. (FF 75 (CX 031)). Complainants wired \$59,780 on August 9, 2013, to RFG to pay for the Formula (\$56,280.00) and the cost of the delivery to the port of loading (\$3,500), and \$4,950 on December 4, 2013, to pay for the boat trailer.¹⁰ Complainants never paid the \$12,000 for loading and shipping the Formula to Dubai or the \$500 for Commission and \$500 for documentation. (ALJFF 76, 85, 92.) Safonov subsequently reached the conclusion that Tretyakov, the Middle East Asia employee in Dubai, "started to become a crook," and on February 2014, instructed Solovyev to ship the Formula to Miami instead. (ALJFF 86, 87.) Therefore, Complainants and Respondents (MTL, Solovyev, or any of Solovyev's companies) never entered into an agreement to transport the Formula by water from the United States to a foreign port.

As discussed above, an agreement to transport the Formula from New Jersey to Florida is not an agreement to "provide transportation by water of . . . cargo between the United States and a foreign country." Therefore, any controversy about an alleged agreement to ship the Formula to Florida is not subject to the Shipping Act or the Commission's jurisdiction.

C. Claims Regarding Storage Fees.

Complainants also contend that MTL "failed to establish, observe, and enforce just and reasonable regulations and practices . . . (3) by issuing invoices for storage at rates contrary [to] its posted tariffs." (Complainants' Brief at 8.) MTL's tariff states: "Carrier provides 30 calendar days free storage prior for vehicles, trucks and boats received for US export shipment at its CFS/CY as listed herein. Beyond 30 days, storage charges per day apply as follows: A. STORAGE CHARGES AT BAYONNE, NJ . . . Boats: USD 20 per day." (ALJFF 103.) Complainants were not charged storage fees for the Monterey and Chaparral when they were shipped from the United States to Dubai. When the Monterey and Chaparral returned to the United States, even if MTL were operating as an NVOCC, the boats were not "received for US export shipment" and the tariff does not apply. As found above, although Safonov originally intended to ship the Formula to Dubai, there was never

¹⁰ On August 13, 2013, Crocus FZE made a wire transfer of \$5,000.00. Complainants state that this payment was for a trailer for the Formula, Closing Argument Transcript 113, but nothing in the record indicates that the transfer for an amount different from the \$4,500 for a trailer stated in the August 7 and 8 invoices went to RFG or that it was for a trailer.

an agreement to transport the Formula by water from the United States to a foreign port. Therefore, the Formula was not “received for US export shipment” and the tariff does not apply.

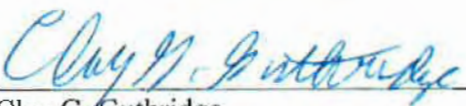
VIII. ATTORNEY FEES.

“In any action brought under section 41301, the prevailing party may be awarded reasonable attorney fees.” 46 U.S.C. § 41305. I find that because the Complaint has been dismissed, the Respondents are prevailing parties in this proceeding and may be awarded reasonable attorney fees. “In order to recover attorney fees, the prevailing party must file a petition within 30 days after a decision becomes final. For purposes of this section, a decision is considered final when the time for seeking judicial review has expired or when a court appeal has terminated.” 46 C.F.R. § 502.254(c). *See also Organization and Functions; Rules of Practice and Procedure; Attorney Fees – Notice of Proposed Rulemaking*, FMC No. 15-06, available on the Commission’s electronic reading room at [http://www.fmc.gov/electronic_reading_room/proceeding_or_inquiry_log_search.aspx?F_DocketType=1; Organization and Functions; Rules of Practice and Procedure; Attorney Fees, Final rule, 81 Fed. Reg. 10508 \(Mar. 1, 2016\).](http://www.fmc.gov/electronic_reading_room/proceeding_or_inquiry_log_search.aspx?F_DocketType=1;Organization%20and%20Functions;Rules%20of%20Practice%20and%20Procedure;Attorney%20Fees,Final%20rule,81%20Fed.%20Reg.%2010508%20(Mar.%201,2016).)

ORDER

Upon consideration of the record in this proceeding and for the reasons set forth above, complainants Crocus Investments, LLC, and Crocus FZE, have not proved by a preponderance of the evidence that respondents Marine Transport Logistics, Inc., and Aleksandr Solovyev a/k/a Royal Finance Group, Inc., violated section 41102(c) of the Shipping Act of 1984, 46 U.S.C. § 41102(c) or that respondent Aleksandr Solovyev a/k/a Royal Finance Group, Inc., violated section 40901(a) of the Shipping Act of 1984, 46 U.S.C. § 40901(a). Therefore, it is hereby

ORDERED that Complainants’ Complaint against respondents Marine Transport Logistics, Inc., and Aleksandr Solovyev a/k/a Royal Finance Group, Inc., be **DISMISSED WITH PREJUDICE**.



Clay G. Guthridge
Administrative Law Judge

Resp. App. “2”

From: Alex DR <kd222555@gmail.com>
 Subject: Fwd: документы на формулу
 Date: November 12, 2015 at 13:55
 To: alena@mylawadvocate.com

----- Пересылаемое сообщение -----

От кого: а <kd222555@gmail.com>
 Дата: 13 февраля 2014 г., 11:46 [Date: February 13, 2014 11:46]
 Тема: документы на формулу [Subject: documents for formula]
 Кому: Alex Solovyev <mtlworld@mtlworld.com>

Здравствуй, Александр!

[Hello, Aleksandr!]

Как поживаете? Что новенького?

[How are you? What's new?]

[I am sending you the name of the company in Florida - from which you have received the money for

Высылаю название компании во флориде - с которой приходили тебе деньги за формулу-34 - оформи плиз документы на катер на эту компанию и скинь копии, ок?

Formula -34 - please prepare all documents for the boat reflecting this company's information and send me all copies, ok?

Для транспортировки Формулы во Флориду копии документов - достаточно, не знаешь?

[Do you know if copies of the documents will be enough to transfer Formula to Florida?

Хорошо-что ее не успели перекинуть в Дубай

[It is good that we did have time to send it to Dubai]

Crocus Investments LLC

1091 N Hiatus Rd,

Pembroke Pines, FL 33026 USA

директор - Alexander Safonov

Alexander Safonov

Resp. App. “3”

FEDERAL MARITIME COMMISSION

CROCUS INVESTMENTS, LLC &
CROCUS, FZE

Complainants,

v.

MARINE TRANSPORT LOGISTICS,
INC. AND ALEKSANDR
SOLOVYEV A/K/A ROYAL
FINANCE GROUP, INC,

Respondents.

Docket No. 15-04

Served: March 6, 2017

BY THE COMMISSION: Michael A. KHOURI, *Acting Chairman*; Mario CORDERO, Rebecca F. DYE, William P. DOYLE, and Daniel B. MAFFEI, *Commissioners*.

Memorandum Opinion and Order

I. INTRODUCTION

On June 17, 2016, the Administrative Law Judge (ALJ) dismissed Crocus Investments' and Crocus FZE's (Crocus or Complainants) claims that Respondents violated 46 U.S.C. §§ 40901(a) and 41102(c) in storing and transporting three boats. Complainants petitioned the Federal Maritime Commission (Commission) to reopen and remand the proceedings under

Commission Rule 230, 46 C.F.R. § 502.230, and for leave to reply to Respondents' opposition to their petition. Complainants also request additional time to file exceptions.

For the reasons discussed below, the Commission is denying Complainants' motion for leave to reply because they have not demonstrated any "extraordinary circumstance" which warrants a reply to Respondents' opposition. The Commission is also denying Complainants' petition to reopen and remand the proceeding because the law and the facts have not materially changed since the ALJ's decision and the evidence was available to Complainants before the ALJ held closing arguments. Finally, Commission is granting Complainants an additional seven days from the date of the Commission's decision to file exceptions.

II. BACKGROUND

A. Factual History

Crocus is in the business of purchasing boats and automobiles from online auction sites for the purpose of refurbishing and reselling them on the international market. Initial Decision at 2-4. Until recently, Crocus's owner, Alexander Safonov, worked with Aleksandr Solovyev, and various enterprises owned or represented by Mr. Solovyev to select, purchase and finance the boats and arrange for storage or transportation pending resale. *Id.* at 2-4. The parties' dealings involved several related companies. *See id.* Financing was arranged through Royal Finance Group, Inc. (Royal Finance). *Id.* Storage was handled by World Express Connection, Inc. (World Express),¹ and domestic and

¹Although the boats were stored at its facility, World Express is not named as a party. Initial Decision at 2. Two other corporations involved in the parties' dealings are also mentioned in the filings but are not joined as parties. *See id.* Middle East Asia Alfa, FZE, owned by Mr. Safonov, was involved in his transport/resale dealings. *Id.* at 2. Car Express & Import, Inc. (Car Express), also owned by Mr. Safonov, purchased automobiles and boats on behalf of buyers and arranged for transport abroad. *Id.* at 3.

international transport were arranged through Marine Transport Logistics (Marine Transport). *Id.* Marine Transport is a non-vessel-operating common carrier (NVOCC) licensed by the Commission (License No. 01809) and is owned by Alla Solovyeva, Mr. Solovyev's estranged wife. *Id.* Dealings between Mr. Safonov and Mr. Solovyev were often conducted informally and they did not always specify which company they were representing. *Id.* at 3.

This action involves a dispute over the storage and transport of three boats (a Monterey, Chaparral and Formula), in 2013 and 2014. *Id.* at 3-6. Crocus purchased the boats in 2013 and used Marine Transport to ship the Monterey and Chaparral to facilities in Dubai, United Arab Emirates, with intentions of refurbishing and reselling them there. *Id.* Resale efforts were not successful, and Crocus arranged for the boats to be transported back to the United States. *Id.* at 6. Crocus retained a different carrier for the return transport but designated Marine Transport as the consignee. *Id.* The Monterey and the Chaparral arrived back in New Jersey in July 2014, and Marine Transport accepted delivery at Maher Terminal. *Id.* at 6. Marine Transport arranged for the boats to be stored at a World Express facility, where they remained through August 2014 when a dispute arose between Mr. Safonov and Mr. Solovyev over amounts billed by Marine Transport. *Id.* at 6-7, 16. The billing dispute eventually led to World Express filing a federal district court action against Crocus Investments in November 2015 to recover the boat storage fees. *World Express & Connection, Inc. v. Crocus Investments, LLC*, No. 2:15-CV-08126 (D.N.J.).

Crocus's third boat (the Formula) was never transported outside the United States. Mr. Safonov traded inquiries with Mr. Solovyev about transporting the Formula to Dubai as well, but the arrangements were never formalized or carried out. Initial Decision at 3-5, 17-18. Crocus stored the Formula at World Express's New Jersey facility. *Id.* at 18.

B. Procedural History

Crocus filed this action in May 2015 seeking \$416,739 in reparations for Respondents' alleged violations of the Shipping Act of 1984 (Shipping Act or Act) in storing and transporting the three boats. Compl. ¶¶ 28-31, May 27, 2015. Crocus alleged that Mr. Solovyev, doing business as Royal Finance, violated 46 U.S.C. § 40901(a) (section 19(a) of the Act) by billing and collecting payments for transport services provided by Marine Transport because he was acting as an unlicensed ocean transportation intermediary (OTI). *Id.* Crocus also alleged that Marine Transport violated 46 U.S.C. § 41102(c) (section 10(d)(1) of the Act) by: (1) failing to notify it of the boats' arrival in New Jersey; and (2) releasing the boats to a third party (World Express) without Crocus's consent. *Id.*

After discovery, the parties submitted proposed findings in early 2016. *See* Initial Decision at 10. On March 3, 2016, the ALJ ordered both parties to submit English translations of supporting documents. *Id.* at 7. On April 12, 2016, the ALJ directed the parties to supplement the record with all documents related to transporting the Monterey and Chaparral back to the United States. *Id.* The ALJ heard closing arguments on May 13, 2016. *See* Order to Appear by Telephone for May 13, 2013, Closing Argument, May 5, 2016.

The ALJ issued the Initial Decision on June 17, 2016 and dismissed the complaint with prejudice. Initial Decision at 19-25. In dismissing the § 40901(a) claim, the ALJ found that Mr. Solovyev: (1) acted as Marine Transport's agent in arranging for and collecting payment for ocean transport; and (2) as such, was not required to be licensed as a NVOCC. *Id.* at 19-21. In particular, the ALJ stated: "Because Solovyev made it known that he was acting as an agent for the disclosed NVOCC principal [Marine Transport], Solovyev did not hold himself or [Royal Finance] out to the public to provide transportation and did not assume responsibility for Complainants' boats." *Id.* at 21.

In dismissing the § 41102(c) claim, the ALJ found that: (1) Mr. Safonov knew the boats had arrived in New Jersey because he stated that information in an email to Mr. Solovyev; (2) storage at the New Jersey facility was contemplated by Marine Transport's tariff; (3) Respondents were not the common carrier for the transport from Dubai back to the United States and even if they were, international transportation ended when the boats arrived in New Jersey; and (4) any proposed agreement between the parties to transport the boats from New Jersey to Florida did not involve providing transportation by water between the United States and a foreign country and thus was not covered by the Shipping Act. *Id.* at 23-25.

Exceptions to the Initial Decision were due on July 12, 2016, but the Commission granted Complainants an additional 60 days, thereby extending the deadline to September 12, 2016. *See* Notice of Extension (July 6, 2016). In July 2016, the Commission also granted Complainants' counsel, Ms. Louiza Tarassova, leave to withdraw from the case. *See* Motion for Leave to Withdraw, June 29, 2016. Complainants are now represented by Marcus A. Nussbaum. Five days before the September 12, 2016 deadline for exceptions, Complainants again moved to extend the deadline to February 12, 2017. Respondents opposed that request. The Commission granted the request, in part, extending the deadline for exceptions by 45 days to October 27, 2016. Notice of Extension of Time to File Exceptions, Sept. 8, 2016.

On October 27, 2016, Complainants petitioned to reopen the proceedings to submit further evidence, requested a remand to the ALJ and moved for an additional 20 days to file exceptions if their Rule 230 petition is denied. Complainants' Pet. to Reopen the Proceedings (Petition), 4-8, Oct. 28, 2016. That same date, Complainants also filed additional proposed findings and submitted the evidence they propose the ALJ or the Commission consider. Complainants' Additional Proposed Findings of Fact and Br. (Proposed Findings), Oct. 28, 2016. Respondents filed their opposition to the petition to reopen on November 7, 2016.

Respondents' Reply to Complainants' Pct. to Reopen Proceedings (Opposition), 2-11, Nov. 7, 2016. On December 5, 2016, Complainants moved for leave to reply to Respondents' opposition brief, and Respondents filed their opposition to that request seven days later.

C. Other Legal Proceedings Involving the Parties

The parties are involved in other legal proceedings which they reference in their filings. *See* Proposed Findings at 2-7. Two proceedings involve claims brought by MAVL Capital, Inc. (MAVL) against Marine Transport, and MAVL is represented in both actions by Mr. Nussbaum, Complainants' current counsel in this is action. MAVL transports automobiles from the United States to Europe. *MAVL Capital, Inc. v. Marine Trans. Logistics, Inc.* 130 F. Supp. 3d 726, 728-33 (E.D.N.Y. 2015).

In an action filed before the Commission, *MAVL Capital, Inc. v. Marine Transport Logistics, Inc. (MAVL Capital-FMC)*, FMC Docket No. 16-16, MAVL alleges that Marine Transport violated the Shipping Act in connection with vehicles stored at Marine Transport's New Jersey warehouse.² On January 17, 2017, the ALJ issued an Initial Decision dismissing with prejudice certain claims that are unrelated to ocean transport and outside the Shipping Act's jurisdiction. *MAVL Capital-FMC*, Docket No. 16-16, at 3, 13-27 (ALJ Jan. 17, 2017).

In *MAVL Capital Inc. v. Marine Transport Logistics, Inc., (MAVL Capital-EDNY)*, No. 13-7110 (E.D.N.Y.), MAVL alleges that Marine Transport violated New Jersey law, the Shipping Act, and the Racketeer Influenced and Corrupt Organizations Act

²Complainants state that there are also pending claims in this action based on the storage and transport of two automobiles (a Porsche and Mercedes), but that is not accurate. *See* Initial Decision at 19. Claims involving the handling of a Porsche and Mercedes are asserted in *MAVL Capital-FMC*, but there are no claims involving automobiles in this action. *See id.*

(RICO), 18 U.S.C. § 1961 *et seq.* by unlawfully holding automobiles belonging to MAVL or its customers. The court has dismissed the RICO and Shipping Act claims on jurisdictional grounds and directed MAVL Capital to show cause why the state law claims should not be dismissed as well. *MAVL Capital*, 130 F. Supp. 3d at 728-33.

III. DISCUSSION

A. Motion for Leave to Reply

Complainants move for leave to reply to Respondents' opposition to their Rule 230 petition. Complainants' Mot. for Leave to File Reply to Pet. to Reopen the Proceedings (Mot. For Leave), Dec. 5, 2016. Under Commission Rule 71, parties need to demonstrate "extraordinary circumstances" to justify filing a reply to a non-dispositive motion. It provides that:

The moving party may not file a reply to a response to a non-dispositive motion unless requested by the Commission or presiding officer, or upon a showing of extraordinary circumstances.

46 C.F.R. § 502.71. Complainants argue that extraordinary circumstances exist here because Respondents have made unfounded accusations against Complainants' counsel and made conflicting representations in different legal forums. Mot. for Leave at 1-7. They also assert that a reply is warranted because Respondents are wrong on the merits in opposing Complainants' petition to reopen. *Id.* at 2-4. None of the reasons Complainants assert constitute extraordinary circumstances that warrant a reply brief. Complainants simply disagree with Respondents' arguments on the merits and seek to have the last word. Also, Complainants' Rule 230 petition addresses the legal points they request leave to argue in their reply. *See* Pet. at 5-8. For all of these reasons, we deny Complainants leave to file a reply to Respondents' opposition.

B. Petition to Reopen Proceedings

The Commission has “clear authority” under Rule 230 “to reopen a proceeding for the purpose of taking additional evidence” and broad discretion in exercising that authority. *Anderson Int’l Transp. – Possible Violations of Sections 8(a) & 19 of the Shipping Act of 1984*, 31 S.R.R. 1091, 1093 (FMC 2009); 46 C.F.R. § 502.230(d). The moving party must explain “the grounds [that] require[e] reopening the proceeding, including material changes of fact or of law alleged to have occurred since the conclusion of the hearing.” 46 C.F.R. § 502.230(a).³ Submitting evidence that was previously available to the moving party is not adequate grounds for reopening the proceedings. *See Rose Int’l, Inc. v. Overseas Moving Network Int’l, Ltd.*, 29 S.R.R. 119, 159-60 (FMC 2001).

Complainants do not address Rule 230’s requirements per se and do not allege any material change in the law or the facts. *See* Pet. at 5-8. They focus instead on general principles of fairness, the

³Complainants rely on Fed. R. Civ. P. 60 as the governing standard. Pet. at 6-7. Where, as here, the Commission rules are clear, there is no need to look to other authority for guidance or the governing standard. *Cf.* 46 C.F.R. § 502.12 (requiring Commission to follow Federal Rules of Civil Procedure “for situations which are not covered by a specific Commission rule”). And even if there were a reason to consider other authority, it is not at all clear that Fed. R. Civ. P. 60(b) offers apt guidance. It sets out the criteria for altering or amending a final judgment, and that is not the relief Complainants seek here. *See id.*; *see also* Pet. at 4-8. And finally, even if the Commission applied Rule 60’s criteria to Complainants’ petition, they would not be entitled to relief. Rule 60 authorizes courts to alter or amend a final judgment or order that it determines was the result of “mistake, inadvertence, surprise, or excusable neglect.” Fed. R. Civ. P. 60(b)(1). As discussed in Section III below, Complainants have not shown that their failure to submit previously available evidence was the result of mistake, inadvertence or excusable neglect. Complainants’ recitation of a conversation between Ms. Tarassova and Mr. Nussbaum plainly suggests that the proffered evidence was available to Complainants or their counsel by April 13, 2016, yet they made no attempt to submit it despite the ALJ’s April 12, 2016 order which suggested that the record was still open for supplementation. *See* Order dated April 12, 2016.

agency's interest in deciding matters on a complete record, and the alleged import of statements made by or about Respondents in other legal proceedings. *Id.* at 10; *see also* Proposed Findings at 2-8. Those statements, Complainants contend, undermine Respondents' credibility and show that they were duplicitous in their dealings over the three boats. *Id.* Respondents refute Complainants' assertions and contend that the proffered evidence: (1) is not "new" and was available to Complainants well before the record closed; (2) is offered in support of a claim that Complainants have not alleged; and (3) is immaterial in any event because it will not change the outcome. Opposition at 2-11.

1. Complainants' proffered evidence is not new.

The evidence that Complainants proffer consists of information derived from various pleadings filed in *MAVL Capital-EDNY*, various websites, and other sources. *See* Proposed Findings at 2-8. Much of the proffered evidence does not have an obvious connection to the claims asserted in this action, but relates to other cargo that Complainants allegedly shipped or stored using Marine Transport or other companies. *See id.* Some of the proffered evidence relates to the Mercedes and Porsche allegedly stored in Dubai. *Id.* at 2-3. There are no claims in this action relating to the two automobiles. *See* Initial Decision at 19. Other proffered evidence relates to different cargo (e.g., Four Winns⁴ and Sea Ray boats) that is also not at issue in this action. Proposed Findings at 3-4; *see also* Initial Decision (description of the claims does not refer to these vessels). The evidence also relates to entities or individuals who are not named as parties in this action, e.g., World Express and Middle East Asia FZE, and Vadim Alper.⁵ *Opposition* at 2-9.

⁴ Complainants' Proposed Findings refer to a "Four Winds" boat, which we interpret as a typographical error because we are not aware of boat manufacturer by that name. *See* Proposed Findings at 3. We presume that Complainants meant to refer to a "Four Winns" boat because there is a manufacturer by that name.

⁵ Complainants assert that Mr. Alper notarized documents which refer to Mr. Solovyev as "General Manager" of Marine Transport. Proposed Findings at 8-9.

It is a well settled principle of federal litigation that parties cannot withhold “known facts helpful to [their] cause” and later rely on them as justification for reversing an unfavorable outcome. *Munoz v. Bd. of Tr. of the Univ. of the Dist. of Columbia*, 730 F. Supp. 2d 62, 65 (D.D.C. 2010). In keeping with that principle, the Commission has denied petitions to reopen for the purpose of submitting previously available evidence. *Rose Int’l*, 29 S.R.R. at 159-60 (request to reopen the record “must fail” where evidence was available before discovery closed and movant failed to explain any material changes of fact or law); *cf. Anderson Int’l*, 31 S.R.R. at 1093 (movant’s failure to uncover sooner the proffered evidence about respondent’s bankruptcy proceedings not cause for denying petition to reopen the record). While the current version of Rule 230 does not require a “showing that the additional evidence was unavailable at the time of the prior hearing,” *see id.*,⁶ whether the proffered evidence was previously available is still a consideration. *See, e.g. Rose Int’l, Inc.*, 29 S.R.R. at 159-60.

It is undisputed that the proffered evidence was previously available to Complainants or had at least been brought to their attention before the ALJ held closing arguments.⁷ *See* Pet. at 3-4. Complainants state that the pertinent information was relayed to their then attorney (Ms. Tarassova) on April 13, 2016, by Mr. Nussbaum. *Id.* As noted in Section II, Complainants later substituted Mr. Nussbaum for Ms. Tarassova. *Id.* According to Complainants’ chronology of events, their counsel knew about the evidence by April 13, 2016. *Id.* That allowed ample opportunity

⁶ 46 C.F.R. § 502.230. That requirement was omitted when Rule 230 was revised in 1967. *Anderson Int’l*, 31 S.R.R. at 1093.

⁷ Complainants suggest that the evidence is “new” because it was revealed to them after they filed proposed findings in January 2016 (Pet. at 2, 5 n.4), but that is not the relevant date. As discussed above in Sections II and III, the ALJ directed the parties to supplement the record in April 2016 and Complainants could have proffered the evidence then.

for them to move for its admission before the ALJ heard closing arguments or issued his Initial Decision. *Id.* Closing arguments were not held until May 13, 2016 (Order dated May 5, 2016), and the ALJ was still accepting additional evidence in April 2016. Just one day prior to the Nussbaum/Tarassova discussion, the ALJ directed the parties to supplement the record by April 22, 2016, with “all documents related to the transportation of the 2008 Chaparral and the 2011 Monterey from Dubai to the United States.” Order dated April 12, 2016. That order suggests that the ALJ considered the record still open to supplementation, and Complainants could have reasonably asserted the April 13th Nussbaum/Tarassova discussion as grounds for allowing them to submit information acquired through Mr. Nussbaum. *See id.* But they did not avail themselves of that opportunity⁸ and instead waited four months after the ALJ’s Initial Decision to petition the Commission for an opportunity to submit this evidence. *See Pet.* at 4-8.

Complainants argue that Ms. Tarassova’s lack of maritime law experience excuses their inaction. *Id.* at 6. They assert that Ms. Tarassova failed to recognize the proffered evidence’s relevance because she does not have a wealth of maritime experience. *Id.* That assertion fails for several reasons. Legally, counsel’s inexperience is not grounds for reopening the proceedings. It is certainly not among the grounds specified in Commission Rule 230. 46 C.F.R. § 502.230. And as a general legal principle, parties cannot use their counsel’s alleged mistakes or inexperience to gain a second opportunity to prove or defend the claims. *See Munoz*, 730 F. Supp. 2d at 68 (plaintiff not entitled to relief under Fed. R. Civ. P. 60 based on alleged factual mistakes made by her or her counsel); *Howard v. Gutierrez*, 503 F. Supp. 2d 392, 396 (D.D.C. 2007) (attorney’s alleged mistake is not grounds for reconsideration under Fed. R. Civ. P. 59(e)); *Redmon v. United States Capitol Police*, No. 13-CF-1323, 2015 U.S. Dist. Lexis 100179, *4 (D.D.C. July 31, 2015).

⁸Complainants did not submit additional evidentiary documents in response to the April 12, 2016 order and instead referenced previous submissions and filed a declaration from Mr. Safonov. *See Complainants’ Response to Supplement the Record*, Apr. 22, 2016.

Further, it is not at all clear that maritime experience was necessary to recognize the proffered evidence's alleged relevance. *See Proposed Findings at 7-34.* Complainants assert that the proffered evidence undermines Respondents' credibility and shows that they did not follow consistent practices in issuing invoices or identifying the responsible or acting party. *Id.* at 7-10. Those are general legal issues that do not require special expertise in maritime law. For example, agency relationships related to Shipping Act claims are decided under common law. *Landstar Express America, Inc. v. Fed. Mar. Comm'n*, 569 F.3d 493, 499 (D.C. Cir. 2009) (applying "common law agency principles" and Restatement (Third) of Agency). Thus even if the law recognized counsel's inexperience as grounds for reopening the record, Complainants have not shown any connection here between Ms. Tarassova's experience, or alleged lack thereof, and their failure to offer the evidence before the ALJ held closing arguments. Complainants' failure to show that the evidence proffered is new and not just an attempt to reargue claims they lost before the ALJ is, by itself, justification for denying the petition to reopen. *See, e.g., Rose Int'l*, 29 S.R.R. at 159-60.

2. Complainants' proffered evidence is not material.

Even if Complainants were offering evidence that was not previously available, they still have to demonstrate that this "new evidence" relates to "material changes of fact." 46 C.F.R. § 502.230. Evidence is material only if there is a reasonable probability that it will change the outcome. *Green Master Int'l Freight Serv. Ltd. - Possible Violations of Section 10(a)(1) and 10(b)(1) of the Shipping Act of 1984*, 29 S.R.R. 1303, 1318 (FMC 2003) ("material facts" are facts that might "affect the outcome" under "governing law") (citing *Gonzalez v. Torres*, 915 F. Supp. 511, 515 (D.P.R. 1996)). Complainants do not clearly identify how the new evidence may impact the ALJ's findings but assert generally that it will show that Mr. Solovyev did not act merely as Marine

Transport's agent and that the parties "intended" to transport the Formula abroad. Pet. at 4-9.

With respect to the agency issue, Complainants argue that the new evidence will establish that Mr. Solovyev was "intimately involved" in Marine Transport's dealings and represented himself as its general manager. Proposed Findings at 7-8, *see also* Pet. at 4-5. Complainants also assert that Mr. Solovyev and his spouse, "were each principal and part owner" of Marine Transport. Proposed Findings at 7. Even if those assertions are true, they do not establish that Mr. Solovyev acted as an unlicensed NVOCC as Complainants allege. The ALJ found that Mr. Solovyev disclosed that he was acting on behalf of Marine Transport, which is a licensed NVOCC, and that he did not represent otherwise to the general public or hold himself out as individually providing ocean transportation services. Initial Decision at 21. Those findings are supported by the evidence, which includes email correspondence between Mr. Safonov and Mr. Solovyev. *Id.*

The law is clear on the responsibilities of agents acting on behalf of a licensed OTL. Agents of NVOCCs do not need a license to act on behalf of their principal. *Landstar Express*, 569 F.3d at 498-99; *see also* Restatement (Second) of Agency, §§ 1 and 4 (defining agency and disclosed principal). So long as the agent discloses that he is acting on the NVOCC's behalf and does not hold himself out as individually providing ocean transport or related services, the agent does not require a license. *Id.* Further, as the ALJ correctly found, corporations can only act through individuals, so the fact that Mr. Solovyev communicated for and made representations on Marine Transport's behalf does not show that he was acting as an unlicensed NVOCC. *See* Initial Decision at 19. Thus, even if the proffered evidence establishes the facts that Complainants allege, that still is not sufficient to prove that Mr. Solovyev held himself out as individually providing ocean transport services and was not acting as Marine Transport's agent.

As to Complainants' claims regarding intended transport of the Formula, they argue that the proffered evidence will show that it was "placed into the custody and control of Solovyev/MTL *solely* for purposes of export." Proposed Findings at 10 (emphasis original); *see also* Pet. at 9-10. What they fail to show, however, is that the parties actually entered into a contract to transport the Formula to Dubai or any other foreign destination. The Shipping Act applies only to cargo the parties contract to transport over water to a foreign country. 46 U.S.C. § 40101; *see generally Landstar*, 569 F.3d at 496 (Shipping Act jurisdiction cannot be extended beyond its plain language). It is undisputed that the Formula never left the United States. Initial Decision at 24-27. And while Complainants assert that the parties *intended* to transport the Formula to Dubai, they have not identified evidence proving the parties actually had a contract to that effect. *See* Proposed Findings, 2-8. Pet. at 9-10. Proof of a contract requires evidence showing that an offer was extended and accepted and that consideration changed hands. *See Vinmar Inc. v. China Ocean Shipping Co.*, 26 S.R.R. 420, 423 (FMC 1992) (citing contract law). Complainants have not identified evidence proving those required elements were met.⁹ *See* Proposed Findings at 2-8, 19-20; Pet. at 9-10. And absent evidence that the parties entered into a contract to transport the Formula abroad, Complainants do not have a Shipping Act claim for alleged overcharges or mishandling of the Formula.

Because the proffered evidence is unlikely to change the outcome, it is not material. *Green Master*, 29 S.R.R. at 1319 (proffered evidence merely reiterating prior assertions was not justification for reopening the proceedings). While it is true, as Complainants assert,¹⁰ that Commission precedent favors deciding

⁹ Complainants assert that the evidence shows that Marine Transport billed them for "shipping documentation" and a boat trailer for the Formula (Proposed Findings at 22-23). Even if those allegations are true, they do not prove that the parties had a contract to transport the Formula abroad. *See Vinmar*, 26 S.R.R. at 423.

¹⁰ *See* Pet. at 5-8; Proposed Findings at 7-8.

cases based on “the most complete record available,” *Hudson Shipping Ltd. -- Possible Violations of Section 10(a)(1) of the Shipping Act of 1984*, 29 S.R.R. 1376 (ALJ 2002), that principle applies to relevant and material evidence. Where, as here, proffered evidence will not change the outcome, it need not be considered. *See generally Michigan Consolidated Gas Co. v. Federal Power Comm’n*, 283 F.2d 204, 226 (D.C. Cir. 1960) (all “relevant facts” should be considered).

Complainants have not shown any material change in the law or the facts or any other justification for reopening the record. We therefore deny the petition to reopen the proceedings. *Cf. Anderson Int’l*, 31 S.R.R. at 1093 (Commission reopened the record to allow “directly relevant and material” evidence).

C. Request to Remand to the Administrative Law Judge

In moving to reopen the proceedings, Complainants also request a remand to the ALJ so that he might reconsider the dismissal based on the newly proffered evidence. Pet. at 1, 5. In the alternative, they request that the Commission consider the newly proffered evidence. *Id.* Because we are denying the petition to reopen the proceedings, there is no new evidence for the ALJ to consider and on that basis, we deny the request for remand. As a further consideration, Complainants have an opportunity to argue the legal points raised in support of their remand request (*See* Pet. at 9-10) by filing exceptions to the Initial Decision.

D. Motions to Extend the Deadline for Filing Exceptions.

Finally, Complainants seek additional time to file exceptions to the Initial Decision. This is Complainants’ third request. Commission Rule 227 grants parties 22 days to file exceptions to an initial decision. 46 C.F.R. § 502.227. In this case, the original July 12, 2016 deadline was extended to September 12, 2016 at Complainants’ request. The September 2016 deadline was then extended to October 27, 2016, again at Complainants’ request.

Complainants now seek an additional 20 days *after* the Commission rules on their Rule 230 petition. *See* Pet. at 10-11. As justification for extending the deadline a third time, Complainants assert that the Commission's decision on the Petition may affect their exceptions. Respondents oppose the current extension request and claim that the Petition is an attempt by Complainants' counsel to unnecessarily delay the proceeding. *See* Opposition at 1-3.

Respondents' points are well taken. Complainants' counsel has been filing motions in this action since September 2016 and over the past several months has filed a petition and proposed additional findings that discuss in some detail the ALJ's findings and the evidence, including detailed supplemental proposed findings. *See* Pet. at 2-8; Proposed Findings. Given counsel's apparent familiarity with the Initial Decision and the evidence and that Complainants have had the benefit of two prior extensions, we are denying the request to extend the filing deadline by 20 days from the date of this order and instead providing Complainants seven days in which to file exceptions to the Initial Decision.

THEREFORE, IT IS ORDERED THAT:

- (1) Complainants' motion for leave to file a reply to Respondents' opposition to the petition to reopen the proceedings is denied;
- (2) Complainants' petition to reopen the proceedings for the purpose of submitting further evidence is denied; and

(3) Complainants' request to further extend the deadline for exceptions is granted in part, and

(4) Exceptions to the Initial Decision are due March 13, 2017.

By the Commission.



Rachel E. Dickon
Assistant Secretary

Resp. App. “4”

From: Alex DR kd222555@gmail.com
 Subject: Fwd: Fwd: dubai-ny
 Date: November 12, 2015 at 13:55
 To: alena@mylawadvocate.com

----- Forwarded message -----

From: Феникс Феникс <tango333@rambler.ru>
 Date: 2014-04-28 23:50 GMT-04:00
 Subject: FWD: Fwd: dubai-ny
 To: kd222555@gmail.com

----- Пересланное сообщение ----- [Forwarded message]

От кого: Alex Solovyev (mlworld@mlworld.com)

Дата: 27 апреля 2014 г. 20:47:22

Тема: Fwd: dubai-ny

Кому: Tango Феникс (tango333@rambler.ru)

Fwd: dubai-ny

Aleksandr Solovyev
[1.646.725.1335](tel:16467251335)

Begin forwarded message:

From: Linnet <linnet@emirateslogistics.net>
 Date: April 27, 2014 at 11:21:48 AM EDT
 To: 'Alex Solovyev' <mlworld@mlworld.com>
 Cc: Zahedi <zahedi@emirateslogistics.net>
 Subject: RE: dubai-ny

Dear Alex

Pls find below the net/net buying rates for FCL

POL : JEBEL ALI

COMMODITY : BOAT

O/FRT :

POD	CARRIER	40DC/HQ	ROUTING / TRANSIT TIME (APPROX)	VALIDITY
NEW YORK	HAPAG LLOYD	USD. 2492	VIA MUNDRA – 40 DAYS TRANSIT TIME	END MAY 2014
NEW YORK	MSC	USD 3411	VIA SAI ALAH – 25 DAYS	15 MAY 2014

			TRANSIT TIME	
--	--	--	--------------	--

**** P/EFFECTS WILL NOT BE ACCEPTED BY HAPAG LLOYD

Carrier Local charges:

LTHC	:	USD. 265 / 20' & USD. 374 / 40'
BL FEE	:	USD. 103 / BL
BL SURRENDER FEE ON MSC		USD. 30 / BL, CMA CGM - SWB

Pls mark our profit share for mutual benefit.

Terms & Conditions:

* Rates quoted are for general cargo ON PREPAID BASIS only. Not applicable apply for vehicles

* Local charges at both end on Shipper / consignee account.

* Rates are subject to availability of equipment / Space & Commodity acceptance. CARGO STUGGING / LASHING ON SHIPPER'S ACCOUNT & RESPONSIBILITY.

* Transit times mentioned are approximate and could vary time to time

* Rates subject to equipment availability, space and cargo acceptance by the line.

* Cargo of Iran origin not accepted onboard Mainline carrier vessel. If found misdeclared, line reserves the right to reject acceptance of the cargo or retrieve the

cargo back to origin at booking party's cost.

* Excludes insurance/ Fumigation cost

* Random inspection if requested by customs, USD.60 + DPA charges as per receipt will be billed (at actuals – receipted)

* FDA Registered HBL to be provided upon confirmation. ISF to be filed at your end.

Trust the above meets your requirement. Look forward to your feedback / booking confirmation

Best Regards,

Linnet Sequeira

DID: +971 4 4029 186

(AS AGENTS ONLY)

Description: Description: 18A

www.emirateslogistics.net

(Sharaf Logistics LLC is now **Emirates Logistics LLC** w.e.f. 1st January 2014)

From: Zahedi
Sent: Saturday, April 26, 2014 9:01 AM
To: 'Alex Solovyev'
Cc: Linnet
Subject: RE: dubai-ny

Ms. Linnet,

Plz assist with rate.

Rgds/Zahedi

From: Alex Solovyev [<mailto:mtlworld@mtlworld.com>]
Sent: Friday, April 25, 2014 8:35 PM
To: Zahedi
Subject: dubai-ny

hi Zahedi, can u offer me 40hc, ocean freight only Dubai- NY, cargo boats?

Aleksandr Solovyev
Car Express & Import Inc
As an agent for Marine Transport
63 New Hook Road,
Bayonne, NJ 07002
Tel: [201-858-8600](tel:201-858-8600) Ext: 117
Fax: [201-603-2772](tel:201-603-2772)
Cell: [646-725-1335](tel:646-725-1335)

Skype: aleksandr.solovyev

Unless otherwise noted, all ocean freight quotations are: valid for 30 days from the date of original quotation, subject to equipment availability, subject to any and all tariff additional charges valid at time of shipment.

Inland freight quotations are: subject to third party increases valid at time of shipment, subject to any fuel surcharges valid at time of shipment, subject to weight limitations and weight distribution requirements in accordance with the local and national rules and regulations of the country(ies) of transit, subject to availability of inland carrier at time of booking. Loading, lashing, securing, blocking and bracing of cargo is for shipper's account. Carrier reserves the right to stow cargo in the best interest of the Vessel and in compliance with local, national and international rules, regulations and conventions. On deck shipments at shipper's risk.

Dangerous cargo, as defined by 49 CFR or the IMDG Code, is subject to the line's approval at time of booking. Kindly note all vessel dates are subject to changes. Equipment is subject to availability.

ALL COMMUNICATION IN THIS EMAIL IS PRIVILEGED AND INTENDED ONLY FOR THE ORIGINAL RECIPIENT. ALL OTHER USE OF SUCH COMMUNICATION IS PROHIBITED BY LAW.

Go Green! Please don't print this e-mail unless you REALLY, REALLY need to.

Resp. App. “5”

BEFORE THE
FEDERAL MARITIME COMMISSION

DOCKET NO. 15-04

CROCUS INVESTMENTS, LLC, and CROCUS, FZE
(Complainants)

v.

MARINE TRANSPORT LOGISTICS, INC., and
ALEKSANDR SOLOVYEV a/k/a ROYAL FINANCE GROUP, INC.

(Respondents)

Veritext Reporting
37 N. Orange Avenue
Suite 500
Orlando, Florida
Thursday, 1:00-5:45 p.m.
December 3, 2015

DEPOSITION OF ALEXANDER SAFANOV
INTERPRETED IN RUSSIAN

Taken on Behalf of the Respondents before
Lisa Gerlach, Court Reporter, Notary Public
in and for the State of Florida at Large,
pursuant to Respondents' Notice of Taking
Deposition in the above cause.

Page 2 1 Appearances: 2 Counsel for the Claimants: 3 LOUIZA TARASSOVA, ESQUIRE 4 The Law Office of Louiza Tarassova 5 1420 Lake Baldwin Lane 6 Orlando, FL 32814-6671 7 407.622.1885 8 louiza@mylawadvocate.com 9 10 Counsel for Respondents, by speakerphone: 11 ERIC CHANG, ESQUIRE 12 Cichanowicz Callan Keane Vengrow & Textor 13 61 Broadway 14 Suite 3000 15 New York, NY 10006-2809 16 212.344.7042 17 echang@eckvt.com 18 19 Also Present: 20 21 Valentina Maydell, Russian Interpreter 22 23 Tatiana Timoshkina, wife of witness 24 25 Aleksandr Solovyev (with his attorney by speakerphone)	Page 4 1 (The interpreter was duly sworn to 2 translate the proceedings from English to 3 Russian, and Russian to English as follows:) 4 THEREUPON, 5 ALEXANDER SAFONOV, 6 a witness herein, acknowledged after having been duly 7 sworn, testified upon his oath as follows: 8 THE WITNESS: I do. 9 DIRECT EXAMINATION 10 BY MR. CHANG: 11 Q. Good afternoon, Mr. Safonov. My name is Eric 12 Chang. I'm a lawyer for Marine Transport Logistics 13 and Aleksandr Solovyev. 14 A. Good afternoon. 15 Q. Have you attended a deposition before? 16 A. No. 17 Q. Okay. What I'd like to do now is go over 18 some basic rules for the deposition so you understand 19 what is going to take place today. Is that all right? 20 A. Yes. 21 Q. Mr. Safonov, one of the things I would ask 22 you to do is to make sure that you give a verbal 23 response, because everything that we say is being 24 written down by the court reporter, but she can't 25 write down anybody's movements or body language.
Page 3 1 INDEX 2 WITNESS EXAMINATION PAGE 3 Alexander Safonov 4 Direct by Mr. Chang 4 5 Certificate of Oath 76 6 Certificate of Reporter 77 7 Witness Review Letter 78 8 Errata Sheet 79 9 EXHIBITS 10 None 11 12 13 14 15 16 17 18 19 20 21 22 23 24 25	Page 5 1 A. I will do. 2 Q. Thank you. What's going to happen today, I 3 will ask you a series of questions, which you will be 4 answering under oath to the best of your ability; the 5 same as if a judge was asking you the questions. 6 Do you understand? 7 A. Understood. 8 Q. If I ask a question and you don't understand 9 my question, please let me know. 10 A. I will do. 11 Q. Otherwise, if you answer the question, we are 12 going to assume that you understood what I was asking. 13 A. Okay. 14 Q. Okay. Also, if I ask a question and you do 15 not remember the answer, you can say that, because 16 this is not a test of your memory. 17 A. Okay. 18 Q. Lastly, if you need a break at any point, 19 please let myself or your lawyer know. I would only 20 ask that if there's a question pending, that you 21 answer that question before we take a break. 22 Is that understood? 23 A. Okay. 24 Q. Let's begin. Mr. Safonov, where are you 25 currently residing?

2 (Pages 2 - 5)

Page 6 1 A. Boca Raton, Florida. 2 Q. Could you give the building number and street 3 address, please? 4 A. 11484 Seagrass Circle. 5 Q. Okay. How long have you lived at that 6 address? 7 A. From the summer, 2014. 8 Q. Do you live alone at that address or is 9 anyone else living with you currently? 10 A. Alone. 11 Q. Where did you live before the summer of 2014? 12 A. Dubai. 13 Q. Could you please state the address of your 14 residence in Dubai prior to the summer of 2014? 15 A. I don't remember exactly. It was Palm 16 Jumeirah Street, but I do not remember the building 17 number. 18 Q. Is there any documents that you have -- not 19 in front of you right now -- but that you have 20 elsewhere that would help you remember the address? 21 A. In general, I believe I do have some 22 documents that will confirm my address. 23 MS. TARASSOVA: Eric, I just want to 24 interject really quick. I think Mr. Safonov, 25 when he answered the question that he lives	Page 8 1 a company called Crocus Investments, LLC? 2 A. Yes, I am. 3 Q. Did you start this company? 4 A. No. 5 Q. Who started the company, Crocus Investments, 6 LLC? 7 A. Yes, I am the one who started the company. 8 Q. Okay. Mr. Safonov, did anyone assist you in 9 starting Crocus Investments, LLC? 10 A. I'm 100 percent owner of the company. 11 Q. When did you start this company? 12 A. In the summer of 2013. 13 Q. Where is this company incorporated or formed? 14 A. In Florida, Aventura. 15 Q. In the summer of 2013, when you started this 16 company, did this company have an office address? 17 A. My company was registered by a law firm, and 18 initially that law firm provided their address. After 19 that, after the company was formed, we added a second 20 address of the company, but I do not remember neither 21 one, neither first or the later added. 22 Q. Okay. Are you still the owner -- 100 percent 23 owner -- of Crocus Investments, LLC, today? 24 A. Yes, I am; 100 percent. 25 Q. Does Crocus Investments have any offices
Page 7 1 in the house alone, I think he misunderstood 2 the question. 3 Can you ask him that question again, 4 because I think he forgot to mention that his 5 wife lives with him? 6 MR. CHANG: Okay. 7 BY MR. CHANG: 8 Q. Mr. Safonov, at your Seagrass Circle address 9 in Florida, do you live there alone currently or with 10 someone else? 11 A. No. I live with my family. 12 Q. Is that including Mrs. Tatiana Safonov? 13 A. Tatiana Timoshkina; not Safonov. 14 Q. With regard to your Dubai address that you 15 were describing, how long did you live at that 16 address? 17 A. One-and-a-half years. 18 Q. Where did you live prior to that? 19 A. In Moscow. 20 Q. I'm sorry. What was the answer? 21 A. I lived -- prior to Dubai, I resided in 22 Moscow. 23 Q. Russia, correct? 24 A. Russia. 25 Q. Thank you. Mr. Safonov, are you the owner of	Page 9 1 today? 2 A. Our company office is at our home. 3 Q. When you said that you did not remember what 4 the second address was in 2013, was that a different 5 address than your home today? 6 A. No. It wasn't my present address of my 7 present home. It was, I believe, Pembroke or 8 something town -- Pembroke Pines. 9 Q. How many employees does Crocus Investments 10 have today, including yourself? 11 A. Just two of us; my spouse and I. 12 Q. That would be referring to Tatiana; correct? 13 A. Yes. 14 Q. Other than yourself and Tatiana, does Crocus 15 Investments have any other employees from 2013 through 16 today? 17 A. No. 18 Q. Mr. Safonov, what is your official title with 19 Crocus Investments? 20 A. Owner. 21 Q. Do you have any other job titles? 22 A. Well, I would say general manager. 23 Q. What kind of business does Crocus Investments 24 do today? 25 A. Online business.

Page 10

1 Q. What do you mean by, "online business"?

2 A. That is commercial secret.

3 Q. Okay. Does Crocus Investments provide

4 services to customers?

5 A. Not at this time. Not at present.

6 Q. At present, does Crocus Investments sell

7 goods to customers?

8 A. No. At present, we offer consultation only.

9 Consulting services.

10 Q. Does Crocus Investments have an online

11 website?

12 A. Yes.

13 Q. What is the website address?

14 A. There are a few website addresses, and that

15 is also a commercial proprietary -- or secret.

16 Q. Mr. Safonov, how do Crocus Investments

17 customers know who you are if you do not have a public

18 website?

19 A. Well, online business works by itself. We

20 don't have to look for clients. This is analytical

21 website.

22 Q. Did you say you have two websites for Crocus

23 Investments?

24 A. Yes.

25 Q. How long has Crocus Investments been

Page 11

1 operating these two websites?

2 A. Approximately half a year.

3 Q. Did Crocus Investments have any websites

4 prior to half a year ago?

5 A. Yes, Crocus Investments had, also, website.

6 Q. Did Crocus Investments have a website in 2014

7 and 2013?

8 A. Yes, correct.

9 Q. One website or more than one website?

10 A. One website.

11 Q. When did Crocus Investments start using that

12 one website?

13 A. In 2013.

14 Q. Is that since the beginning of the company?

15 A. Yes. When I opened the company, I also

16 prepared or made ready a website for the Crocus

17 Investments company, and the website was related to

18 boats -- motor boats -- rental -- renting motor boats.

19 MS. TARASSOVA: He said it wasn't up.

20 A. Yes; however the website was ready, but I

21 have never put -- connected it to internet.

22 BY MR. CHANG:

23 Q. Okay. Just so I understand, does that mean

24 that you never had a website address for your

25 motorboat website?

Page 12

1 A. I had the address. I registered it. I just

2 didn't open the site. I can even give the address --

3 registered address -- for my first website.

4 Q. Mr. Safonov, could you please provide us with

5 that registered address?

6 A. Crocusmarinc.com.

7 Q. When you started Crocus Investments in 2013,

8 what type of business were you doing?

9 A. That was for motorboat rentals.

10 Q. Did you provide any consulting services in

11 2013?

12 A. No.

13 Q. What kind of business was Crocus Investments

14 doing in 2014?

15 A. Consulting. Hold on. 2014 -- if you mean in

16 year 2014, I believe we didn't offer any services in

17 2014. We started consulting from 2015.

18 Q. In 2013, for motorboat rentals, how many

19 boats did you own or lease?

20 A. Three here in United States. Are you asking

21 2013? Please repeat again.

22 Q. In 2013, how many motor boats did Crocus

23 Investments have, either owned or leased?

24 A. Crocus Investments had, in 2013, one boat;

25 and that one boat we bought from Mr. Solovyev.

Page 13

1 Q. Do you remember the year, make and model of

2 that one boat?

3 A. It was Formula 24, year 2010.

4 Q. This Formula boat was at Crocus Investments

5 in Florida?

6 A. No. Mr. Solovyev stole it.

7 Q. Okay. In 2013, did Crocus Investments

8 successfully rent any boats to any customers?

9 A. No, we did not rent one, because Solovyev

10 never gave us that boat.

11 Q. Is it correct that, in 2013, Crocus

12 Investments did not obtain any rental revenue from the

13 renting of motorboats?

14 A. Yes. The company, Crocus, has not received

15 any profit or, actually, income from renting of a

16 boat.

17 Q. In 2014, did Crocus Investments have any

18 motorboats either owned or leased?

19 A. Yes. In 2014, I shipped personally, from

20 Dubai, two boats as a property of Crocus Investments.

21 And these two boats, Solovyev did not -- these two

22 boats were shipped from Dubai to him, and he did not

23 ship it forward -- the shipping. So we have not

24 received the two boats we shipped from Dubai via

25 Mr. Solovyev.

Page 14

1 Q. Mr. Safonov, are you referring to the two
2 boats that are at issue in this case, a Chaparral and
3 a Monterey?
4 A. Yes, correct.
5 Q. So is it correct that, in 2014, Crocus
6 Investments did not make any income from motorboat
7 rentals?
8 A. That is correct. Not even -- in 2014, no.
9 Q. Other than motorboat rentals, did Crocus
10 Investments make any income in 2013?
11 A. No; no other income.
12 Q. Mr. Safonov, you understand, when I use the
13 word "income," I mean any money earned or obtained by
14 the company during that year. Do you understand?
15 A. The company or Crocus Investments did not
16 have any income.
17 Q. Okay. But, Mr. Safonov, you understand that
18 when I say, "income," it doesn't mean just profits.
19 It means any money earned.
20 A. I understand the difference between income
21 and profit. But in that year, this company, which is
22 Crocus Investments, no money went through, in or out.
23 Q. Okay. In 2014, did Crocus Investments have
24 any income?
25 A. No. It's the third time you asked.

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1 MS. TARASSOVA: Eric, the prior
2 questions, weren't they about 2014 as well?
3 MR. CHANG: I think it was just 2013.
4 MS. TARASSOVA: Oh, no. We understood
5 all the questions --
6 THE INTERPRETER: I'm writing it down.
7 MS. TARASSOVA: The interpreter wrote
8 down '14. So the answers as they were
9 answered, it was for the year 2014.
10 MR. CHANG: I apologize for that.
11 BY MR. CHANG:
12 Q. In 2013, did Crocus Investments have any
13 income?
14 A. No, no income. 2013, no.
15 Q. In 2015, did Crocus Investments have any
16 income?
17 A. As of today, none.
18 Q. Mr. Safonov, if I'm asking the same question
19 more than once and you answered more than once, please
20 feel free to let me know. Understood?
21 A. Okay.
22 Q. Thank you. In 2013, were you employed or
23 working with any other company other than Crocus
24 Investments?
25 A. Yes, I worked.

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1 Q. Where were you working other than Crocus
2 Investments in 2013?
3 A. Company in Dubai.
4 Q. What was the name of this company in Dubai?
5 A. Middle East Asia Alfa.
6 Q. I will refer to this company as "Middle
7 East." When did you begin working for Middle East?
8 A. There was also a second company. It was
9 Crocus FZE.
10 Q. Mr. Safonov, when did you begin working with
11 Middle East?
12 A. I'm co-founder of that company from
13 April 2013.
14 Q. Are you still a co-founder today of Middle
15 East? Let me take that back. Sorry. Were you a
16 co-owner of Middle East in 2013?
17 A. Yes; I was also co-owner with decision-making
18 rights for the company.
19 Q. Today, in 2015, are you still a co-owner of
20 Middle East?
21 A. I haven't been to Dubai for almost a year or
22 over a year, so I don't know if that Middle East
23 company still exists. I think it was closed.
24 Q. When was the last time that you were in
25 Dubai?

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1 A. In May. We moved here -- I misunderstood. I
2 think we moved here in May 2014, but the last time we
3 were in Dubai, it was August 2014.
4 Q. Were you still co-owner of Middle East in
5 August of 2014?
6 A. Yes.
7 Q. What kind of business does Middle East do?
8 A. Okay. Repair and sale of motorboats.
9 Q. Was that always Middle East's business since
10 it started in 2013 through August 2014?
11 A. Yes, that was the services that company
12 provided -- Middle East has provided from the
13 beginning.
14 Q. In April 2013, how many employees did Middle
15 East have, including any officers of the company?
16 A. Officially employed or also part-time or
17 under-the-table workers, yes -- so-called seasonal
18 workers.
19 MS. TARASSOVA: Let me correct that
20 translation. He never said,
21 "under-the-table." He meant, like,
22 contractors. There's nothing under the
23 table.
24 THE INTERPRETER: Seasonal workers.
25 MS. TARASSOVA: Can we strike that from

Page 18

1 the record, Eric?

2 MR. CHANG: Louiza, I'm going to ask the

3 court reporter to read back the answer. Did

4 he give a number of workers, or no?

5 THE WITNESS: Nine or ten people.

6 BY MR. CHANG:

7 Q. Who was the other co-owner of Middle East in

8 2013?

9 A. Oleg Bortsov.

10 Q. Do you know a person by the name of Andrey

11 Tretiakov?

12 A. I know.

13 Q. Did Andrey work for Middle East in 2013?

14 A. Yes.

15 Q. Mr. Safonov, what was your job title with

16 Middle East in 2013?

17 A. I didn't have any other than owner.

18 Q. Do you know what Oleg's job title was with

19 Middle East?

20 A. General manager.

21 Q. Do you know what Andrey's title was with

22 Middle East?

23 A. Associate. He was more like associate.

24 Q. Did Oleg have decision-making authority on

25 behalf of the company?

Page 19

1 THE INTERPRETER: This is interpreter.

2 Could you repeat what authority? I didn't

3 hear exactly what you said.

4 MR. CHANG: Okay. Decision-making

5 authority.

6 Who is speaking right now? Is someone

7 else speaking other than Mr. Safonov? I'm

8 just hearing overlap.

9 MS. TARASSOVA: Tatiana was talking. Can

10 you repeat the question? Because I think

11 we're confused. Do you want the court

12 reporter to read back the question?

13 MR. CHANG: I'd like the interpreter to

14 translate what was just said, if that's

15 possible.

16 THE INTERPRETER: Yes. Once interpreter

17 asked to clarify what authority --

18 decision-making authority -- so Mr. Safonov

19 answered that, since he was the owner with

20 main decision-making package -- I assume he

21 had -- so he made all major decisions related

22 to the company business. It was Mr. Safonov.

23 But Oleg, as the general manager, his

24 decision making was limited to repairs,

25 maintenance or technical or sales.

Page 20

1 BY MR. CHANG:

2 Q. Do you know what Andrey's job duties were in

3 2013?

4 A. Also repair of boats; also to pick up or meet

5 the boats that arrived from Solovyev, or shipped by

6 Solovyev, to meet and pick up at the port. So Mr.

7 Tretiakov would go to the port, pick up or meet with

8 those who brought the boat, and was responsible to

9 deliver it.

10 Q. Deliver it to where?

11 A. To the warehouse, and, also, where the boat

12 maybe need to be repaired -- to the warehouse. Also,

13 he was in charge to find spare parts for repairs.

14 Q. Is that a warehouse owned by Middle East?

15 A. Yes, correct.

16 Q. Do you know when Middle East first started

17 using that warehouse?

18 A. I don't remember exactly, but I believe it

19 was from April 1st, 2013; and I was the one who rented

20 it -- the warehouse -- and I paid for it.

21 Q. Did you pay for the warehouse through August

22 of 2014?

23 A. No. I rented this warehouse for one year, so

24 I didn't pay til August of 2014; because we rented it

25 for a year, and then we moved into the office

Page 21

1 building.

2 Q. Okay. After April of 2014, did Middle East

3 rent or own any warehouse space?

4 A. Yes. We had at that time -- from April 1st,

5 we had office building and warehouse.

6 Q. Were you also the person who paid for the

7 rent of the new warehouse in April 2014?

8 A. Yes; I was the one who paid for that new.

9 Q. Okay. With regard to Middle East, were you

10 personally involved in the repair of motorboats?

11 A. No.

12 Q. Were you involved in -- were you personally

13 involved in the sale of motorboats by Middle East?

14 A. Yes, of course, I was. Without my decision,

15 nobody has right to sell anything. And I'm talking

16 about boats; because they had right to sell some cars,

17 but no authority to sell boats.

18 Q. Earlier, you mentioned that the business of

19 Middle East was for the repair and sale of motorboats;

20 is that correct?

21 A. Initially, and our intention was to sell

22 boats. That's what we did -- most of our business.

23 Just, somewhat late, Solovyev asked us to sell some

24 cars -- his cars. He asked us, actually, to help him

25 to sell his cars.

Page 22

1 Q. Do you remember how many cars Mr. Solovyev
2 asked you or Middle East to help him sell?
3 A. Two cars. He asked for help to sell off
4 quite a few cars. The amount of cars will be quite a
5 few, but he sent only two cars.
6 Q. Okay. Just so I understand, you're saying,
7 from 2013 through 2014, Middle East only helped
8 Mr. Solovyev sell two cars; is that correct?
9 A. Not exactly. The story is that his friend
10 actually stole those two cars, so I don't know exactly
11 what was going on -- what's the story with those cars.
12 One car, from what I know, he sold it without
13 my actually knowing -- it was in secrecy that he sold
14 one car -- and then sent money to Solovyev, and he did
15 it so I would not notice it or not find out about
16 that.
17 Q. When you say he sold the one car, who are you
18 referring to?
19 A. Andrey Tretiakov, the friend of Mr. Solovyev.
20 Q. Okay. Do you remember the make and model of
21 the one car that you say Andrey sold?
22 A. It was Mercedes SL65. I do not remember
23 year.
24 Q. How about the other of the two cars; do you
25 remember the make and model?

Page 23

1 A. The second one was Porsche Panamera.
2 Q. Other than these two cars, did Middle East
3 sell any other cars from 2013 to 2014?
4 A. I am not aware of any other cars. Maybe
5 they -- Andrey and his friend -- managed to bring and
6 sell some cars, but I am not aware of any other car.
7 Q. So other than these two cars, did Middle East
8 do any other business besides repair and selling of
9 motorboats?
10 A. No, nothing more.
11 Q. When did you first meet Oleg?
12 A. I'm not sure. February or March 2013.
13 Q. How did you meet Oleg in February-March 2013?
14 A. I think it was -- I saw advertisement, online
15 newspaper.
16 MS. TARASSOVA: I think he gave the
17 advertisement.
18 A. The answer is that I saw some advertisement.
19 It was in online newspaper at that time.
20 BY MR. CHIANG:
21 Q. Do you remember the name of the online
22 newspaper?
23 A. No, I do not.
24 Q. What did the advertisement say?
25 A. The ad would say, more or less, like this:

Page 24

1 "Looking for investor to open plant or shop," so
2 looking for investor to open a business.
3 Q. How long after you saw this advertisement did
4 you meet Oleg?
5 A. The advertisement was placed by Tretiakov.
6 And I believe the same week that I read it or saw it,
7 we met.
8 Q. You met Oleg; is that correct?
9 A. No. Initially, we met with Andrey. Oleg is
10 Andrey's son.
11 Q. After you met with Oleg and Andrey, did you
12 invest in their proposed company?
13 A. No. Initially, we prepared the business
14 plan. And when we prepared this business plan,
15 Andrey, of course, said then that he has a friend,
16 Solovyev, who will ship or provide boats, and we will
17 repair and sell them.
18 Q. When you said, "We were preparing a business
19 plan," that meant you and who else?
20 A. I -- myself -- Andrey and Oleg.
21 Q. After the business plan was created, did you
22 invest in the proposed company?
23 A. Of course.
24 Q. And this company became Middle East; correct?
25 A. Correct.

Page 25

1 Q. How much was your first or initial investment
2 into Middle East?
3 A. I do not remember exact details; but, at that
4 time, Oleg didn't have any money whatsoever. So I
5 agreed to put my part and also for Oleg's part. So I
6 provided for two -- both of us -- approximately half a
7 million dollars.
8 Q. Okay. And the approximately half a million
9 dollars was 100 percent of the initial investment;
10 correct?
11 A. So, yes, that was initial. And to add to it,
12 Oleg wrote, also, promissory note. It was official
13 paper -- promissory note that he will repay me back
14 within six months the amount that I loaned him, or he
15 borrowed from me; and there will be about five
16 percent, I believe, interest on that.
17 Q. Okay. After the initial 500,000 US dollar
18 investment, did you make any further investment into
19 Middle East?
20 A. I do not remember exactly or precisely what
21 sum was invested, but I do remember that it was close
22 to half a million dollars, US dollars.
23 Q. My question is: After the initial
24 investment, did you make any additional investment
25 into the company?

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1 A. No additional.
 2 Q. Okay. When you and Oleg started Middle East,
 3 did you sign any contracts or agreements stating what
 4 each partner's responsibilities were?
 5 A. The agreement or the promissory note that was
 6 written agreement, it's about the money that Oleg has
 7 to pay me back -- what I invested for him in the
 8 company. Then articles of the company were written in
 9 English. So I do not remember exactly what the
 10 articles say.
 11 Q. Was Middle East incorporated in Dubai?
 12 A. Yes. In United Arab Emirates. The city is
 13 Sharjah.
 14 So we created, at that time, two agreements
 15 or two contracts. One is about money that I invest
 16 for myself and him, and he has to repay me; and the
 17 second one about who is in charge of what -- the
 18 responsibilities of each party.
 19 Q. Mr. Safonov, who prepared the articles of
 20 incorporation?
 21 A. In City of Sharjah in United Arab Emirates,
 22 there is a so-called city zone where you get the
 23 templates for how the articles of incorporation or LLC
 24 -- so we used there and it's free of charge. We just
 25 filled it in.

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1 Q. Okay. You signed the articles of
 2 incorporation; correct?
 3 A. Yes.
 4 Q. Who else signed the articles of
 5 incorporation?
 6 A. All documents that we created were signed by
 7 each of -- both of us, Oleg and I.
 8 Q. Mr. Safonov, do you read English?
 9 A. Well, depends on what you mean, "read in
 10 English." When I look at the English text, I can
 11 see -- I read the title, I can see date, if there is
 12 state or some names.
 13 Q. Did you have any difficulty reading and
 14 understanding the articles of incorporation?
 15 A. Of course I had, because I don't know English
 16 that well.
 17 Q. Did you have someone reading the articles of
 18 incorporation to you?
 19 A. Andrey and Oleg, they both know English.
 20 Q. And did they translate the articles of
 21 incorporation to you?
 22 A. No, they did not.
 23 Q. Was the promissory note written in English?
 24 A. It was -- the promissory note was written in
 25 English, but when that was to sign -- and it was

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1 actually prepared -- I had interpreter. So
 2 interpreter -- I'm familiar with what was written in
 3 the promissory note.
 4 Q. Okay. From now on, when I talk about Middle
 5 East, I mean from 2013 through 2014 when you were
 6 involved as co-owner. Do you understand?
 7 A. Yes, I understand.
 8 MS. TARASSOVA: Eric, is it possible to
 9 take a break soon?
 10 MR. CHANG: Sure, that's fine. How long
 11 do you want?
 12 MS. TARASSOVA: Like, five minutes.
 13 MR. CHANG: Okay.
 14 MS. TARASSOVA: Is this a good time?
 15 MR. CHANG: It's fine.
 16 (Brief recess.)
 17 BY MR. CHANG:
 18 Q. Were you personally involved in the
 19 purchasing of motorboats for Middle East?
 20 A. Of course.
 21 Q. Where did Middle East get motorboats for
 22 repair and sale?
 23 A. From Solovyev.
 24 Q. But did anybody else at Middle East have
 25 involvement in the purchasing of motorboats?

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1 A. The decision making, which boat and selection
 2 and so on, was always mine. Online with Solovyev, I
 3 would look over or view the boats. And then I would
 4 make decision which one I will make -- the choice --
 5 choose the boats, and then make decision of
 6 purchasing.
 7 Q. You were the only one who had the
 8 decision-making authority for the purchase of these
 9 boats; correct?
 10 A. Yes, I'm the only one who had the authority
 11 of decision making because I'm the only one who had
 12 the money.
 13 Q. Do you know how many boats Middle East
 14 purchased from 2013 to 2014?
 15 A. I think it was ten.
 16 Q. Did you purchase, personally, all ten boats?
 17 A. Most of those boats, I made decision. Some
 18 decision making -- maybe on two or three purchases,
 19 decision was made by Sergey. There was such a
 20 associate there -- or person -- Sergcy, S-E-R-G-E-Y.
 21 Q. Sergcy is an associate with Middle East?
 22 A. He was a part-time, let's say, associate or
 23 employee for a certain period of time. He decided
 24 that he wanted to purchase two or three boats, repair
 25 them and sell, but do it through our company.

Page 30 1 Q. Okay. I'm going to use an estimate of ten 2 boats that you personally purchased for my question. 3 Is that understood? 4 A. Yes, ten. That's the one that we had in our 5 warehouse. We repaired them. That's for sure. 6 Q. Of the boats that you personally purchased, 7 do you remember where they were purchased from? 8 A. Those boats were purchased, together with 9 Solovyev, while being online -- auction called Copart. 10 That's American auction company. 11 Q. Did you ever purchase any boats from any 12 other person or place? 13 A. No. All boats were purchased from Solovyev. 14 Q. Were you personally involved in arranging the 15 transportation of these boats from the US to Middle 16 East in Dubai. 17 A. No, because that was doing -- Solovyev. 18 Mr. Solovyev, he was in charge of that. 19 Q. Okay. Who at Middle East was in charge of 20 getting the boats from the US to Dubai? 21 A. During auction, I and Solovyev were there. I 22 chose the boat and we bought it. And Solovyev would 23 be paid commission once I purchased the boat in 24 auction. And then his company, Logistics, was 25 responsible to arrange shipping of purchased boat from	Page 32 1 Q. Okay. If Solovyev had problems with the 2 transportation, who would he talk to at Middle East? 3 A. To me in Middle East if he has problem. 4 Q. If Middle East wanted to change any 5 transportation arrangements, who at Middle East would 6 talk to Solovyev? 7 A. In that case, I -- I am the one who will make 8 decision. 9 Q. Do you remember when you purchased your first 10 boat from Copart? 11 A. I don't remember exactly. I believe it was 12 March; maybe April. I would rather say March. 13 Q. Okay. You described looking at an auction 14 with Solovyev to pick out the boats; correct? 15 A. Yes. 16 Q. Is that an online auction? 17 A. Skype -- through Skype. 18 Q. Is it correct that you would -- how did you 19 find the boats that you wanted at the auction? 20 A. It's elementary. You just go on the website 21 of that auction and view whatever they have to 22 auction. There is a website, Copart Auction. 23 Q. Mr. Safonov, how did you find the Copart 24 website? 25 A. The website I got, Andre Tretiakov, he
Page 31 1 US to Dubai; and in Dubai, also to receive it and 2 deliver. 3 MS. TARASSOVA: Eric, did you get your 4 answer? Because I kind of know what you're 5 asking and I don't know if they answered it 6 collectively. 7 MR. CHANG: Not really, but. 8 MS. TARASSOVA: I think Mr. Safonov is 9 not sure if you're asking him what you're 10 asking him. Let me -- 11 MR. CHANG: Could the court reporter read 12 the question? 13 THE REPORTER: "Who at Middle East was in 14 charge of getting the boats from the US to 15 Dubai?" 16 THE WITNESS: Okay. Now, I was the one 17 who would choose at auction which boat to 18 bid, which to buy. I paid -- I bought the 19 boat and also paid commission to Solovyev. 20 And Solovyev was responsible for shipping 21 organizing -- shipping of that boat from US 22 to Dubai. And in Dubai, Andrey was the one 23 who was supposed to receive the shipment and 24 deliver to warehouse. 25 BY MR. CHANG:	Page 33 1 provided the name or address of the website. 2 Q. Do you need a user name to access the auction 3 website? 4 A. Yes. One needs to register with the website 5 first. 6 Q. Did you register for the website? 7 A. Of course. Otherwise, I would not be able to 8 do anything. 9 Q. Okay. Is this website open to the public? 10 A. Of course. How I got there? The same way. 11 It's just public. You go and register and 12 participate. 13 Q. Okay. If you registered for the website, why 14 did you need Solovyev to help you purchase the boats? 15 A. The problem would be how to deliver, ship it 16 from one place to another without American company 17 here. You can't go through the customs. You can't do 18 all the shipping, paperwork and the shipping itself. 19 For shipping abroad, you have to have a 20 higher company that is licensed. Even if I would come 21 to United States and buy my -- buy some boat -- in 22 order to ship it back to whatever place I live, I will 23 have to hire a licensed company to do that. 24 Q. In 2013, were you living in Florida? 25 A. No. We just came here in the summertime of

Page 34 1 2013 to register our company here. 2 Q. How many months did you spend in Florida in 3 2013? 4 A. Two. 5 Q. Do you remember which months? 6 A. July and August. I remember because children 7 start school, and our child starts school 8 September 1st. So we left at the end of August -- 26, 9 27. End of August, we left for home. 10 Q. Where was your full-time residence in 2013? 11 A. Dubai. 12 Q. Okay. Once you purchased the boats from 13 auction, how did you pay for the boats? 14 A. The payment was made from my company, Crocus 15 FZE. 16 Q. Was the payment by credit card, by wire? 17 A. Bank wire. 18 Q. Did you wire the purchase money to the 19 auction directly? 20 A. No. I wired it to Solovyev's company. 21 Q. So how did the auction get their money for 22 the boats? 23 A. From Solovyev. 24 Q. Did you -- and by you, I mean Crocus FZE -- 25 wire the money to Solovyev before or after Solovyev	Page 36 1 Within 24 hours, he will call me and say, "I got the 2 money. The money is clear." 3 Q. After you purchased the boat and after you 4 paid for the boat, would you give instruction on where 5 to ship the boats to Solovyev? 6 A. Yeah. He had to ship each boat to Middle 7 East Asia Alfa. Solovyev, initially, I thought, told 8 me he supposed to ship the boats to my company Crocus 9 FZE; however, he told me that he needs to ship it to 10 Middle East Asia Alfa company for the reason that 11 there is a free zone in Dubai and it will be -- the 12 shipping itself will cost less. Of course, later, I 13 learned that it wasn't true. They could have shipped 14 directly to my company, Crocus. 15 Q. Did you give directions to Mr. Solovyev to 16 ship to Middle East? 17 A. Yeah, I gave directions. 18 Q. Before that, did you suggest to Solovyev to 19 ship the boats to Crocus FZE? 20 A. No. He shipped first boat, and all of them, 21 to Middle East company. Only later, when I found out 22 that it is a scheme, that boats have to be shipped to 23 Middle East Asia company, I told him that I want him 24 to ship to Crocus FZE. 25 Q. I apologize if I'm confusing. Earlier you
Page 35 1 wired the money to the auction house? 2 A. Before -- before the Copart auction -- 3 because auction company allows only three days for 4 money wiring for the purchased item. 5 Q. So do you know if Solovyev paid the auction 6 house before you paid Solovyev? 7 A. I don't know, but I believe that nothing like 8 that could have ever happened. He never could 9 purchase anything on the money that he has. Also, as 10 a business point of view, it doesn't make much sense, 11 because, in case I would say, "Oh, I changed my mind," 12 then he will be stuck with boat. In business, nobody 13 does like that. 14 Q. Okay. Do you know how long it takes for a 15 bank wire to clear from Dubai to the US? 16 A. 24 hours. Actually, one business day. 17 Q. Was the same procedure followed for every 18 boat that you personally purchased from Solovyev? 19 A. Down the road -- not at the beginning, but 20 down the business trail, I sent or wired money ahead 21 to Solovyev, so Solovyev would have some extra money 22 just in case -- for different operations or whatever 23 needs might pop up. 24 One business day, why it takes to clear the 25 money, is because every time money -- I wire money.	Page 37 1 said that you wanted the boats shipped to Crocus FZE, 2 but you were convinced instead to ship to Middle East 3 because of a free zone. Is that correct? 4 A. Yes, that's correct. 5 Q. Did you give instructions to anybody to ship 6 the boats initially to Crocus FZE? 7 A. I didn't discuss that issue with Solovyev -- 8 Mr. Solovyev. With our business, Mr. Solovyev was -- 9 that from the beginning -- he has to ship boats to 10 Middle East company. 11 Q. Are you the owner of Crocus FZE? 12 A. Yes, 100 percent. 13 Q. When did you start Crocus FZE? 14 A. November 2012. 15 Q. Where is Crocus FZE incorporated or 16 registered? 17 A. In United Arab Emirates, city Ras al-Khaimah. 18 Q. Do you hold citizenship in the UAE? 19 A. No, I don't have citizenship. 20 Q. Where is your country of citizenship? 21 A. Russia. 22 Q. Has it always been Russia, or do you have 23 separate or dual citizenships? 24 A. I don't have dual. I always -- I actually 25 have had initial Soviet citizenship when Soviet Union

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1 existed; and after that, I become -- my citizenship is
 2 country, Russia.
 3 Q. Are you in the US on a visa?
 4 A. Of course.
 5 Q. Do you know what type of visa?
 6 A. I applied for student visa and still waiting
 7 for that.
 8 Q. When did you apply for the student Visa?
 9 A. In June, I believe.
 10 Q. June of which year?
 11 A. This year, 2015.
 12 Q. What's your highest level of education?
 13 A. I'm an attorney, or I have degree in
 14 jurisprudence.
 15 Q. Which institute awarded you the degree of
 16 jurisprudence?
 17 A. Moscow State Law Academy -- State Academy of
 18 jurisprudence. Law school in the United States.
 19 Q. Is that a question for me?
 20 THE INTERPRETER: No. It's in other
 21 words, the translation for you.
 22 BY MR. CHANG:
 23 Q. When did you get your degree from the Moscow
 24 State Law Academy?
 25 A. I graduated in 2000 -- year 2000.

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1 Q. Have you ever practiced as an attorney?
 2 A. No. I always worked in a business as a
 3 businessman.
 4 Q. When did you enter the Moscow State Law
 5 Academy?
 6 A. In 1995.
 7 Q. Were you attending any university or college
 8 institute prior to 1995?
 9 A. No.
 10 Q. Were you working full-time before 1995?
 11 A. I was in military -- served military.
 12 Q. Where did you first work after graduating
 13 from the Moscow State Law Academy?
 14 A. Once I graduated, I registered right away --
 15 a company in Moscow.
 16 Q. What was the name of that company?
 17 A. AES Invest, if you are interested.
 18 Q. What did this company do?
 19 A. Real estate.
 20 Q. Does that mean finding and purchasing homes
 21 for other people?
 22 A. Yes, of course; all transactions -- buying,
 23 selling real estate.
 24 Q. Did that include buying and selling real
 25 estate for your personal investment?

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1 A. Sure. Once I made the profit, I bought for
 2 myself, apartment.
 3 Q. How long did you have this real estate
 4 company?
 5 A. I do not remember. Maybe three, maybe five
 6 years.
 7 Q. Okay. Do you remember where you worked after
 8 that?
 9 A. Then, after that, I also registered another
 10 company.
 11 Q. What was the name of this company?
 12 A. An Energo Construction Project --
 13 Energo-Stroy -- E-N-E-R-G-O, dash, S-T-R-O-Y, Project.
 14 Q. What type of business did Energo Construction
 15 Project do?
 16 A. Engineering and communication.
 17 Q. You were the owner of this company?
 18 A. Yes.
 19 Q. Do you remember how many employees this
 20 company had?
 21 A. It varied from 50 up to 120 employees.
 22 Q. How long did you continue to work with Energo
 23 Projects?
 24 A. Till the end of 2011.
 25 Q. Where did you next work after 2011?

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1 A. We moved to Dubai.
 2 Q. Where did you next work in Dubai?
 3 A. I registered my first company there, Crocus
 4 FZE.
 5 Q. Okay. With your real estate company, why did
 6 you decide to leave real estate?
 7 A. Because I bought final apartment for myself,
 8 and I didn't want to continue that. I didn't like
 9 that type of business.
 10 Q. Did you sell the company?
 11 A. No. In Russia, at the time, you don't sell
 12 company to somebody else. You just close it.
 13 Q. With Energo Projects, why did you decide to
 14 leave in 2011?
 15 A. I got tired.
 16 Q. Did you sell Energo Projects to anybody?
 17 A. No; I closed it as well. At that time, I
 18 needed some medical treatments that I was seeking
 19 abroad, so I decided to close company and we left.
 20 Q. Have any of your companies ever filed for
 21 bankruptcy?
 22 A. No.
 23 Q. What type of business does Crocus FZE do?
 24 A. The company that I opened, I wanted to be
 25 investor. I was looking for the companies to

Page 42 1 invest -- to be investor. As soon as I moved there, 2 these two Tretiakovs showed up. 3 And, if you actually -- in order to get Dubai 4 visa, you have to declare yourself of being capable 5 investor. Otherwise, no visa. 6 Q. Did Crocus FZE invest in any other companies? 7 A. No; only this one. 8 Q. I'm sorry? 9 A. Only this one. 10 Q. Only Middle East; correct? 11 A. Yes. 12 Q. Did Crocus FZE have any contractual 13 relationship with Middle East? 14 A. Yes; there was agreement between Crocus FZE 15 and company, Middle East Asia Alfa, that I, as Crocus 16 FZE, invest my money into Middle East Asia Alfa. Not 17 only my part of the money, but also invest money in 18 their part that -- what they're supposed to invest -- 19 so for two people. 20 Q. Do you know how many boats were repaired by 21 Middle East? 22 A. All of them that came in, all were repaired. 23 Q. Do you know how many boats were sold by 24 Middle East? 25 A. Seven.	Page 44 1 A. Tretiakov, with his son, Oleg. 2 Q. I'm going to ask you questions about the 3 three boats at issue in this case. Do you know which 4 boats I'm referring to? 5 A. Yes, I'm aware of what boats you're talking. 6 Q. Other than these three boats, did you have 7 any problems with the purchase and shipping of boats 8 through Mr. Solovyev? 9 A. No. Everything was fine. 10 Q. Starting with the Chaparral and the Monterey, 11 do you remember when these two boats were purchased? 12 A. I don't remember exactly, but, approximately, 13 it was May 2013. All boats were purchased between 14 March and August. But which boat was purchased 15 exactly what month, I do not remember. But we do have 16 receipts or invoices. 17 Q. I'm just going to represent to you that the 18 Chaparral and Monterey were purchased in May 2013. Is 19 that understood? 20 A. Uh-huh. 21 Q. Does that sound correct? 22 A. I already told you that I do not remember, 23 but if you want to let me look up in computer? 24 Q. That's fine. 25 MS. TARASSOVA: Eric, I'm showing him the
Page 43 1 Q. What was Middle East's income for the year 2 2013? 3 A. In 2013, the company, Middle East, didn't 4 have any. Actually, they lost -- the company lost 5 money. 6 Q. I'm sorry to hear that. In 2014, did Middle 7 East have any income? 8 A. The income was from seven boats that we sold. 9 Whatever those seven boats were sold, that was income; 10 but it did not cover the expenses of the company 11 repairs and the rest. 12 Q. Do you remember approximately how much that 13 income was in 2014 we're talking about? 14 A. I don't know the numbers, because, in that 15 company, everything was so bad -- looking bad -- that 16 I do not remember and do not want to. Nobody was 17 actually counting money in that company. 18 Q. Just to clarify, earlier, when you said there 19 was no income for Middle East in 2013, were you 20 referring to revenue or to profit? 21 A. Talking about profit. There was none in 2013 22 and 2014. No profit for sure. They were stealing 23 everything. 24 Q. When you say "they," who are you referring 25 to?	Page 45 1 bill of sale for the Chaparral. 2 MR. CHANG: Do you have a Bates number 3 for the document? 4 MS. TARASSOVA: Yes, it's P-7. 5 MR. CHANG: Do you want us to mark it as 6 an exhibit, Louiza? 7 MS. TARASSOVA: I'm trying to refresh his 8 memory so he can confirm the information. 9 MR. CHANG: That's fine. 10 MS. TARASSOVA: Then I'm showing him the 11 certificate title for the Chaparral. 12 MR. CHANG: Can we get a Bates number for 13 that too? 14 MS. TARASSOVA: P-8. 15 MR. CHANG: Okay. 16 THE WITNESS: Okay. Chaparral, 2008, the 17 receipt is July 5th, 2013. Hold on. And 18 Monterey, the bill is dated April 18th. 19 BY MR. CHANG: 20 Q. For these two boats, how did you purchase 21 these boats? 22 A. Okay. We went on a website, Copart auction. 23 On their website, they post, usually, a date -- exact 24 date of the auction that this particular -- that sale 25 will take place. And, also, they show on a website

Page 46 1 that this particular boat -- what exact day it will be 2 auctioned -- when one can participate in the auction. 3 Q. Okay. Were you in communication with anybody 4 when you purchased these boats? 5 A. The auction is run online on the screen. 6 Solovyev participated, and I. We both simultaneously 7 participated in that auction. You see online how much 8 the bid is -- each bid and so on. It's same like we 9 are sitting with you right now and talking. I sat 10 online with Solovyev and witnessed auction and were 11 doing bidding. 12 Q. So you were on a video conference of some 13 type with Solovyev when purchasing these boats? 14 A. Of course. 15 Q. Was there anybody else as part of that video 16 conference? 17 A. Andrey also was sitting, witnessing -- just 18 watching all of it. 19 Q. Where were you physically at the time of this 20 video conference? 21 A. I was in Dubai. Each one of us was at own 22 home. I was in Dubai. Solovyev was in New York. 23 Andrey also was at his home. 24 Also, when auction is in New York, then, in 25 Dubai, it's a deep late night, so usually it's like	Page 48 1 than by video conference, how did you communicate with 2 Mr. Solovyev? 3 A. Different ways: Skype, mail, and telephone. 4 Q. Is that mail or e-mail? 5 A. E-mail. 6 Q. In Dubai, did you go into the Middle East 7 warehouse on a daily basis? 8 A. Practically every day. 9 Q. And you spoke or met with Andrey at Middle 10 East practically every day; correct? 11 A. Of course. 12 Q. With the Chaparral and Monterey, after you 13 purchased the boats from Copart, did you specifically 14 instruct Mr. Solovyev to ship the two boats? 15 A. Yes, I did. 16 Q. Did you instruct him by Skype, telephone or 17 e-mail, or a combination? 18 A. Instructions via Skype; and the bill, e-mail. 19 Q. The bill from Mr. Solovyev to your company? 20 A. Yes. 21 Q. Okay. Do you know who the ocean carrier was 22 for the Chaparral and Monterey? 23 A. I understood Mr. Solovyev's company, MTL. 24 Q. Okay. Do you know what kind of company 25 Marine Transport Logistics is -- MTL?
Page 47 1 10:00, 11:00 at night, or even later. 2 Q. After you purchased the two boats, you would 3 wire transfer the purchase money to Mr. Solovyev's 4 company; is that correct? 5 A. As soon as the bidding is over and we got the 6 highest bid, within an hour or two, Solovyev would 7 send right away, electronically, a bill. Next day in 8 Dubai, I wake up in the morning. I already have the 9 bill, and then I go to the bank and wire. 10 MS. TARASSOVA: Eric, can we take a break 11 soon? 12 MR. CHANG: How long a break were you 13 thinking? 14 MS. TARASSOVA: Five minutes. It's been 15 another hour-and-a-half. 16 MR. CHANG: That's fine. I'm probably 17 going to wrap up with Mr. Solovyev maybe in 18 the next 45 minutes; and then real quick with 19 Ms. -- her last name -- I apologize -- I 20 forget -- 21 THE INTERPRETER: Ms. Timoshkina. 22 MR. CHANG: I'll try to remember. 23 (Brief recess.) 24 BY MR. CHANG: 25 Q. Still on the Chaparral and Monterey, other	Page 49 1 A. Logistics, shipping. It's a shipping 2 company, logistics. 3 Q. Did you ever personally communicate with 4 anybody at MTL? 5 A. With Mr. Solovyev only. 6 Q. Okay. Do you recall paying for ocean 7 transportation of the Chaparral and Monterey? 8 A. You mean for these two boats; yes? 9 Q. Correct. Just the Chaparral and Monterey. 10 A. I do not remember exactly what amount went 11 for these two or each separately. I remember that 12 payments that I made, usually it was like 3,000 US 13 dollars, or payment in 15,000 -- the wire -- \$15,000. 14 Or even 50,000 US dollars. Depends on what was the 15 price and how many boats were purchased. 16 Q. Do those dollar amounts that you just 17 described include the purchase price of the boats? 18 A. Yes. The bill that I would receive from 19 Solovyev to wire money always included the price of 20 the boat, delivery, and services for the -- for the 21 services provided by Solovyev's company and all -- the 22 shipping itself. 23 Q. Do you know if there is a bank charge for 24 wire charges from Dubai to the US? 25 A. Yes, there is a fee.

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1 Q. How much is the fee for the bank wire
2 transfer?

3 A. The fee in Dubai is in United Arab Emirate
4 money, so they're higher. Once we use the foreign
5 currency calculation, it would cost between 50 and 60
6 US dollars for each wire.

7 Q. That fee is paid by you; correct?

8 A. Bank automatically takes from my account that
9 money. So, of course, I paid.

10 Q. What I mean is, the amount of the transfer
11 fee is not deducted or taken out of the money you
12 send, but it's in addition to the money you send;
13 correct?

14 A. Yes, of course, it was in addition; not from
15 the amount that I wired.

16 Q. Do you know when the Chaparral and Monterey
17 were shipped from New Jersey?

18 A. I do not remember precise date. Well,
19 there's a lot of paper in here -- documents -- so I
20 won't be able to find it quickly.

21 Q. That's fine. Were you in Dubai at Middle
22 East when the Chaparral and Monterey arrived in Dubai?

23 A. Yes.

24 Q. So you knew that they had been shipped and
25 arrived in Dubai; correct?

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1 A. Yes, I knew.

2 Q. Were you at Middle East when the Chaparral
3 and Monterey were being repaid by Middle East?

4 A. Of course I was there, because any repair and
5 all repairs were done from my money. If I wouldn't be
6 there, nothing would be done.

7 Q. Okay. Do you know when the repairs were
8 completed on the Chaparral and Monterey?

9 A. All boats were repaired and ready for sale by
10 March 1st, 2014, because that was -- at that time,
11 there was planned or scheduled some exhibition of
12 boats -- the boat show -- March 4th was supposed to
13 start. So we were getting ready all those boats for
14 the show.

15 Q. That is including the Chaparral and Monterey;
16 correct?

17 A. Yes.

18 Q. Did Middle East successfully present the
19 Chaparral and Monterey at the exhibition?

20 A. No, they were not -- we were not able to sell
21 them. Those two were not sold.

22 Q. Was the exhibition an exhibition for sale of
23 the motorboats?

24 A. Yes; it was exhibition for sale -- show and
25 sale.

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1 Q. But Middle East had other boats at the
2 exhibition on March 4th; correct?

3 A. Yes.

4 Q. And the other boats -- not the Chaparral and
5 Monterey -- were those boats at the exhibition?

6 A. Yes. All boats were sold except these two.
7 All boats that we had were presented at that
8 exhibition -- all of those were sold except the two,
9 Monterey and Chaparral.

10 Q. Were you personally present at the
11 exhibition?

12 A. Yes.

13 Q. Okay. What was Middle East's plan to sell
14 these two boats after the exhibition?

15 A. To ship them to United States, so we can use
16 them as rentals or charter; to rent them out in Miami.

17 Q. Were you the person who authorized that
18 decision?

19 A. Yes.

20 Q. Did you personally arrange for the
21 transportation of these two boats from Dubai to the
22 US?

23 A. No, I did not do it in person. That's
24 employee or coworkers, were doing that.

25 Q. Did you give the instructions to arrange the

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1 transportation to the employees or coworkers?

2 A. Of course. And I left, also, money for that
3 procedure. I couldn't take part in the shipping
4 process myself because I was already ready to fly to
5 United States, but I left money for them for that
6 process.

7 Q. Do you remember which Middle East employee
8 you gave those instructions to?

9 A. Yes. Middle East employees, Andrey and Oleg.

10 Q. Okay. Do you know if these two boats were
11 shipped by Middle East back to the US?

12 A. Yes, and I have documents to verify.

13 Q. Do you know how long it takes to ship a boat
14 from Dubai to the US?

15 A. On average, 40 days, plus, minus, but average
16 is 40 days.

17 Q. Do you know how long it takes to go the other
18 way, from US to Dubai?

19 A. I wasn't counting days exactly, but I think
20 an average is the same. Well, I know that there is a
21 little bit longer -- takes longer from Dubai from US
22 than from US to Dubai.

23 Q. Okay. Do you know when the Chaparral and
24 Monterey arrived in the US?

25 A. I called -- I remember I talked -- called

Page 54 1 Solovyev -- and it was 4th of July. And Solovyev told 2 me, "Tomorrow the boats should be here." 3 Q. Once the boats arrived in the US, what did 4 you do after you called Solovyev? 5 A. He told me to clear US Customs will cost 6 1,500 US dollars. And the bill -- and he said, 7 "Please provide company requisites or information," 8 that I should issue invoice to -- to what company I 9 should invoice to. 10 Q. Did you provide that information to 11 Mr. Solovyev? 12 A. Of course. I e-mailed him. 13 Q. What was the company that you wanted him to 14 arrange transportation to? 15 A. Crocus Investments, LLC. 16 Q. In Florida; correct? 17 A. Yes. 18 Q. And did you make the payment of \$1,500 for 19 the customs clearance? 20 A. No, I did not because I hadn't had time. As 21 soon as I e-mailed him requisites, shortly after, 22 Solovyev disappeared. After that, he did not even 23 send me invoice or bill. He stopped answering my 24 phone calls, answering e-mail. 25 Q. When did you e-mail Solovyev to offer to make	Page 56 1 Q. When you say, "e-mails," do you mean that you 2 sent more than one e-mail afterward? 3 A. Yes; a few e-mails. 4 Q. Does that mean more than five e-mails? 5 A. More than five. 6 Q. More than ten e-mails? 7 A. That, I do not remember. 8 Q. So between -- 9 A. I can see that -- on this e-mail address, I 10 already see 13 e-mails. But I remember that I have 11 another e-mail address, and there were some too. So 12 you can say more than ten. 13 I just found in my e-mail box that on 14 July 17, 2014, I e-mailed him requisites of my 15 company. And, here, I can see in this mailbox, he 16 sent me invoice for his services. It was 17 -- 17 July 17th, he sent me -- 2014 -- and he replied July, 18 also, 17th. 19 Q. Just to make sure everything is clear, are 20 you saying that on July 17, 2014, you e-mailed 21 Mr. Solovyev about these two boats? 22 MS. TARASSOVA: Eric, I think we're a 23 little bit confused about what you're asking. 24 There are many e-mails. Which timeframe are 25 you asking about?
Page 55 1 the payment of the \$1,500? 2 A. I believe it was also 4th of July 2014, but 3 I'm checking in my files. Okay. In my paper, it says 4 July 16, but that's when I prepared the paper. I need 5 to look in my e-mail box. I am sure that it was in 6 July, but exact date, I will provide later. 7 Q. Could you identify what document you're 8 looking at? 9 A. Just e-mail message. 10 MR. CHANG: Is Mr. Safonov looking at a 11 document or -- 12 MS. TARASSOVA: He's looking in his 13 computer. He's trying to find the e-mail. 14 THE WITNESS: Do you really need exact 15 date? 16 MR. CHANG: If he can find it easily now. 17 If it's going to take some time, we'll ask 18 for it later on. 19 THE WITNESS: Okay. Then later. 20 BY MR. CHANG: 21 Q. After you sent the letter to Mr. Solovyev, 22 did you try to reach him by telephone? 23 A. Yes, I sent e-mail. I tried to call. I send 24 e-mails, other calls; but there was no response to any 25 of my e-mails or phone calls.	Page 57 1 MR. CHANG: He just mentioned -- sounds 2 like an e-mail, a response, and then a reply 3 all taking place on July 17th. I'm trying to 4 clarify if that's what he meant. 5 MS. TARASSOVA: But are you asking about 6 that timeframe? Because he's confused about 7 what timeframe you're talking about. 8 BY MR. CHANG: 9 Q. On July 17th, 2014, did you e-mail 10 Mr. Solovyev? 11 A. I e-mailed him my company requisites, yes. 12 Q. Did you receive a response from Mr. Solovyev 13 on July 17th? 14 A. No. I have not received a response on my 15 e-mail to him. 16 Q. Did you receive an invoice from Mr. Solovyev 17 at any time in July or August 2014? 18 A. Okay. I received in August, more or less in 19 one month after, for parking. 20 Q. After you received the invoice from 21 Mr. Solovyev, what did you do? 22 A. Initially, once I received his invoice, I 23 replied to that written reply that I do not agree with 24 his invoice numbers. 25 Q. Okay. Do you remember which part of the

Page 58 1 invoice you disagreed with? 2 A. All of them. Neither. There was none that I 3 would agree with. 4 Q. Did you disagree with the customs clearance 5 charge? 6 A. That part wasn't there listed at all. 7 Q. The customs clearance was not listed in the 8 August 2014 invoice; is that correct? 9 A. I do not remember precisely at this moment, 10 but I think it was not included in that invoice. 11 Q. Okay. Do you agree that you are responsible 12 to pay a customs clearance charge? 13 A. Of course I agree, and that's why I e-mailed 14 him in July my requisites, which means banking, 15 address, how to pay and so on. And after I sent him 16 my requisites and had not received anything from him, 17 I wrote him a letter that why -- it's not a business 18 where you're screwing up for him to hide or avoid any 19 contact and give any explanation. 20 After I sent a few of those, I received, from 21 him, invoice -- that one that we are talking about. 22 And that invoice supposed to be parking, storage or 23 whatever, of those boats. 24 Q. Did you agree that you would be responsible 25 for the uploading of the two boats in the US?	Page 60 1 A. Two or three days after I arrived to Dubai. 2 Q. Did you speak to either Andrey or Oleg about 3 the Chaparral or Monterey? 4 A. Yes. 5 Q. What was their response to you? 6 A. They told me, "You have no reason for worry. 7 Go back and everything will be fine." 8 Q. What did you do afterward? 9 A. We came to office; and what I found, that all 10 spare parts or repair parts were stolen, missing. The 11 business car or company car was stolen or missing. 12 And when I saw that, I filed complaint with police. 13 Q. Are you saying someone stole the company car 14 from Middle East? 15 A. Not somebody. Andrey stole the company car. 16 Nobody else in Dubai steals. 17 Q. Then you said you filed a complaint with the 18 police against Andrey; is that correct? 19 A. Yes, correct. 20 Q. Have you been able to recover your car, the 21 company car? 22 A. No. 23 Q. Has anything been done by the police 24 regarding your complaint? 25 A. Well, police accepted my complaint and told
Page 59 1 A. Yes; of course it's my responsibility; but as 2 I already told you, I send him requisites, which means 3 my banking account, all company -- for the purpose 4 that he will issue an invoice -- invoice me for the 5 services. And he received that from me, he 6 disappeared. 7 Q. Okay. Did you speak with anyone at Middle 8 East about these two boats after they arrived in the 9 US? 10 A. No, because his friend, Andrey Tretiakov, 11 also disappeared. They both disappeared -- or all of 12 them. And that's why I had to then -- I had to fly 13 back to Dubai and start looking for them. 14 Q. When did you fly back to Dubai to look for 15 Andrey? 16 A. Yes. At the beginning of August -- more or 17 less August 5th -- approximately August 5th, I flew to 18 Dubai. 19 Q. Is that in 2014? 20 A. Yes. 21 Q. Were you able to find Andrey or Oleg in 22 Dubai? 23 A. Yes, I found; because they did not expect me 24 to show up there. 25 Q. When did you find Andrey and Oleg?	Page 61 1 us, "We will look into it." Now just wait until we -- 2 at that point, Andrey disappeared completely. And we 3 returned back to United States because our kid has to 4 go to school. 5 Q. I'm going to ask questions now about the 6 Formula boat. Do you remember when you purchased that 7 boat? 8 A. In July 2013. 9 Q. Was this boat also purchased online at 10 auction? 11 A. Yes. 12 Q. Were you also in a video conference with 13 Mr. Solovyev and Andrey for this purchase? 14 A. I do not remember whether we were in video 15 conference with him and how long, but I can say for 16 sure that the boat -- this boat -- was also purchased 17 on auction. That's for sure. 18 Q. Do you remember telling Mr. Solovyev to send 19 the Formula to Middle East? 20 A. Yes. 21 MS. TARASSOVA: Hey, Eric? 22 MR. CHIANG: Yes. 23 MS. TARASSOVA: It's getting close to 24 5:00, and they do need to head back soon 25 because they have a child that's on her own.

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1 It's a two-and-a-half-hour drive.
 2 So what do you want to do? How do you
 3 want to plan it out? Because I don't know
 4 how much longer you have with Mr. Safonov,
 5 but you still wanted to depose Tatiana. They
 6 could probably go another hour, but that's it
 7 because they have to head back to their
 8 daughter.
 9 MR. CHANG: I'll try to wrap it up. I
 10 don't want to bring them back.
 11 MS. TARASSOVA: And they don't want to
 12 have to come back either. That's why they
 13 would prefer to get as much done today as
 14 they can, but, at the same time, head back
 15 within --
 16 MR. CHANG: If it looks like we're not
 17 even close, we'll work something else out.
 18 I'll try to wrap it up.
 19 MS. TARASSOVA: Thanks.
 20 BY MR. CHANG:
 21 Q. Mr. Safonov, do you remember paying for ocean
 22 freight for the Formula?
 23 A. Yes, from Bank PNC.
 24 Q. Do you remember when that payment was made?
 25 A. I have the bill or statement at home, but I

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1 don't remember precisely. Summer, in July.
 2 Q. You mentioned earlier that it takes
 3 approximately 40 days for a boat to move from the US
 4 to Dubai; correct?
 5 A. No. The big boats, it takes longer than
 6 40 days.
 7 Q. Okay. Do you consider the Formula a big
 8 boat?
 9 A. Yes, because it does not fit into the
 10 container -- shipping container.
 11 Q. So for a big boat like the Formula, do you
 12 know how long it takes to ship from the US to Dubai?
 13 A. I thought it would take at least two months.
 14 Q. So approximately two months afterward -- do
 15 you know if the Formula was ever shipped from the US?
 16 A. No, it was not shipped from United States.
 17 Q. Okay. By November 2013, after more than two
 18 months had passed, did you ask anybody why the Formula
 19 had not been shipped?
 20 A. No, I didn't ask because I knew that -- I was
 21 aware of what had happened.
 22 Q. Okay. By December 2013, were you concerned
 23 that the Formula had not arrived in Dubai yet?
 24 A. No, I was not concerned that it didn't make
 25 it, because, initially, we were trying to agree on the

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1 shipping cost of that Formula 24 boat. So Solovyev
 2 was trying, supposedly, to find proper shipping
 3 container because it was big. And we know that,
 4 because Formula boat is bigger -- is more than
 5 24 feet. So there is no shipping container as is to
 6 put it in.
 7 That size of boat has to be mounted or
 8 somehow on the deck of the ship -- lower deck.
 9 Solovyev -- in order to have it shipped on the deck of
 10 the ship, it has to be installed on that trailer.
 11 Solovyev was looking or trying to find that size of a
 12 trailer that the boat could fit.
 13 And, also, I asked him to find a car or
 14 truck, actually, that would be capable of towing the
 15 trailer with this boat.
 16 Q. Do you remember when you asked Mr. Solovyev
 17 to find such a trailer?
 18 A. Initially, he offered some trailer that he
 19 found in November, but I didn't like that trailer.
 20 Q. Did you eventually agree on a trailer with
 21 Mr. Solovyev?
 22 A. Yes. In December, he send me pictures of
 23 good or proper trailer that I think is suitable, and I
 24 paid for that trailer.
 25 Q. Did you contact or communicate with

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1 Mr. Solovyev at that time to instruct him to ship the
 2 boat to Middle East?
 3 A. No, I did not continue that; because, at that
 4 time, I noticed that his friend, Andrey Tretiakov,
 5 started to become a crook -- or crooked activities --
 6 stealing, hiding. I noticed that. So at that point,
 7 I decided I don't want to deal with the crooks, so I
 8 instructed him to ship the boat to Miami.
 9 Q. You instructed Mr. Solovyev to ship the boat
 10 to Miami?
 11 A. Yes. I wrote to him -- e-mail.
 12 Q. When was the e-mail sent?
 13 A. At the beginning of February.
 14 Q. Just so I understand, from December 2014 to
 15 February 2015, you did not give any instructions to
 16 ship the Formula to the Middle East. Is that correct?
 17 A. Yes, that's correct, because we agreed and
 18 said that we will deal with it after new year.
 19 Q. Who did you have this agreement with?
 20 A. With Mr. Solovyev.
 21 Q. Okay. After you e-mailed Mr. Solovyev in
 22 February of 2015 to ship the boat to Florida, did you
 23 receive a response from Mr. Solovyev?
 24 THE INTERPRETER: Did you say
 25 February 2015 or 2014?

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1 BY MR. CHANG:
 2 Q. I said '15, but I meant '14.
 3 A. No, I have not received any response to my
 4 e-mail or letter.
 5 Q. Did you e-mail or communicate with
 6 Mr. Solovyev again after February of 2014 about the
 7 Formula?
 8 A. I don't remember that, because I was -- at
 9 that time, I was planning already to go to United
 10 States in May. I had plans -- or we had plans. So
 11 then I thought, once I am there, we'll get together,
 12 have meeting and resolve the problems.
 13 Q. After February 2014, did you speak with
 14 Andrey or anybody else at Middle East about the
 15 Formula?
 16 A. Yes, with Andrey.
 17 Q. Do you remember when you had the
 18 communication with Andrey?
 19 A. I spoke with him almost every day.
 20 Q. Do you remember what the substance or the
 21 details of your communications with Andrey were
 22 regarding the Formula?
 23 A. At first, I asked Andrey why Mr. Solovyev
 24 does not respond on my request -- letter request -- to
 25 ship Formula to Miami. Andrey told me that Solovyev

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1 is going not to respond, or be quiet and ignore your
 2 request until we sell two cars that belong to
 3 Solovyev, Porsche and Mercedes.
 4 Q. Do you remember when you had this discussion
 5 with Andrey?
 6 A. I believe it was maybe February, because I
 7 believe it happened about two weeks after I e-mailed
 8 or sent letter -- e-mail letter to Solovyev in
 9 February 2014.
 10 Q. Is it correct that you did not try to send
 11 any additional e-mails or call or Skype Mr. Solovyev
 12 until May 2014?
 13 A. Maybe I tried -- attempted to contact him
 14 over the phone or Skype. I just don't remember
 15 exactly.
 16 Q. Okay. But if you had sent any e-mails to
 17 Mr. Solovyev, would you still have a record of those
 18 e-mails?
 19 A. Maybe, maybe. I need to check.
 20 Q. Did you return to the US in May 2014 as
 21 planned?
 22 A. Yes. May 28th, I believe.
 23 Q. Where in the US were you on May 28, 2014?
 24 A. To the address and the place where we live at
 25 present.

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1 Q. That's in Florida; correct?
 2 A. Yes; Boca Raton.
 3 Q. Did you try to reach Mr. Solovyev after
 4 returning to Florida in May 2014?
 5 A. Yes. We talk on the phone, and he said that
 6 we will meet -- when the boats from Dubai will arrive
 7 here, then we'll meet.
 8 Q. Do you remember when you had that telephone
 9 communication with Mr. Solovyev?
 10 A. In June.
 11 Q. What was your understanding concerning
 12 storage charges for the Formula?
 13 A. My understanding -- when I saw the invoice
 14 for storage and parking, it was clear to me that they
 15 are trying to get -- to make the bill so high for the
 16 storage that it will be more than boats' value. So --
 17 because \$40,000 for storage -- so it's illegal
 18 activity. It's a crooked activity. That's why I
 19 wrote to him. So he is trying to defraud me.
 20 Q. Other than the Formula, were the other
 21 boats -- the other motorboats -- that you purchased
 22 also big boats?
 23 A. Okay. The other two were smaller. The one
 24 was 19 feet; the other one, 21 feet; and Formula was
 25 34.

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1 Q. For the other boats, not including the
 2 Chaparral, Monterey or Formula, were there any other
 3 boats that were considered big boats?
 4 A. Yes. We had a big one.
 5 Q. Which boat was that?
 6 A. Sea Ray 300.
 7 Q. Did the Sea Ray also require a trailer to
 8 ship?
 9 A. Yes.
 10 Q. And did you have any problems getting the
 11 Sea Ray shipped from the US to Dubai?
 12 A. Not any special problems. One thing, though.
 13 The trailer, when it came, was broken.
 14 Q. Other than the Formula, for all the other
 15 boats that you purchased from the US, were they
 16 shipped within a month of the purchase?
 17 A. It depends. Some were -- that was controlled
 18 by Solovyev -- this process. And depends on the boat
 19 size. It was his part of the job that he would try to
 20 fit two boats in one shipping container, or what the
 21 best fit is, and then ship. So it varied, I would
 22 say.
 23 Q. Do you remember any boats that took more than
 24 two months from purchase before shipping?
 25 A. No, I don't.

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1 Q. With the Formula, was your objection to the
 2 storage fee on the amount of the storage or to any
 3 storage?
 4 A. The answer is that the bill for \$40,000,
 5 which if we consider it's for storage, is tenfold or
 6 ten times exceeds normal price for that. But that
 7 invoice he issued and sent to me after I sent him a
 8 letter that he should not get involved in criminal
 9 activities or a fraud that Andrey is committing.
 10 Q. Do you agree that for a boat that remained in
 11 storage for more than a month, you're responsible for
 12 the storage of that boat?
 13 A. As a matter of principle, at the same time,
 14 my company had his two cars that were stored or parked
 15 there -- were repaired and stored until he will claim
 16 them, and he never received any bill or invoice for
 17 storage of his two cars and repairs.
 18 So for him, it's a pure insolence or
 19 impudence to issue the invoice, especially in such an
 20 amount.
 21 Q. Do you know how long those two cars were
 22 stored at Middle East?
 23 A. Okay. We cleared the customs -- or cleared
 24 those two cars through Dubai customs in 2013,
 25 September.

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1 Q. Were those two cars eventually sold by Middle
 2 East?
 3 A. As I already said, Andrey sold Mercedes
 4 without my knowledge and sent or wired money to
 5 Solovyev.
 6 Q. Do you remember when that sale took place?
 7 A. It arrived in September; October 20 for
 8 repairs. So I would say November or December 2013.
 9 Q. Okay. Do you know if Middle East sold the
 10 Porsche Panamera?
 11 A. I don't know, because he and Solovyev stole
 12 it; and whatever they did with it, I don't know.
 13 Q. You do not remember or you don't know when
 14 the Porsche left Middle East?
 15 A. I know one thing -- that when I talked to
 16 employees of shipping company in Dubai that I used --
 17 I know them -- as in part of investigation, they told
 18 me that the Porsche was shipped to Russia in August of
 19 2014. So when we arrived, they shipped it right away.
 20 Q. Who did you speak with that told you the
 21 Porsche was shipped in August 2014?
 22 A. I don't remember the name. It's something
 23 cargo. It's a shipping company. That company -- that
 24 shipping company, we used to deliver the boats from
 25 Dubai to Sharjah. So the company worked in Dubai --

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1 shipping.
 2 Q. For the Porsche and the Mercedes, did you
 3 have an agreement with Mr. Solovyev that you would not
 4 charge him storage?
 5 A. No. Everything was based on trust, and he
 6 would send whatever he wants to our company.
 7 Q. Other than these two cars, the Mercedes and
 8 the Porsche, did Mr. Solovyev send any other
 9 machineries to your company?
 10 A. No. He asked to sell these two -- those two
 11 cars -- and also requested to send money to him.
 12 Q. Do you know how much storage is charged by
 13 Middle East for a car?
 14 A. I don't remember now.
 15 Q. Can you estimate, to the best of your
 16 recollection, how much the storage charge was at
 17 Middle East?
 18 A. After I received invoice or bill from
 19 Solovyev, I sent him initial invoice, too, for these
 20 two cars. My invoice included repair, customs
 21 clearance in Dubai, and parking, and all other
 22 services that were provided to those two cars, and it
 23 was 50,000.
 24 Q. Did Middle East store cars or boats for any
 25 other customers?

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1 A. No.
 2 Q. Middle East is not in the business of
 3 providing warehouse space; is that correct?
 4 A. No. That was just help or a friendly favor
 5 to Solovyev. The reason for that was because damaged
 6 cars, he will not be able to sell in United States.
 7 That's why he wanted us to help him ship the cars to
 8 my company in Dubai, fix them, and then only sell.
 9 Q. Did Middle East receive any money from the
 10 sale of the cars?
 11 A. No.
 12 Q. Did Middle East receive any money from the
 13 repair of the cars?
 14 A. No. I paid for that repair.
 15 Q. Have you been able to recover the money that
 16 you loaned to Oleg under the promissory note?
 17 A. Less than 50 percent. Because when we sold
 18 boats, those boats that we sold, part of that money I
 19 received, but it's less than he owes me -- less than
 20 50 percent what he owes me.
 21 Q. I apologize. Were you able to recover the
 22 money directly from Oleg that you loaned him?
 23 A. I have not received anything directly from
 24 Oleg.
 25 Q. Are there currently any lawsuits against

Page 74 1 Middle East Asia in Dubai? 2 A. There's no lawsuits against the Middle East 3 company. 4 Q. Do you know of any lawsuits against you 5 personally in Dubai? 6 A. No. 7 Q. Do you know of any lawsuits against Andrey in 8 Dubai? 9 A. Oh, Sergey and I. 10 Q. Sergey and you? I'm sorry. What do you mean 11 by Sergey and you? 12 A. It means, I know one more person who filed 13 the lawsuit in Dubai against Andrey. 14 Q. So there are two lawsuits against Andrey? 15 A. Yes; I and the other man, but two cases. 16 Q. Do you know of any lawsuits against Oleg in 17 Dubai? 18 A. Yes; against Oleg too. 19 Q. Is that also a lawsuit filed by you and 20 Sergey? 21 A. And there is a third person, yes. I, Sergey 22 and the third, also. I know another -- third person 23 that also filed against. 24 Q. What is the basis for your lawsuit against 25 Andrey?	Page 76 1 CERTIFICATE OF OATH 2 3 STATE OF FLORIDA 4 COUNTY OF ORANGE 5 6 7 I, Lisa Gerlach, the undersigned Notary 8 Public, in and for the State of Florida, hereby 9 certify that Alexander Safonov personally appeared 10 before me and was duly sworn. 11 12 WITNESS my hand and official seal this 13 21st day of December, 2015. 14 15 <i>Lisa Gerlach</i> 16 Lisa Gerlach, Court Reporter Commission #DD353538 Expires 9/8/2016 17 18 19 20 21 22 23 24 25
Page 75 1 A. For fraud, and, also, stealing the company's 2 assets. 3 Q. Has Andrey responded to your lawsuit in 4 Dubai? 5 A. Yeah. He run away to Russia. 6 Q. So no response has been entered by Andrey in 7 the Dubai lawsuit; correct? 8 A. Of course not, because he doesn't want to be 9 in jail there, so he prefer to run away. 10 MR. CHANG: Louiza, I'm going to end 11 there for Mr. Safonov and try to wrap up 12 quickly for Ms. Timoshkina. No further 13 questions. 14 MS. TARASSOVA: Give me one second. 15 (The reading and signing of the 16 transcript were not waived, and these 17 proceedings concluded at 5:45 p.m.) 18 19 20 21 22 23 24 25	Page 77 1 CERTIFICATE OF REPORTER 2 STATE OF FLORIDA 3 COUNTY OF ORANGE 4 5 I, Lisa Gerlach, Court Reporter, do hereby 6 certify that I was authorized to and did 7 stenographically report the foregoing deposition; and 8 that the transcript is a true and correct 9 transcription of the testimony given by the witness. 10 I further certify that I am not a relative, 11 employee, attorney or counsel of any of the parties, 12 nor am I a relative or employee of any of the parties' 13 attorney or counsel connected with the action, nor am 14 I financially interested in the action. 15 Dated this 21st day of December, 2015. 16 17 <i>Lisa Gerlach</i> 18 Lisa Gerlach, Court Reporter 19 20 The foregoing certification of this transcript does 21 not apply to any reproduction of the same by any means 22 unless under the direct control and/or discretion of 23 the certifying reporter. 24 25

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Resp. App. “6”

Royal Finance Group, Inc

1040 Seminole Dr., Apt.1460
Fort Lauderdale, Florida 33304
Tel: 646.725.1335

08/07/2013

INVOICE # 1189AT

TO :
ANDREY TRETYAKOV
DUBAI, UAE
MIDDLE ASIA ALFA

Description of services:

2010 FORM BOAT ONLY Vin# TNRD7870C010
FROM BROOKHEAVEN, NY AUCTION

BOAT COST :	\$ 56,280.00
DELIVERY:	\$ 3,500
LOADING/SHIPPING TO DUBAI:	\$12,000
COMMISSION :	\$ 500
DOCUMENTATION :	\$ 500
TRAILER :	\$ 4,500
TOTAL COST :	\$77,280

WIRING INSTRUCTION

Royal Finance Group, Inc
1040 Seminole Dr., Apt.1460
Fort Lauderdale, Florida 33304

CITI BANK, N.A. CitiBank, N.A.

5 Marine View Plaza, Hoboken, NJ 07030 ABA: 021272655
ACCOUNT: 759635976 SWIFT: CITI US 33

Resp. App. “7”

From: Alex DR kd222555@gmail.com
 Subject: Fwd: INVOICE FOR PARTS
 Date: November 12, 2015 at 14:02
 To: alena@nylawadvocate.com

----- Forwarded message -----

From: Феникс Феникс <lingo333@rambler.ru>
 Date: 2013-10-31 0:24 GMT-04:00
 Subject: FWD: INVOICE FOR PARTS
 To: kd222555@gmail.com

----- Пересланное сообщение ----- [Forwarded message]

От кого: Alex Solovyev (mliworld@milworld.com)

Дата: 31 октября 2013 г. 2:33:30 [Date: October 31 2013, 2:33:30]

Тема: INVOICE FOR PARTS

Кому: Феникс Феникс (lingo333@rambler.ru)

INVOICE FOR PARTS

Андрей- по вашим долгам.

1199 счет на 800.40

+ 1190 счет на 500

Баланс без трейлера и отправки 1189 счет 60780-59780=\$1000

Итого - \$2,300.40

Удачи всем.

--

Aleksandr Solovyev

Car Express & Import Inc

As an agent for Marine Transport

63 New Hook Road,

Bayonne, NJ 07002

Tel: 201-858-8600 Ext: 117

Fax: 201-603-2772

Cell: 646-725-1335

Skype: aleksandr.solovyev

Unless otherwise noted, all ocean freight quotations are: valid for 30 days from the date of original quotation, subject to equipment availability, subject to any and all tariff additionalis valid at time of shipment.

Inland freight quotations are: subject to third party increases valid at time of shipment, subject to any fuel surcharges valid at time of shipment, subject to weight limitations and weight distribution requirements in accordance with the local and national rules and regulations of the country(ies) of transit, subject to availability of inland carrier at time of booking. Loading, lashing, securing, blocking and bracing of cargo is for shipper's account. Carrier reserves the right to stow cargo in the best interest of the vessel and in compliance with local, national and international rules, regulations and conventions. On deck shipments at shipper's risk. Dangerous cargo, as defined by 49 CFR or the IMDG Code, is subject to the line's approval at time of booking. Kindly note all vessel dates are subject to changes. Equipment is subject to availability.

ALL COMMUNICATION IN THIS EMAIL IS PRIVILEGED AND INTENDED ONLY FOR THE ORIGINAL RECIPIENT. ALL OTHER USE OF SUCH COMMUNICATION IS PROHIBITED BY LAW.

Go Green! Please don't print this e-mail unless you REALLY, REALLY need to.

[Andrey, about your past due invoices.

1199 Invoice for 800.40

+1190 Invoice for 500

Balance due without trailer and shipping 1189 Invoice 60780-59780=\$1000

Total - \$2,300.40

Good luck everyone.]

Resp. App. “8”

FEDERAL MARITIME COMMISSION

DOCKET NO.: 15-04

CROCUS INVESTMENTS, LLC AND CROCUS, FZE

v.

**MARINE TRANSPORT LOGISTICS, INC. AND ALEKSANDR SOLOVYEV
a/k/a ROYAL FINANCE GROUP INC.**

COMPLAINANTS' PROPOSED FINDINGS OF FACT, BRIEF, AND APPENDIX

CERTIFICATE OF SERVICE

I hereby certify that I have this day served the foregoing document by mailing and emailing a copy to the persons listed below:

Stephen H. Vengrow
Eric Chang
Cichanowicz, Callan, Keane,
Vengrow & Textor, LLP
61 Broadway 3000
New York, NY 10006

Dated: January 14, 2016

s/Louiza Tarassova

Louiza Tarassova, Esq.
Attorney for Complainants
Florida Bar Number: 96149
The Law Office of Louiza Tarassova, P.A.
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Secondary E-Mail: service@mylawadvocate.com

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I. Nature and Background of the Case

This case arises from two shipping orders that Complainants, Crocus FZE and Crocus Investments, LLC placed and paid for through Respondent Aleksandr Soloveyv who was acting as a middleman between Marine Transport Logistic, Inc., and Complainants' owner Alexander Safonov and his employees. Marine Transport Logistic, Inc. is also named as a Respondent in the Formal Complaint.

Respondent Marine Transport Logistic, Inc. is a licensed non-vessel operating common carrier (NVOCC).

Respondent Soloveyv held himself out as a provider of an all-in-one service for international customers who are interested in purchasing goods from auctions in the United States and shipping the goods internationally. Soloveyv handled all communications, payments, and arrangements between Marine Transport Logistics, Inc. and the Complainants. The commodities at issue are three boats that were purchased by one of Soloveyv's companies.

Two smaller boats, the Chapparral and the Monterey, were purchased in May 2013 and shipped by MTL to Dubai where Complainants made repairs to the boats. The larger boats, the Formula, was purchased in August 2013, but was never shipped to Dubai, despite Complainants' initial requests for Respondents' to do so. In spring of 2014, Safonov decided to relocate his business to Florida. Therefore, Complainants shipped the two smaller boats back to New Jersey, to be received by Respondents and kept until Safonov gave them further instructions.

The parties had an ongoing business relationship and Complainants understood that Marine Transport Logistics, Inc. was the NVOCC that was responsible for shipping their boats and safekeeping them when they were New Jersey. At some point after the two smaller boats came back to New Jersey, Marine Transport Logistics, Inc. released the boats to a third party storage facility, coincidentally owned by Soloveyv called World Express and Connection, Inc. MTL never notified the Complainants about transferring the boats to Soloveyv's other company.

When Complainants were finally notified that they owed storage fees, the notification came via an invoice sent to them by Soloveyv's company Royal Finance Group, Inc. in the amount of \$39,409.39. The storage fees amounted to approximately one half of what the Complainants paid for the goods.

Complainants filed a Formal Complaint alleging that Respondents violated the Shipping Act of 1984. Complainants allege Marine Transport Logistics, Inc. failed to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property when it acquiesced or assisted Soloveyv in illegally withholding the Complainants' property. Additionally,

Complainants allege that Solovyev violated 46 U.S.C. §40901(a) by acting as an ocean transportation intermediary without a license.

II. Proposed Findings of Fact

1. Alexander Safonov is the owner of Crocus, FZE and Crocus Investments, LLC. (See Appendix CX 1, 2, 3)
2. Alexander Safonov also owned Middle East Asia Alfa, FZC and employed Andrey Tretyakov. (See Appendix CX 4, 5, 6)
3. Aleksandr Solovyev is the owner of Royal Finance Group, Inc. (Aleksandr Solvyev's Deposition Transcript 23:14-23(page: line) dated November 20, 2015)
4. Solovyev, through Royal Finance Group, Inc. issued invoices for shipping to Complainants. (See Appendix CX 7, 8, 9, 10, 11, 12, 13)
5. Solovyev through Royal Finance Group, Inc. forwarded payments he had collected from Complainants for MTL's shipping services to MTL. (See Appendix CX 14)
6. Aleksandr Solovyev is the owner of World Express and Connection, Inc., the company which MTL alleges has current custody of Complainants' property. (Aleksandr Solvyev's Deposition Transcript 19:12-21:7 (page: line) dated November 20, 2015; Response to Complaint p. 7 ¶22 and 24)
7. World Express and Connection, Inc. and MTL both have the same address at 63 New Hook Road, Bayonne, NJ 07002. (Aleksandr Solvyev's Deposition Transcript 19:2-10 (page: line) dated November 20, 2015)
8. Aleksandr Solovyev is married to Alla Solovyeva who is the owner of MTL. (Alla Solvyeva's Deposition Transcript 7:7-23, 9:16-19 (page: line) dated November 19, 2015)
9. Aleksandr Solvyev used the email address mtlworld@mtlworld.com. (Aleksandr Solvyev's Deposition Transcript 15:7-12 (page: line) dated November 20, 2015)
10. Alla Solovyeva uses the email address alla@mtlworld.com. (Alla Solvyeva's Deposition Transcript 9:9-12 (page: line) dated November 19, 2015)
11. Aleksandr Solovyev has been identified as the managing member of Marine Transport Logistic, Inc. (See Appendix CX 16, 18)
12. Aleksandr Solovyev communicated on behalf of Marine Transport Logistics with the Complainants. (See Appendix CX 19)
13. Marine Transport Logistic, Inc. permitted Aleksandr Solovyev to act on its behalf and hold himself out as its agent. (See Appendix CX 16, 18, 19)
14. Complainants paid a total of \$99,739.00 for the purchase and shipment of three boats: 2008 Chaparral 190 SSI; 2011 Monterey 2014; and 2010 Formula 34PC. (See Appendix CX 112, 7, 9, 11)
15. In May 2013 Solovyev purchased the two smaller boats, Chaparral and Monterey for the Complainants and was ordered to ship the boats to Dubai via Marine Transport Logistic, Inc. (See Appendix CX 115, 116, 4)
16. Those boats were shipped by MTL and arrived in Dubai. (See Appendix CX 116, 4)

17. On or about August 7, 2013 Solovyev purchased the larger boat, Formula, for Complainants and Complainants ordered the boat to be shipped to Dubai via Marine Transport Logistic, Inc. (See Appendix CX 118, 19)
18. Complainants paid for the purchase and shipping of the boat. (See Appendix CX 112, 7, 9, 11)
19. Marine Transport Logistic, Inc. did not ship the larger boat to Dubai between August 2013 and December 2013 (six months). (Safonov's testimony)
20. In December 2013, Soloveyv on behalf of MTL contacted Safonov requesting a second payment for a trailer on which the larger boat was to be shipped roll on/roll off to Dubai. (See Appendix CX 10)
21. Safonov paid for a trailer for the Formula. (See Appendix CX 19)
22. Solovyev stopped communicating after receiving the second payment for the trailer until summer of 2014 (12 months passed since the purchase of the Formula. (See Appendix CX 19)
23. In August 2014, Safonov sent Solovyev a Demand Letter, requesting that Respondents immediately return his property. (See Appendix CX 117)
24. Respondents did not give Complainants notice of the storage fees until August 13, 2014, over a year after the Formula was purchased, and shipping to Dubai was paid by Complainants. (See Appendix CX 119, 19)
25. In response to the Demand Letter, Solovyev issued an invoice for the storage of the Formula in the amount of \$39,409.39, charging for storage at the rate of \$9.60 per linear meter, equaling to \$105.31 per day. (See Appendix CX 19)
26. The storage fees in the invoice were contrary to Marine Transport Logistic, Inc.'s posted tariffs of \$20.00 per day. (See Appendix CX 121)
27. After receiving the invoice for storage, Safonov gave Solovyev notification that he refused to pay the exorbitant and conjured up fees and demands his property be returned. (Sec Appendix CX 253)
28. While the two smaller boats were in Dubai, Complainants purchased parts and refurbished the boats to a marketable condition. (Proffered Testimony of Alexander Safonov). (See Appendix CX 242)
29. On November 18, 2015, Solovyev through his company World Express & Connection, Inc. filed a lawsuit styled *World Express & Connection, Inc. v. Crocus Investents, LLC, Crocus FZE, Alexander Safonov*, and Middle East Asia Alfa FZE, in the United States District Court, District of New Jersey under case number 2:15-cv-08126-KM-MAH claiming that Complainants owe the company \$115,259.51 in storage fees as a result of the transactions at issue. (See Appendix CX 254)
30. Marine Transport Logistic, Inc. produced copies of invoices during the discovery phase of this lawsuit that showed it paid World Express and Connection, Inc. for the storage of Complainants' boats. (See Appendix CX 261)

III. Argument

Issues

The issues for the court to decide in this case are as follows:

- 1) Whether Aleksandr Solovyev was acting as an unlicensed freight forwarder who had a fiduciary duty to Complainants and whether he violated 46 U.S.C. § 41102(c) by unlawfully withholding Complainants' property?
- 2) Whether Marine Transport Logistic, Inc. violated 46 U.S.C. § 41102(c) by acquiesced and assisting Solovyev in withholding Complainants' property?

Jurisdiction

The Federal Maritime Commission has sole jurisdiction over cases involving violations of the Shipping Act of 1984. *Yakov Kobel, Et. Al. v. Hapag-Lloyd A.G. Et. Al.*, 33 S.R.R. 594 (ALJ 2014).

Here, Complainants filed a Formal Complaint claiming that Respondents violated the Shipping Act of 1984 and that their losses resulted directly from the Respondents' violations of the Act.

Solovyev was acting as a freight forwarder

The Shipping Act of 1984 requires any person acting as an ocean transportation intermediary to hold a license issued by the Federal Maritime Commission. 46 U.S.C. § 40901(a). An ocean transportation intermediary is defined as a person that is either a *freight forwarder* or a non-vassal-operating common carrier. 46 U.S.C. § 40102(19).

The term "ocean freight forwarder" means a person that - (A) in the United States, dispatches shipments from the United States via a common carrier and books or otherwise arranges space for those shipments on behalf of shippers; and (B) processes the documentation or performs related activities incident to those shipments." 46 U.S.C. § 40102(18). "The term 'non-vessel operating common carrier' means a common carrier that-(A) does not operate the vessels by which the ocean transportation is provided; and (B) is a shipper in its relationship with an ocean common carrier." 46 U.S.C. § 40102(16).

Solovyev provided services in arranging the shipment of certain good internationally to his customers, such as the Complainants. Complainants never actually dealt directly with Marine Transport Logisitc, Inc., to coordinate the shipment of the boats that they acquired from the Untied States. Solovyev was the one that communicated between the Complainants and MTL. Solovyev collected payment for Marine Transport Logistic, Inc.'s services via an entity called Royal Finance Group, Inc. and forwarded

payment to Marine Transport Logistic, Inc. He also was the one that set up all the shipment arrangements with Safonov and his employees. In essence, Soloveyv was the middleman between Complainants and Marine Transport Logistic, Inc. Therefore, Soloveyv was acting as an ocean freight forwarder in the transactions out of which this lawsuit arises.

Soloveyv breached his fiduciary duty to Complainants

The freight forwarder acts as an agent on behalf of the shipper. The Commission has long held that a freight forwarder owes the utmost duty of care to the shippers or principals and a violation of this fiduciary duty can be a violation of 46 U.S.C. § 41102(c). *Nordana Line AS v. Jamar Shipping, Inc.*, 27 S.R.R. 233, 236 (ALJ 1995). Freight forwarders are specifically held to a high standard of care because they are in the unique position of trust and are able to inflict harm on their clients and the shipping public. *Tractors and Farm Equipment Ltd. v. Cosmos Shipping Co., Inc.*, 26 S.R.R. 788, 796 (ALJ 1992).

Complainants entrusted Soloveyv with their money and property during the transactions at issue. Complainants relied on Soloveyv to fully arrange the delivery of the Formula boat to Dubai from New Jersey within a reasonable time and manner. Soloveyv breached that duty when he delayed the shipment of the boat for six months. After receiving a payment for a trailer to transport the Formula in December 2013, Soloveyv stopped communicating with Complainants until a year had passed since he first received payment for the shipment of the Formula boat (August 2014).

Complainants also relied on Soloveyv to inform them when the two smaller boats arrived in New Jersey from Dubai and received by Marine Transport Logistic, Inc. Soloveyv owed a duty to Complainants to issue accurate invoices for the shipping of the two smaller boats, in accordance with the Bill of Lading and any off-sets to which the Complainants were entitled.

Soloveyv breached his fiduciary duty and therefore violated § 41102(c) of the Shipping Act of 1984 by 1) failing to ship the Formula boat within the first six months of Complainants' order, 2) by charging additional money for the trailer which Complainants had already purchased, 3) by becoming unresponsive for the next six months after Complainants paid for the trailer again, 4) by issuing an invoice on behalf of Marine Transport Logistic, Inc. which did not comport to Marine Transport Logistic, Inc.'s posted tariffs and was not justified due to Soloveyv's own delays in shipping the boat, and 5) by possibly illegally liquidating the Formula boat without notice to Complainants.

Marine Transport Logistic, Inc. assisted Soloveyv

A third party who deals with a principal through an agent, knowing or having reason to know that the agent acts adversely to the principal, does not deal in good faith for the purposes of determining a principal's legal relations with the third party. Restatement (Third)

of Agency, § 5.04. In other words when a third party knows or should know that the agent is not acting in the best interest of the principal or doing something that is contrary to the interest of the principal, the third party is put on notice that the agent does not have authority to act in such a way, and therefor the third party should not acquiesce to the agent's requests. *Yakov Kobel, Et. Al. v. Hapag-Lloyd A.G. Et. Al.*, 33 S.R.R. 594 (ALJ 2014).

A non-vassal operating common carrier, like Marine Transport Logistic, Inc. assumes responsibility for transportation of a shipment. 46 U.S.C. § 40102(6)(A). And an NOVCC's failure to fulfill its obligation constitutes a violation of 46 U.S.C. § 41102(c). *Houben v. World Moving Serv., Inc.*, 31 S.R.R. 1400, 1405 (FMC 2010); *William J Brewer v. Saeid B. Maralan and World Line Shipping, Inc.*, 29 S.R.R. 6, 9 (FMC 2001); *William R. Adair v. Penn-Nordic Lines, Inc.*, 26 S.R.R. 11, 22 (ALJ 1991).

Marine Transport Logistic, Inc. has a long-standing relationship with Solovyev. MTL's owner is Solovyev's wife. Solovyev uses MTL's address for his other businesses, including the company World Express and Connection where MTL purports the Complainants property is currently kept. Solovyev even used MTL's an email address.

Based on all the evidence, a reasonable inference can be drawn that MTL was very well aware of Soloveyv's dealings with the Complainants and knew or should have known about Solovyev's actions in relation to the Complainants' property.

Further, Marine Transport Logistic, Inc. failed to establish, observe, and enforce just and reasonable regulations and practices by 1) failing to notify Complainants when the two smaller boats arrived in New Jersey, 2) releasing the Complainants' property to a third party, World Express and Connection, which was owned by Solovyev and 3) by issuing invoices for storage at rates contrary its posted tariffs.

Complainants' damages

The injured party is entitled to reparations for actual injury caused by a violation of the Shipping Act of 1984. 46 U.S.C. § 41305(b). Respondents' violation must have been the proximate cause of the loss or injury. *Adair v. Penn-Nordic Lines, Inc., v. Penn-Nordic Lines, Inc.*, 26 S.R.R. 11, 25 (ALJ 1991). Reparations may be determined based on a reasonable approximation and reasonable inferences drawn from the totality of the evidence. *Tractors & Farm*, 26 S.R.R. at 798-99.

The market value of the commodity at issue at the port of destination may be reviewed to determine amount of damages in cases dealing with cargo claims. *Santiago v. Sea-Land Serv., Inc.*, 366 F. Supp. 1309, 1314 (D.P.R. 1973) (citing *St. Johns NF. Shipping Corp. v. S.A. Companhia Geral Commercial*, 263 U.S. 119 (1923)). But, the goal of reparations is to make the injured party whole and the market value method may be replaced by a different manner of calculating actual damages, if the particular circumstances of the case require. *Ill. Cent. R.R. Co. v. Crail*, 281 U.S. 57, 64-65 (1930). In other words, "each case must be governed by its own facts." *Marine Office of Am. Corp. v. Lilac Marine Corp.*, 296 F. Supp. 2d 91, 104 (D.P.R. 2003).

Here, the Complainants were originally in the business of buying used boats,

refurbishing them, and selling them at a profit. But at the time of the transactions at issue, the owner of the Complainants, Safonov had moved to Florida from Dubai to transfer the business operations to the United States. Complainants were planning on renting out the three boats at issue in this lawsuit. Based on market research that Safonov performed, the two smaller boats currently rent out for \$350.00 per day each, and the larger boat currently rents for \$600.00- \$1,000.00 per day, depending on the season.

Therefore, according to a calculation of damages that determines the Complainants' loss in use and loss in rents, the total amount of damages is approximately \$416,739.00.

The current market value of the 2008 Chaparrel is approximately \$30,000.00 as of today, according to the National Automobile Dealers Association website www.NADAguides.com. The current market value of the 2011 Monterey is approximately \$36,000.00 as of today, according to the National Automobile Dealers Association website www.NADAguides.com. The boats came with trailers, which Complainants paid \$900.00 for each according to the invoices from Solovyev. It is important to note that it has been one and a half years since Respondents' illegal withholding of the boats, and it is difficult to ascertain what the market value of the two smaller boats were in the Summer of 2014, therefore some credit must be given to Complainants for the loss in value over the last year and a half. Complainants approximate that in 2014, the boats were valued \$10,000.00 more than their current market values. Therefore, the total approximate market value of the two smaller boats, together with the trailers is between \$67,800.00 and \$87,800.00.

Complainants paid \$59,780.00 for the 2010 Formula boat, and \$4,950.00 for its trailer.

Therefore, according to a calculation of damages based on market value, the total amount of damages is approximately \$132,530.

Additionally, as a direct and proximate cause of the Respondents' failure to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property by unlawfully withholding Complainants' property, Complainants have been sued in the amount of \$115,259.51.

Therefore whatever reparations are awarded in connection to the lost value of the three boats, another \$115,259.51 should be added to the amount in light of the resulting lawsuit against the Complainants.

IV. Conclusion

In conclusion, Respondents violated the Shipping Act of 1984 by failed to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property by illegally withholding Complainants' property by issuing bogus storage fee invoices that were not justified by the circumstances nor supported by Marine Transport Logistic, Inc.'s own posted tariff.

Resp. App. “9”

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CROCUS INVESTMENTS, LLC AND CROCUS, PZE

MARINE TRANSPORT LOGISTICS, INC. AND ALEKSANDR
SOLOVYEV a/k/a ROYAL FINANCE GROUP INC

Docket No 15-04

* * * * *

FRIDAY, MAY 13, 2016

* * * * *

The Hearing of the Federal Maritime
Commission convened in the First Floor Hearing
Room, 800 North Capitol Street, N.W., Washington,
D C , pursuant to notice at 2 06 p.m., JUDGE CLAY
G. GUTHRIDGE, presiding

PRESENT:

On behalf of Complainant:

LOUIZA TARASSOVA, ESQUIRE
The Law Office of Louiza Tarassova, P.A.
1420 Lake Baldwin Lane
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(407) 622-1885

On behalf of Respondent

STEPHEN H. VENGROW, ESQUIRE
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Cichanowicz Callan Keane Vengrow & Textor, LLP
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ALSO PRESENT (By Phone)

THERESA DIKE, ESQUIRE
Office of Administrative Law Judges
Federal Maritime Commission
800 North Capitol Street, Northwest
Washington, D.C. 20573
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* * * * *

CROCUS V. MARINE HEARING.

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PROCEEDINGS

JUDGE GUTHRIDGE This is Crocus
Investments, LLC and Crocus, PZE vs. Marine
Transport Logistics, Inc. and Aleksandr Solovyev
also known as Royal Finance Group Inc. It is
Federal Maritime Commission Docket Number 15-04.
It is May 13, 2016 and it is 2 06 p.m. This is
Judge Guthridge presiding. Could I have
appearances of counsel please

MS. TARASSOVA: Good afternoon, this is
Louiza Tarassova on behalf of the complainant

MR. CHANG: Good afternoon, Judge
Guthridge. This is Eric Chang and Stephen H
Vengrow on behalf of respondent.

MR. VENGROW: Good afternoon, Your
Honor.

JUDGE GUTHRIDGE: All right. Mr.
Vengrow, Mr. Chang is one of your lead counsel? If
I have a question, who do I ask?

MR. VENGROW: I would suggest, Your
Honor, you speak directly to Eric Chang.

MR. CHANG: Yes, Judge

CROCUS V. MARINE HEARING.

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MR. VENGROW: If there is something that
needs to be added to what Eric might be saying to
Your Honor and I have that information I would
then speak up

JUDGE GUTHRIDGE: All right, that's
fine. First, let me apologize to you for the
confusion about May 11. I know you originally
scheduled it for May 11. There was something I
had forgotten to put on my calendar which was an
all-day thing that I could not avoid so we had to
switch it to today. And also the best laid plans
of mice and men, I had a head phone set up and I
couldn't get it to work so I'm on my phone. Also
on the line there should be Theresa Dike. She is
the attorney advisor for the Administrative Law
Judges at the Federal Maritime Commission.
Theresa, are you on?

MS. DIKE: Yes, I'm on, hello

JUDGE GUTHRIDGE: I've asked her to
listen in also because she may very well be
helping me with this decision. Let me ask you
first -- we'll start off with this and I'll

1 summarize The parties filed their briefs and
 2 their proposed findings of fact and appendices. I
 3 wanted this conference because I want to make sure
 4 that I understand the facts as they are presented
 5 by the evidence so I wanted to go over it with
 6 you. Let me start by asking are there any
 7 objections to the evidence? Let me start with you
 8 I guess the complainants' evidence comes in first
 9 so Mr. Chang do you have any objections to any of
 10 the exhibits in the appendix for the complainant?

11 MR. CHANG: Judge, we raised some
 12 questions in our prehearing brief and also in our
 13 supplemental submission a few weeks ago about the
 14 credibility of some of the submissions but we have
 15 no objection as far as their admissibility.

16 JUDGE GUTHRIDGE: All right, then the
 17 complainants' evidence is admitted Ma. Tarassova
 18 do you have any objections to the respondents'
 19 exhibits?

20 MS. TARASSOVA: No, Your Honor. I would
 21 answer in the same way We don't necessarily
 22 agree with the credibility of the evidence but as

1 far as an objection is concerned, no, it should
 2 all be considered and inferences should be drawn
 3 accordingly.

4 JUDGE GUTHRIDGE: All right, so all
 5 evidence of the respondent is also admitted Let
 6 me jump first to one thing just to find out who
 7 did it while I'll thinking about it. Ms.
 8 Tarassova pages 66 and 67 you had a two-page
 9 document that was originally in a language other
 10 than English and then you submitted a translation
 11 of that but I don't think I saw anywhere on there
 12 who identified or anything in there who wrote the
 13 original.

14 MS. TARASSOVA: The original -- let me
 15 just check the appendix You said it was CX 66
 16 and 67?

17 JUDGE GUTHRIDGE: That's correct

18 MS. TARASSOVA: I'll take a look

19 JUDGE GUTHRIDGE: It says to Aleksandr
 20 Solovyev story with Andre but it doesn't say who
 21 wrote it.

22 MS. TARASSOVA: Yes, Your Honor, it is

1 actually an attachment to an email that goes prior
 2 to it and it was from Mr. Aleksandr Safonov who is
 3 the owner of the complainant.

4 JUDGE GUTHRIDGE: All right, so he wrote
 5 that originally?

6 MS. TARASSOVA: Yes

7 JUDGE GUTHRIDGE: Safonov?

8 MS. TARASSOVA: Yes.

9 JUDGE GUTHRIDGE: All right, I just
 10 wanted to get that out of the way while I was
 11 thinking about it. The first thing I want to do
 12 is make sure I understand who the players are in
 13 this. Ms. Tarassova, Aleksandr Safonov, who you
 14 just mentioned, owns Crocus Investments, LLC one
 15 of the complainants and also Crocus, FZE the other
 16 complainant is that correct?

17 MS. TARASSOVA: Yes, Your Honor.

18 JUDGE GUTHRIDGE: And then he also owns
 19 Middle East Asia Alpha FZE?

20 MS. TARASSOVA: Correct

21 JUDGE GUTHRIDGE: Middle East Asia is
 22 not a complainant in this proceeding?

1 MS. TARASSOVA: No, Your Honor.

2 JUDGE GUTHRIDGE: Are Crocus
 3 Investments, Crocus FZE and Middle East Asia, LLC
 4 are all three separate and distinct legal
 5 entities, is that correct?

6 MS. TARASSOVA: Yes, Your Honor

7 JUDGE GUTHRIDGE: But when Mr. Safonov
 8 is acting and doing business sometimes he is one
 9 and sometimes he is another, is that correct?

10 MS. TARASSOVA: That's correct.

11 JUDGE GUTHRIDGE: All right. Mr. Chang,
 12 do you have any disagreement with that or do you
 13 dispute that at all that -- that at least he has
 14 the three distinct entities and could be one,
 15 could be another at various times?

16 MR. CHANG: No, Your Honor Although
 17 with regard to Middle East Asia it was represented
 18 to us by complainants that Mr. Safonov is a 50
 19 percent owner I'm not certain that that has any
 20 real material effect on the proceedings, but just
 21 to keep the record sort of consistent with the
 22 documents

1 MS. TARASSOVA: If I may add even though
2 he did have a partner in Middle East Asia he was
3 the -- I guess you can say the managing member or
4 the person with the decision maker or the tie
5 breaker basically

6 JUDGE GUTHRIDGE: The first among
7 equals.

8 MS. TARASSOVA: Yes.

9 JUDGE GUTHRIDGE: Then Middle East Asia,
10 it's located in Dubai, FZC -- do I correctly
11 understand that is Foreign Zone Company?

12 MS. TARASSOVA: Free Zone

13 JUDGE GUTHRIDGE: Okay. And Crocus PZE
14 employed Andrey Trecyacov. Is that the correct
15 pronunciation?

16 MS. TARASSOVA: He was the partner in
17 Middle East Asia Alpha and Crocus PZE did not have
18 him as a shareholder. But at some point Andrey
19 Trecyacov did perform tasks for Crocus PZE

20 JUDGE GUTHRIDGE: He was not a partner
21 he was an employee?

22 MS. TARASSOVA: For Crocus

1 JUDGE GUTHRIDGE: For both Crocus PZE
2 and Middle East Asia?

3 MS. TARASSOVA: No, he had a share in
4 Middle East Asia Alpha.

5 JUDGE GUTHRIDGE: So he is more than
6 just an employee?

7 MS. TARASSOVA: In Middle East Asia
8 Alpha correct

9 JUDGE GUTHRIDGE: Okay. Is that your
10 understanding Mr. Chang?

11 MR. CHANG: With regard to Middle East
12 Asia Alpha we've actually heard various
13 representation throughout discovery but I don't
14 think his status with Middle East Asia really has
15 any strong bearing on this case. We're fine with
16 accepting representation that he's a shareholder
17 of Middle East Asia

18 JUDGE GUTHRIDGE: Now to the respondents
19 there is a respondent Marine Transport Logistics,
20 Inc. and it is licensed by the Commission as a
21 non-vessel operating common carrier. The record
22 indicates that Alla Solovyev owns Marine

1 Transport Logistics. Is there any dispute to
2 that? Mr. Chang I guess that is your position, is
3 that correct?

4 MR. CHANG: That's correct, Judge

5 JUDGE GUTHRIDGE: Ms. Tarassova do you
6 dispute that at all?

7 MS. TARASSOVA: We do not dispute that
8 she is the official owner of Marine Transport
9 Logistics but we do allege that Mr. Solovyev
10 involved in MTL more than just an agent. I mean
11 there were times where he held himself out as the
12 owner of the company

13 JUDGE GUTHRIDGE: Where in the evidence
14 can you cite to me where it indicates that Mr.
15 Solovyev held himself out as the owner?

16 MS. TARASSOVA: It is in a couple of
17 places. First of all, we refer to Mr. Safonov's
18 transcript he discusses his relationship with Mr.
19 Solovyev in MTL. In addition to that --

20 JUDGE GUTHRIDGE: Where in the
21 transcript?

22 MS. TARASSOVA: Give me one second, if I

1 can refer to his transcript.

2 JUDGE GUTHRIDGE: And that's in the
3 respondents' appendix, right?

4 MS. TARASSOVA: Yes. Your Honor, I'm
5 not sure if I'm able to find the specific page and
6 line item right now. This is probably why we were
7 hoping to have an evidentiary hearing on this
8 issue is for Mr. Safonov to testify on why he was
9 under the impression that Mr. Solovyev was
10 controlled the company MTL. In addition to that
11 Mr. Solovyev held himself out as the general
12 manager on social network websites.

13 JUDGE GUTHRIDGE: I do recall seeing an
14 email or something that identified him as general
15 manager of MTL. I do know that is in there. It
16 may not make any difference one way or the other
17 but I'm just trying to understand it as best I
18 can.

19 MS. TARASSOVA: Right, so a lot of the
20 actions that he took and a lot of the events that
21 transpired it certainly made it look as if
22 Solovyev was in full control of the company. This

1 is best explained by Mr. Safonov who was dealing
2 with him and he can speak to the specific events.
3 But I believe that if we look at also Mr
4 Solovyev's transcript there is a portion where he
5 talks about -- and one of the things we can look
6 at for example in the email address that he uses
7 he uses an MTL email address similar to what his
8 wife uses for the business

9 JUDGE GUTHRIDGE: An email address would
10 not necessarily mean that he is an owner

11 MS. TARASSOVA: I understand that. Your
12 Honor, but there is a number of events that took
13 place that made it look like the company was under
14 Mr. Solovyev

15 JUDGE GUTHRIDGE: And like I say in the
16 long run it might not make any difference but I
17 just want to get as good an understanding of it as
18 I can.

19 MS. TARASSOVA: Yes, Your Honor.

20 JUDGE GUTHRIDGE: Now, I also understand
21 that Alla Solovyev is the estranged wife of
22 Aleksandr Solovyev, is that correct?

1 MR. CHANG: Judge, Alla Solovyev and
2 Mr. Solovyev have a separation agreement I believe
3 but they're still separated so that's their
4 current status. They don't live together.

5 JUDGE GUTHRIDGE: Again, that may be
6 something that in the long run doesn't make any
7 difference but while you're on I wanted to clarify
8 that. If we were having a live hearing I would
9 probably ask that so it's something that occurred
10 to me to ask during this. But they have a
11 separation agreement at this point is what you
12 said Mr. Chang, is that right?

13 MR. CHANG: I believe so, Judge.

14 JUDGE GUTHRIDGE: Okay and then the
15 other respondent that is filed as Aleksandr
16 Solovyev also known as Royal Finance Group, Inc
17 Aleksandr Solovyev also owns several companies as
18 I understand it. Car Express and Import, Inc.,
19 Royal Finance Group Inc., and World Express and
20 Connection, Inc. He may own other companies but
21 those are the three that seem to be relevant to
22 this proceeding, is that correct Mr. Chang?

1 MR. CHANG: That is correct, Your Honor,
2 at least as of the dates in question.

3 JUDGE GUTHRIDGE: Okay Ms. Tarassova
4 do you have any disagreement with that?

5 MS. TARASSOVA: No, Your Honor.

6 JUDGE GUTHRIDGE: And Car Express, Royal
7 Finance and World Express are also three separate
8 and distinct legal entities, is that correct Mr
9 Chang?

10 MR. CHANG: That is correct, Judge

11 JUDGE GUTHRIDGE: Then Mr. Solovyev,
12 identified as the respondent, would also be a
13 legal entity. Do you have any dispute about that
14 Ms. Tarassova?

15 MS. TARASSOVA: We do not have a dispute
16 in the sense that these are separately
17 incorporated companies but obviously we do dispute
18 the fact that he was treating them as companies
19 I think that is in our reply brief that basically
20 he was hiding behind these corporations to perform
21 acts in benefit of himself

22 JUDGE GUTHRIDGE: I did see that was in

1 your reply brief. Mr. Chang do you have a
2 response to that?

3 MR. CHANG: Yes, Judge, I believe what
4 the complainants are saying is sort of per for the
5 course any time a party makes an alter ego
6 allegation, but what is missing here at least in
7 the reply and in this case is some sort of a
8 causation link between the alter ego allegations
9 and the form alleged. The way we're looking at it
10 is even if there was some sort of alter ego
11 question which we're not conceding but how did
12 this alter ego allegation actually bring about the
13 harm that has been alleged and we don't see any
14 such link.

15 JUDGE GUTHRIDGE: I would like to start
16 a little bit before that. Ms. Tarassova, as you
17 said you mentioned that in your reply brief but I
18 looked through your complaint and I did not see
19 any allegation of piercing the corporate veil and
20 my understanding is that has got to be in the
21 complaint if you're going to raise it as a theory
22 of liability.

MS. TARASSOVA: Right, Your Honor.

Initially we included as a respondent Mr. Solovyev because all of his dealings were with the complainants not from the companies behind which he hid. But from himself they didn't even know the existence of World Express and Connection. The issue of all of these business entities arose after the formal complaint was filed. At that point we found out that there was a business entity called World Express and Connection so basically at that point because it was raised respondents in their response brief we had to reply with the corporate veil issue because of that point.

JUDGE GUTHRIDGE: You're not reaching my question. Generally, if a complainant, if a plaintiff is going to raise piercing the corporate veil as a theory of liability it has to be in the complaint and that's what I'm saying. So how did your complaint put the respondents on notice that you were seeking to pierce the corporate veil?

MS. TARASSOVA: Well, we included Mr.

Solovyev as an individual in the formal complaint.

JUDGE GUTHRIDGE: I understand that.

MS. TARASSOVA: We're going after him as an individual. In addition to that some of these corporations on the fact their involvement came up during the litigation so initially the complainants were -- because their dealings are directly with Aleksandr Solovyev we decided to file a law suit against Aleksandr Solovyev. As a result, we did not put anything in the formal complaint about piercing the corporate veil because we never saw him as these corporations. At a later time, it became apparent that he was using some of these corporations to do business with the complainant.

JUDGE GUTHRIDGE: So when did you develop your piercing corporate veil theory?

MS. TARASSOVA: When the respondents alleged that Mr. Solovyev was not acting as an individual but acting as each one of these corporations during the course of discovery it became clear that Mr. Solovyev was going to use

these various business entities to protect himself from the actions that transpired.

JUDGE GUTHRIDGE: So it was during the course of discovery you developed the idea of piercing the corporate veil?

MS. TARASSOVA: Your Honor, we had to raise it in our reply because it became clear that Mr. Solovyev was going to use the defense that it wasn't him that was performing these acts it was at some point it was Car Express and Import, at some point it was the World Express and Connection that did something, at some point it was Royal Finance Group that did something.

JUDGE GUTHRIDGE: Didn't the complainants know that all along? I mean there is an invoice in there from -- and I think it is at 118 of your appendix from Car Part that identifies Car Express as the member. That's something that the complainants had before they filed this proceeding.

MS. TARASSOVA: If you give me one second let me refer to that document.

JUDGE GUTHRIDGE: That was my recollection of the number, let me pull it up myself.

MS. TARASSOVA: Are you looking at the Copart Invoice?

JUDGE GUTHRIDGE: Yes. The Copart invoice is complainant's appendix 118 dated 8/7/13 for identifying Travelers Indemnity Company as the seller and member as Car Express and Import, Inc.

MS. TARASSOVA: Right, Your Honor, this looks like a receipt for the purchase of one of the boat correct?

JUDGE GUTHRIDGE: That's correct the formula boat.

MS. TARASSOVA: This is something that may have been in the possession of the complainants before they filed the law suit. I believe this is something and I can't say for sure and this is why I would like the client to speak on this issue how I believe this document was either discovered during discovery and received from the respondents or it may have been something

1 that was initially as something given from the
2 respondents prior to the law suit. As far as
3 their dealings and I really wish my client could
4 speak on this specifically so he can answer the
5 question better. It is my understanding that when
6 they were dealing with Mr. Solovyev they were
7 dealing with the individual and it was not made
8 clear that they were dealing with his corporations
9 at any point. Even though there may be
10 documentation that mentions these corporations I
11 think it was -- the question is did the
12 complainants understand who they were dealing with
13 and basically who was performing the task for
14 them.

15 JUDGE GUTHRIDGE. Back to my question
16 from a couple of minutes ago. You just said you
17 got this during discovery so I asked you when you
18 did you develop your theory of piercing the
19 corporate veil? Was it during discovery when you
20 started getting documents such as this car part
21 invoice?

22 MS TARASSOVA. I think that when we

1 initially realized that Mr. Solovyev was going to
2 use his corporations to protect himself was
3 probably during his deposition. If we look at his
4 deposition transcript I think we started
5 understanding that he was probably going to do
6 that. Now in our defense, Your Honor, did
7 respondent Solovyev file any kind of a motion or
8 response of pleading that basically said that he
9 should not be sued as an individual and should not
10 be named as an individual party in this. At no
11 point was there an objection of Mr. Solovyev that
12 he was not acting as an individual but acting as a
13 corporation or multiple corporations.

14 JUDGE GUTHRIDGE: Do you have a response
15 to that Mr. Chang?

16 MR. CHANG. Judge, we're not actually
17 sure where complainants' council is going with
18 this question. I will point out that from the
19 beginning of this conference complainants' council
20 mentioned that Mr. Solovyev was using an MTL email
21 address although it was in his role as Car
22 Express, as agents for MTL, but certainly the fact

1 that other corporations were involved was known to
2 complainants all along. The invoices that they
3 got were not invoices from an individual they were
4 invoices from a company. As Your Honor pointed
5 out when the purchase of the boat was made it
6 wasn't Mr. Solovyev purchasing it individually in
7 his name but it was the company purchasing it. It
8 seems at odds with even how the complainants
9 filed. It is filed against Mr. Solovyev as the
10 company name implicated. It is difficult to
11 understand how complainants can now say that they
12 thought they were dealing with Solovyev personally
13 and not with any of the companies that were on all
14 the documents, on invoices, on email and on the
15 correspondence. As far as the answer goes I'd
16 have to actually pull up what the answer says. I
17 don't recall off the top of my head (inaudible)
18 was asserted. Since an alter ego claim was not
19 raised in the complaint I don't believe we
20 responded to it.

21 JUDGE GUTHRIDGE. That would have been
22 unusual. Ms. Tarassova when you started getting

1 the information about the other companies that you
2 say made it clear to you that Mr. Solovyev would
3 be hiding behind these companies why didn't you
4 move to amend your complaint to add the piercing
5 the corporate veil claim?

6 MS TARASSOVA. And to answer that
7 question I mean I have to go back to the fact that
8 the respondents never filed a motion to dismiss
9 against Solovyev as an individual. They
10 acquiesced to the fact that we filed the formal
11 complaint against him as an individual and at no
12 point did they file any kind of a motion to
13 dismiss the law suit against him and at no point
14 did they assert that they had an issue with it.

15 JUDGE GUTHRIDGE. I don't think they're
16 required to file a motion to dismiss. They are
17 required to defend the case against him not
18 necessarily move to dismiss it. By not moving to
19 dismiss it I don't think Mr. Solovyev or the AKA,
20 the RFG, Royal Finance, waives any defenses. I
21 think we've sort of gone on on this on this
22 particular part of it because there is actually

1 another thing that I'd like to raise about
2 piercing the corporate veil. As you say you did
3 not put it in your opening brief. You first
4 mentioned it in your reply brief and that's what
5 caught my eye about this. Generally, arguments
6 that are not raised in an opening brief are
7 waived. Even if there is some reason for not
8 having amended the complaint -- not having
9 originally plead piercing corporate veil -- and a
10 reason for not having moved to amend the complaint
11 to include it what about the fact that you did not
12 raise it in your opening brief but waited until
13 your reply brief to raise it?

14 MS. TARASSOVA: I think it goes back to
15 the same issue. When we filed the formal
16 complaint against Mr. Solovyev as an individual
17 there was never an objection filed on behalf of
18 Mr. Solovyev that he should not be sued in his
19 individual capacity. That issue did come up from
20 time to time. It seemed like they were going to
21 allege that he may be acting on behalf of his
22 corporations but there was nothing officially

1 filed that said they would be doing so. So the
2 reason it is not in the opening brief is because
3 we assumed that they would not be raising this
4 issue because it has not been raised since the
5 formal complaint was filed. It was only raised in
6 the response brief and so I had to address the
7 issue in the reply brief. Up until then it was
8 completely quiet on the respondents end as to
9 whether they were going to be raising the issue of
10 Mr. Solovyev being protected behind his
11 corporations. I understand the Court's opinion on
12 this issue but I believe the respondent, Mr.
13 Solovyev, should have raised the issue when he saw
14 his name as an individual listed on the formal
15 complaint if he believed that he was not acting as
16 an individual during these transactions. I
17 believe that he should have put us on notice and
18 we could have addressed it at that point. But
19 waiting until the very end to raise that issue is
20 a little late and that is the complainants'
21 position on this issue.

22 JUDGE GUTHRIEDGE: Okay, well those are

1 the two procedural problems. Do you want to
2 respond, Mr. Chang?

3 MR. CHANG: Yes, I'm sorry. I disagree
4 that the respondents even raised the issue in our
5 opposition brief. I don't believe we made an
6 argument about the corporate veil or hiding behind
7 a corporation. Our arguments in the brief were
8 directed towards Mr. Solovyev's role as an agent
9 on behalf of MTT and therefore not having
10 requirements to file tariffs. That was the
11 argument in our opposition brief. The corporate
12 veil in the complainants' reply brief is sort of
13 out of the blue. I don't know where the argument
14 is coming from. I understand that throughout
15 discovery the names of multiple corporations have
16 been raised and discussed including in the
17 respondents' answer but it was never an argument
18 that there would now be a claim to pierce the
19 corporate veil.

20 JUDGE GUTHRIEDGE: All right. Ms.
21 Tarassova even if it were properly raised and
22 argued at some point or raised sometime earlier

1 than your reply brief the Commission has several
2 factors that it considers in whether to pierce
3 corporate veil. These are set forth in the case
4 Rose International, Inc. vs. Overseas Moving
5 Network International Limited and that can be
6 found at 29 SRR 119 at 167-168 and that is a
7 Federal Maritime Commission decision in 2001 and
8 there are several factors that the Commission sets
9 forth. I see no evidence at all on over half of
10 them. There are certain things that are there.
11 One of the factors is the nature of the ownership
12 and control and Solovyev is the owner of the three
13 corporations we talked about earlier. So they all
14 have the same ownership. At least two of them use
15 the same office or business location. Another
16 factor is overlapping ownership, officers,
17 directors and personnel. Well, he owns all three
18 of them so that is not. The others -- I mean is
19 there any evidence in the record about failure to
20 maintain corporate minutes or adequate corporate
21 records in failure to file corporate formalities.
22 Is there any evidence about that in the record Ms.

1 Tarassova?

2 MS. TARASSOVA: I do not believe that we
3 specifically asked that question during his
4 deposition.

5 JUDGE GUTHRIDGE: That's not my
6 question. My question is is there evidence in the
7 record about that?

8 MS. TARASSOVA: No, Your Honor, I don't
9 believe we addressed formalities with Mr. Solovyev
10 during the deposition.

11 JUDGE GUTHRIDGE: Is there any evidence
12 in the record on comingling of funds and other
13 assets?

14 MS. TARASSOVA: There could be some
15 facts that could be inferred from the fact the Mr.
16 Solovyev uses the one company called Royal Finance
17 Group to collect all funds for all the other
18 companies including MTL. That is an interesting
19 aspect of the whole situation. That is something
20 that kind of makes it look very suspicious. The
21 other fact that their invoice --

22 JUDGE GUTHRIDGE: Wait. Making

1 something looking like it is suspicious is not
2 evidence that it is being done. For all we know
3 because there doesn't seem to be any evidence in
4 the record Mr. Solovyev uses the Royal Finance as
5 his sort of collection and billing stuff. When
6 the money comes in if it is a Car Express payment
7 it goes to the Car Express account. If it is a
8 World Express, it goes to the World Express
9 account and there is no comingling at all. Is
10 there any evidence in the record that he is doing
11 anything but that?

12 MS. TARASSOVA: Your Honor, we did not
13 do financial discovery on Mr. Solovyev.

14 JUDGE GUTHRIDGE: Okay. Is there
15 evidence of inadequate capitalization of any of
16 those companies?

17 MS. TARASSOVA: The same answer, Your
18 Honor, we did not do financial discovery on him.

19 JUDGE GUTHRIDGE: And is there any
20 evidence in the record of a diversion of the
21 corporation's funds or assets to non-corporate
22 uses?

1 MS. TARASSOVA: I do not believe so,
2 Your Honor. It goes to the same answer. We did
3 not do that type of discovery. We looked at other
4 things.

5 JUDGE GUTHRIDGE: Is there any evidence
6 that the corporations are treated as independent
7 profit centers or not treated as independent
8 profit centers?

9 MS. TARASSOVA: I don't have any
10 evidence either way, Your Honor.

11 JUDGE GUTHRIDGE: Okay, that's going to
12 be something to be considered as part of that and
13 it may not make any difference one way or another
14 but it is something I'll need to address.

15 MS. TARASSOVA: Your Honor, if I could
16 add to that the evidence that I do have is that
17 Mr. Solovyev certainly does not treat each
18 corporation as a separate standing corporation.
19 Some of the evidence that we do have is that Mr.
20 Solovyev testified to the fact that he uses one
21 main phone number, one main email address, one
22 main corporate address which is the same address.

1 is MTL. His Florida Corporation, the Royal
2 Finance Group, is registered at a home address of
3 a person he could not name because he did not
4 remember but thought it was a family member down
5 in Florida. In addition to, he is the sole
6 employee I believe according to his deposition
7 transcript he is the sole employee of Car Express
8 and Import, Royal Finance Group and I believe he
9 said that World Express and Connection he has some
10 employees for that. But those are the facts that
11 I wanted the Court to also consider.

12 JUDGE GUTHRIDGE: I will consider them.
13 I want to now get to -- try to understand exactly
14 what was going on with these operations. As I
15 understand it from Mr. Safonov's this is in
16 respondent's appendix 63 it is Safonov's
17 deposition on page 29 lines 1 through 12 where
18 Safonov testified that Safonov and Aleksandr
19 Solovyev would view boats online and Safonov would
20 decide which boats to purchase. Is that
21 essentially what they did because as I understand
22 it Safonov was in Dubai at this time, is that

1 correct?

2 MS. TARASSOVA Yes, Your Honor Mr
3 Safonov had some kind of online access to view the
4 inventory for the American Auto Auction -- I guess
5 it's Copart -- and I believe they sold more than
6 just autos there He would instruct --

7 JUDGE GUTHRIDGE: They sold boats there
8 and they bought boats there

9 MS. TARASSOVA Yes, they did. So he
10 would instruct Mr. Solovyev as to what he was
11 interested in from Dubai over the internet and Mr.
12 Solovyev would then complete the purchase on this
13 side.

14 JUDGE GUTHRIDGE I also understand this
15 is from the same page that Mr. Safonov had the
16 final decision making authority about which boats
17 to buy He was the one who would decide.

18 MS. TARASSOVA That's what he testified
19 to.

20 JUDGE GUTHRIDGE: Also all of the boats,
21 not just the three that are at issue in this
22 proceeding, but all of the boats were purchased

1 from Copart, is that correct?

2 MS. TARASSOVA: I'm not sure, Your
3 Honor There may have been another auction that
4 Mr. Solovyev used. I don't know; that's not on
5 the record

6 JUDGE GUTHRIDGE: Mr. Chang, can you
7 shed any light on that?

8 MR. CHANG. Is Your Honor's question
9 with regard to just the three boats at issue in
10 this case?

11 JUDGE GUTHRIDGE: No, as I understand
12 it, the three boats at issue in this case were
13 bought from Copart I don't think there is a
14 Copart invoice on one of them, I forget which one
15 I think there are on two but I thought read some
16 place that Copart is where they all came from
17 Not just these three but however many boats they
18 bought.

19 MR. CHANG I believe that is correct.
20 The parties Mr. Safonov and Car Express and Mr
21 Solovyev's company had actually purchased other
22 boats in the past aside from these three boats As

1 far as where they were purchased from I don't have
2 that information on me at the moment but I think
3 Copart would probably be a safe assumption.
4 Copart is a rather large automobile and boat
5 auction site and it is a site that Mr. Solovyev
6 through his company Car Express which has a
7 wholesale dealer license frequents.

8 JUDGE GUTHRIDGE That actually brings
9 up my next question I was going to ask. Because
10 the invoice we were just looking at complainant's
11 appendix 118 the Copart invoice and as I read
12 earlier it said the seller was Travelers Indemnity
13 Company and the member was Car Express and Import,
14 Inc. Does one have to be a member to purchase
15 something from Copart or could I go online with
16 Copart and bid on boats or do I have to go through
17 a member Do you know, Mr. Chang?

18 MR. CHANG: From what we were told
19 you're required to either have a license or to be
20 a member I'm not sure.

21 JUDGE GUTHRIDGE What kind of license?

22 MR. CHANG A wholesale or dealer

1 license.

2 JUDGE GUTHRIDGE: Does Car Express have
3 a wholesale or dealer license for boats?

4 MR. CHANG: Yes, Car Express does

5 JUDGE GUTHRIDGE: And it is also a
6 member of Copart to the extent that that's
7 required according to this invoice?

8 MR. CHANG That is correct, Judge.

9 JUDGE GUTHRIDGE Okay. Then how they
10 would operate from that point as I understand it
11 from the depositions, mostly from Mr. Solovyev's
12 deposition, is that after Safonov would designate
13 which boat to buy this comes from the response to
14 complainants' proposed findings of fact I think is
15 where I got this from but it is cites deposition
16 testimony Royal Finance Group would advance
17 payments on behalf of the foreign complainants
18 which would mean Safonov to Copart a U.S. auction
19 site and to other companies for example MTL, Car
20 Express, Inland Trucking Companies. This was done
21 as a convenience to complainants so that
22 complainants would only need to make a single

1 "lump sum" wire transfer payment to RFG and
2 accordingly could avoid paying the fees associated
3 with sending multiple wire transfers. In this way
4 complainants would also avoid incurring penalties
5 for late payment to the auction site which could
6 occur if there were delays with the foreign wire
7 transfers. It says see deposition transcript of
8 and I inserted Alekandr Solovyev at page 45 line
9 17 to page 47 line 25. RFG in turn charged a
10 commission to complainants for its services see
11 deposition transcript of Alekandr Solovyev at
12 page 46 line 8-14 Ms Tarassova is that your
13 understanding of essentially the way this
14 relationship worked before it went south?

15 MS. TARASSOVA: I think that the
16 complainants would agree that Mr. Solovyev
17 collected the payment through Royal Finance Group
18 but that's about all that they're going to agree
19 to I don't know if they would agree to the truth
20 of the statement of he did it to avoid late
21 payments for his clients. He could have done it
22 for a number of reasons and it is unclear why he

1 was collecting payment through Royal Finance Group
2 which is a Florida corporation but regardless we
3 don't disagree with the fact that he used that
4 company to collect all cash payments.

5 JUDGE GUTHRIDGE: I confess I do not
6 deal a lot in foreign wire transactions. Do you
7 disagree that if Safonov in Dubai had three
8 payments to make one to Copart, one to MTL and one
9 to somebody else that making one wire transfer to
10 RFG and having RFG pass those payments on would
11 result in a lower transaction fee for Safonov?

12 MS. TARASSOVA: Your Honor, we would
13 disagree with that. If we look at Mr. Safonov's
14 transcript regarding the wire transfer fees I
15 think there were I think he testified to maybe
16 \$50.00 each wire transfer. Obviously the currency
17 exchange rate will be charged regardless, whether
18 it's one lump sum for a larger amount of three
19 separate charges, I mean, there is a currency
20 exchange rate. If you look at Mr. Solovyev's
21 commission for his services I think it exceeded
22 what Mr. Safonov would have paid if made two

1 separate wires. So that's why he would disagree
2 that he was doing everybody a favor. I think he
3 had an ulterior reason for doing it

4 JUDGE GUTHRIDGE: I don't care if he was
5 doing everybody a favor or had an ulterior reason
6 what I'm saying is this the way the operation
7 worked for the period of - for however many boats
8 were purchased during this relationship? Was this
9 their standard way of practice?

10 MS. TARASSOVA: Yes, Your Honor, and we
11 did agree to that, that's how they did it

12 JUDGE GUTHRIDGE: So whatever the
13 respondent's motive might have been it got him a
14 little more and it is something that's for a
15 number of boats beyond these three the parties
16 agreed to do, is that correct?

17 MS. TARASSOVA: Yes, Your Honor. That
18 was their course that the complainants would wire
19 one sum to Royal Finance Group and then Royal
20 Finance Group would I guess --

21 JUDGE GUTHRIDGE: Solovyev might have
22 had an ulterior motive but Safonov agreed to that

1 course conduct for some period of time, correct?

2 MS. TARASSOVA: Yes, Your Honor.

3 Correct

4 JUDGE GUTHRIDGE: Okay. Let me jump
5 before we get into the boats themselves and ask
6 you, Ms. Tarassova, about the documents that
7 relate to a Mercedes and Porsche apparently owned
8 by Solovyev that he sent to Dubai I guess to be
9 repaired and sold. What's their relevance to this
10 proceeding?

11 MS. TARASSOVA: I think it shows that
12 they had an understanding and it is my
13 understanding from my client's perspective is that
14 during the time that the respondents held the
15 complainants' property while they were deciding
16 what to do with the formula boat whether to ship
17 it to Dubai or whether whatever what is happening
18 while they were holding it the complainants also
19 had Mr. Solovyev's property or at least Mr.
20 Solovyev alleged that it was his property. I
21 think that is an issue in dispute in a different
22 case. But Mr. Solovyev hadn't requested that he

1 wanted to sell these I think they were salvaged
2 automobiles. They couldn't be sold here in the
3 United States so he sent them over to Dubai to see
4 if the complainants could fix them up and try to
5 see them in Dubai. Then whatever profits they
6 would make they would send back to Mr. Solovyev.
7 They had an ongoing relationship where they were
8 doing favors for the respondents and in turn the
9 respondents held on to the formula boat for over a
10 year

11 JUDGE GUTHRIDGE: What does the
12 automobiles and shipping them to Dubai and being
13 held by Safonov over there what does that have to
14 do with the alleged Shipping Act violations?
15 Because that is the only jurisdiction that the
16 Commission has. It has to do with the
17 transportation of cargo by water between the
18 United States and foreign country, in this case
19 Dubai. What do these automobiles have to do with
20 the transportation of the boats?

21 MS. TARASSOVA: I think it gives us a
22 little background on the party's relationship

1 because I believe the respondents are alleging
2 that they're owed in relation to holding on to
3 property that they were going to ship
4 internationally. This just gives background to
5 the issue that maybe perhaps there was a reason
6 why they didn't initially issue any invoices for
7 storage because they had an incentive not to.

8 JUDGE GUTHRIDGE: What does it have to
9 do with whether or not the respondents, as you
10 allege in your complaint, failed to establish,
11 observe and enforce just and reasonable
12 regulations and practices related to or connected
13 with the receiving, handling, storing or
14 delivering of property, meaning the boats

15 MS. TARASSOVA: It is just background,
16 Your Honor, I don't think it goes directly to
17 that

18 JUDGE GUTHRIDGE: Okay. So now we get
19 to the boats. On May 7, 2013 according to
20 Complainants' Appendix 007 Middle East Asia Alpha
21 FZC purchased the boat identified as the 2008
22 Chaparral with a vin number for \$10,505.00

1 That's the receipt that's in there and that is the
2 evidence on which - or one piece of evidence on
3 which you rely, Ms. Tarassova. There is also a
4 vessel bill of sale on page 18 018 of the
5 Complainants' Appendix that identifies the seller
6 as Marine Transport Logistic. Mr. Chang, did
7 Marine Transport Logistic sell the 2008 Chaparral?

8 MR. CHANG: No, Your Honor. I believe
9 we were questioned about this document, Mr.
10 Solovyev was questioned about this document at a
11 deposition and he testified it was not even his
12 signature on the document. So we are not sure
13 where this document has come from. We believe it
14 was a document that was created in Dubai not for
15 any nefarious purpose but by Middle East Asia to
16 help facilitate the import of the boat into Dubai.
17 So it may be just a customs document that was
18 created for Dubai customs. It wasn't a document
19 that Marine Transport Logistics had any real part
20 in.

21 JUDGE GUTHRIDGE: So I see a signature
22 of seller purportedly dated May 22, 2013 with a

1 signature there. Is that the signature that you
2 say Mr. Solovyev testified was not his signature?

3 MR. CHANG: I believe that is in the
4 deposition. It may also just be his response to
5 questioning on this document

6 JUDGE GUTHRIDGE: Ms. Tarassova, what is
7 your knowledge of this vessel bill of sale?

8 MS. TARASSOVA: It looks like it was
9 notarized by a person who worked for Marine
10 Transport Logistic at the time

11 JUDGE GUTHRIDGE: Are you talking about
12 Vahim Alper?

13 MS. TARASSOVA: Yes, Your Honor. This
14 is a person that is believed to have worked for
15 Marine Transport Logistic at the time so I can't
16 say where it came from. Perhaps this is something
17 we'll have to ask the parties but from just
18 looking at the face of the document it seems to be
19 notarized by someone who worked for Marine
20 Transport Logistics at the time

21 JUDGE GUTHRIDGE: And then there is also
22 at 115 of Complainants' Appendix the Copart

1 invoice identifying the seller as Encompass
2 Insurance and the member as Car Express and
3 Import, Inc for the '08 Chaparral boat. Let me
4 ask you something, Ms Tarassova, and I don't mean
5 to be mean by saying this but did you give some
6 thought to maybe putting all the documents about
7 each boat together? That would make it easier for
8 somebody trying to go through the record rather
9 than jumping them well hundred pages apart

10 MS TARASSOVA: I will certainly try to
11 do that next time.

12 JUDGE GUTHRIDGE: I'm not asking you to
13 redo the appendix but you ought to give some
14 thought to that maybe. Make things as easy for
15 the judge as you can. At the Complainants'
16 Appendix at 77-78 is a title for the 2008
17 Chaparral identifying the owner is Encompass
18 Insurance of New Jersey. Who owns the 2008
19 Chaparral at this point?

20 MS TARASSOVA: That is a good question,
21 Your Honor. I can't say for sure. I think the
22 respondents might be able to answer that better

1 JUDGE GUTHRIDGE: Why would they be able
2 to answer it better?

3 MS TARASSOVA: It is my understanding
4 that these certificates of title were --

5 JUDGE GUTHRIDGE: Let me back up. Let
6 me not ask it for now. As of May 2013 who owned
7 the 2008 Chaparral?

8 MS. TARASSOVA: Are you asking who was
9 the registered owner or who was the owner as far
10 as -- are we talking about whether the title was
11 registered to one particular owner?

12 JUDGE GUTHRIDGE: Who purchased the 2008
13 Chaparral? It ended up going to Dubai owned by
14 somebody. Who owned it at that point? Was it
15 Middle East Asia? There is some indication that
16 it is Middle East Asia. The Complainants'
17 Appendix at 007 is the invoice that says the
18 purchaser was Middle East Asia. Mr. Safonov is
19 the one who supplied the money for it, is that
20 correct?

21 MS. TARASSOVA: Yes, Your Honor. I
22 believe all the wire transfers were from either

1 Crocus FZE or Crocus Investments

2 JUDGE GUTHRIDGE: Who bought that boat?
3 It was Mr. Safonov's money and three of his
4 companies are potentially involved here. Who
5 bought the boat?

6 MS. TARASSOVA: Let me look at the wire
7 receipt because whoever paid for the boat would be
8 the owner. Let me just check the wire. I believe
9 for the two smaller boats the Monterey and the
10 Chaparral it was Crocus FZE that wired the money
11 and therefore would be the owner. I'm looking at
12 Complainants' CX 112, it is the application for
13 telegraphic transfer, it's the wire receipt in the
14 amount of \$30,000 from Crocus FZE so that is the
15 money that went towards to two boats. So Crocus
16 FZE would be the owner of the boats since that's
17 the company that paid for it. As far as
18 registration, I'm not sure they were even ever
19 registered to a particular company.

20 JUDGE GUTHRIDGE: On that 112 where you
21 were just looking at it says payment for invoice
22 number 1168 and that is the Monterey, the 2011

1 Monterey and 1174, the 2008 Chaparral that is the
2 subject of the proceeding. It was REG invoice
3 1177.

4 MS. TARASSOVA: Right, Your Honor. This
5 is the way they did business. I believe that if
6 you look at the emails going back and forth the
7 way they way do it was Mr. Safonov's was at some
8 point Mr. Solovyev either asked him or allowed him
9 to create some invoices and so there were a lot of
10 invoices going back and forth and sometimes their
11 numbers were different. I'm not sure if it is
12 disputed by the parties that both of these boats
13 were paid for by Crocus FZE and essentially owned
14 by them.

15 JUDGE GUTHRIDGE: Mr. Chang, as far as
16 you know did Crocus FZE purchase both of these
17 boats?

18 MR. CHANG: Judge, I think you really
19 asked two questions. The first question is as far
20 as who purchased the boat. The initial purchaser
21 I think as Your Honor sort of hit on earlier was
22 Car Express but as Ms. Tarassova pointed out

1 eventually an invoice was sent from Royal Finance
2 Group to collect the lump sum payments of all
3 these boats. So there is really no dispute from
4 respondents' side that the 2011 Monterey and the
5 2008 Chaparral were ultimately paid for by one of
6 Mr. Safonov's companies. I think what might be
7 the cause of some of this confusion is there are
8 other boats involved in some of these
9 transactions. I've got four named as part of this
10 complaint but were purchased upon the same agreed
11 upon procedure. That's the explanation to some of
12 these other invoices and it is also the
13 explanation for why other boats are named on the
14 bills of lading.

15 JUDGE GUTHRIDGE: Actually one of the
16 things that occurred to me as I was looking
17 through this and also in dealing with the
18 corporate veil issue and thinking about that is it
19 seems everybody was pretty casual about who was
20 actually doing what. As I operating as Crocus
21 investment or Crocus FZE or Middle East Asia or
22 RFG, you know, who is actually legally doing what

1 is being done. When things go right as it did on
2 most of the boats nobody cares much. But when
3 things go wrong that's when it gets to me and I've
4 got to hash out all this stuff and figure out who
5 did what and who owns what and part of this is who
6 has a right to bring a case. Mr. Chang, you seem
7 to be accepting of the fact that it came from one
8 of Mr. Safonov's three companies. Here is some
9 documentary evidence on the Monterey anyway that
10 it came from Crocus FZE but the others you're not
11 sure of unless there is something else in the
12 record, is that right?

13 MR. CHANG: I am not sure of the exact
14 payment documentation but the 2011 Monterey and
15 the 2008 Chaparral were shipped over to Dubai and
16 received by Middle East Asia. Certainly none of
17 Mr. Solovyev's companies raised any claims for
18 non-payment as far as the boats are concerned. As
19 far as anticipating Your Honor's question or
20 standing to sue on these boats I don't see any
21 reason to object to one of Mr. Safonov's companies
22 whichever one it might be having some sort of

1 standing. It may be Middle East Asia at the end
2 of the day but we really haven't conducted any
3 discovery to explore that issue.

4 JUDGE GUTHRIDGE: Okay. Then next on
5 the Chaparral, it was purchased and then on May 22
6 and this is where we finally get to the Federal
7 Maritime Commission's interest in this. On May
8 22, 2013 MTL issued a bill of lading identifying
9 MTL as the shipper. Middle East Asia is the
10 consignee, Newark is the port of loading and Jebel
11 Ali as port of unloading and identifying the cargo
12 to include the 2008 Chaparral. On May 25, 2013
13 MAERSK issued a similar bill of lading.
14 Both of those bills of lading also identify a 2007
15 Four Winns that they were loaded into a container
16 and shipped to Dubai. There doesn't seem to be
17 any dispute as to that. The Four Winns boat --
18 does anybody know whether the 2007 Four Winns boat
19 was purchased using the same sort of proceeding or
20 same sort of course of conduct as the 2008
21 Chaparral and the other boats? Is that one of
22 their boats?

1 MS. TARASSOVA: Your Honor, I guess we
2 can only assume that. We haven't done any
3 discovery in regards to that.

4 JUDGE GUTHRIDGE: It is your client who
5 may or may not own it. Presumably would own it.
6 It just seemed logical to me that it probably is
7 one of the boats of which there were a number. I
8 understand from the record, that were actually
9 sold in Dubai. They were shipped to Dubai and
10 then sold but nobody knows whether that is
11 actually one of those boats, is that what you're
12 telling me?

13 MR. TARASSOVA: Yes, Your Honor.

14 JUDGE GUTHRIDGE: Okay. Now, the 2008
15 Chaparral arrived in Dubai and was delivered to
16 Middle East. Is there any dispute to that?

17 MS. TARASSOVA: No, Your Honor.

18 JUDGE GUTHRIDGE: Ms. Tarassova, earlier
19 I read the statute or your allegation in the
20 complaint or the statute that you're directed to,
21 you're claiming was violated and it is 46 U.S.C.
22 41102(c) and a common carrier marine terminal

operator or ocean transportation intermediary which is what MTL is may not fail to establish, observe and enforce just and reasonable regulations and practices relating to or connected with the receiving, handling, storing or delivering properly. At what point if any during the transportation of the 2008 Chaparral from the United States to Dubai did the respondents fail to establish, observe or enforce just and reasonable regulations and practices relating to or connected with the receiving, handling, storing or delivering of the 2008 Chaparral?

MS. TARASSOVA: On its way from New Jersey to Dubai at that point everything was fine still.

JUDGE GUTHRIDGE: So you do not claim there was any Shipping Act violation committed by MTL or any respondent from shipping the 2008 Chaparral to Dubai?

MS. TARASSOVA: To Dubai no not at that point. It became an issue when MTL received it when it came back to the United States.

JUDGE GUTHRIDGE: What became an issue?

MS. TARASSOVA: The violation of the Act became an issue when the two smaller boats came back into MTL's possession when they were shipped from Dubai to the United States.

JUDGE GUTHRIDGE: Okay. On the 2011 Monterey the Complainant's Appendix at C11 is an RFG invoice 3168 to Andrey Tretyakov in Dubai Middle East Asia Alpha for the 2011 Monterey. There is also an invoice identifying attributing certain money for certain purchases. The same question as regards to the 2008 Chaparral, who owned the 2011 Monterey after that purchase in 2013?

MS. TARASSOVA: It would have been owned by Crocus FZE.

JUDGE GUTHRIDGE: Okay.

MS. TARASSOVA: They're the ones that paid for it.

JUDGE GUTHRIDGE: And then Crocus -- Safonov instructed Solovyev to ship the Monterey to Dubai and on May 5, 2013 MTL issued a bill of

lading identifying Tretyakov, Andrey as shipper Middle East Asia consignee, New York as of port of loading, Jebel Ali as port of unloading and identifying the cargo to include the 2011 Monterey. There was on May 5 MABRSK Line issues a similar bill of lading. Those two bills of lading also identify 2002 Chaparral boat. Does anybody know whether that was one of those purchased by that process of Safonov and Solovyev going on the internet and purchasing a boat?

MS. TARASSOVA: Right, Your Honor, I don't think we did any discovery related to that. It can only be that that is probably part of the regular dealing.

JUDGE GUTHRIDGE: Okay. And then the 2011 Monterey arrived in Dubai and was delivered to Middle East Asia. The same question with regard to the 2011 Monterey, do you claim there was any Shipping Act violation on the shipment from the United States to Dubai?

MS. TARASSOVA: No, Your Honor, at that point no.

JUDGE GUTHRIDGE: Okay. Now there came a time about a year later when I guess Middle East Asia or whoever was trying to sell boats over there was not able to sell those two boats, the two that came back.

MS. TARASSOVA: Yes.

JUDGE GUTHRIDGE: And so the record indicates in Safonov's deposition and this is Respondents' Appendix at 69 Safonov's deposition at page 52 line 13 to 53 line 9 summarize says Safonov instructed two employees of Middle East Asia to arrange shipment of the 2011 Monterey and the 2008 Chaparral to the United States. Is there any dispute to that? That Safonov instructed two employees to do that?

MS. TARASSOVA: Yes, Your Honor, I don't think there is a dispute. That is what he testified to.

MR. CHANG: Judge, we agree that that is his testimony but I will point out when Your Honor gets to it but I think we have some real questions in light of the supplemental certification that

was submitted by Mr. Safonov as to what really happened.

JUDGE GUTHRIDGE: I understand that and we're going to get to there but this is testimony saying that he instructed two Middle East employees to get these back to the United States. That doesn't yet have anything to do with the respondents it doesn't seem.

MR. CHANG: Right, we have no independent oppositional information.

JUDGE GUTHRIDGE: Okay. Now on May 30 APL issued the bill of lading and sent the boats 2008 Chaparral and 2011 Monterey back to MTL. I'm a bit puzzled, Mr. Chang. How did MTL end up being the consignee on that?

MR. CHANG: This we don't know. Our best guess is that -- and this relates back to the earlier bills of lading for the export shipment. Mr. Tracyanov of Middle East Asia had actually been, we believe, dealing directly with MTL or booking shipments directly with MTL. He was known to MTL's booking department. Our best guess with

regard to this APL bill of lading is he listed Marine Transport as the consignee because they were the shipper on the reverse MAERSK bill of lading. As our questioning and investigations don't turn up any correspondence with Middle East Asia or any authorization from Marine Transport Logistics to be listed as the consignee. It is a question mark. Your Honor. Marine Transport Logistics has no real independent interest in this return shipment. It is only costing Marine Transport Logistics money so I don't know why the decision was made. That's a witness that maybe complainants have in their control but we don't really have a straight answer for you, Your Honor.

JUDGE GUTHRIDGE: Ms. Tarassova, I asked a couple of weeks ago for any documents relating to the transportation back to the United States anything issued by APL, anything issued by AEC Cargo Services, LLC. You did not have any so the complainants do not have any documents in their possession about how those boats got from wherever Middle East Asia kept them down to the wharf in

Dubai?

MS. TARASSOVA: Your Honor, the complainants do not have anything. That is their position. We asked for any documentation that they would have and our client basically stated that he does not have any documentation from that.

JUDGE GUTHRIDGE: Did you try to get them from APL or this other company, the forwarding agent? AEC Cargo Services.

MS. TARASSOVA: No, Your Honor. The client stated they did not have anything and I think at that point it was not going to make the deadline. Usually when you request documents like that it takes approximately 30 days so we did not request it, no.

JUDGE GUTHRIDGE: All right. Do you know how MTL got to be the consignee?

MS. TARASSOVA: It is my client's position that Mr. Solovyev who was acting on behalf of MTL throughout the course of their dealings arranged that. It is corroborated by the fact that MTL did not object to picking up the

boats once they arrived. They did not object to paying customs and taking custody or control over the boats and that is evident in the respondents' supplemental documents which they filed just a week ago or so. It looks like MTL not only acquiesced to being a consignee they also took responsibility for the cargo.

JUDGE GUTHRIDGE: Took responsibility at what point?

MS. TARASSOVA: When the boats arrived to the United States they paid customs fees for it and they produced documentation that showed that MTL -- if you look at RX 92 it looks like a copy of the check from Marine Transport Logistics --

JUDGE GUTHRIDGE: RX 92? Oh, that's one of the supplemental responses.

MS. TARASSOVA: Yes, Your Honor. And then I guess the check relates to RX 93 for an invoice to MTL from Fauna and Flora for duty customs, entry fee, bond preparation, et cetera which they paid on behalf of the complainants when they picked up the cargo which is the two boats in

1 question. So how they got to be the consignee it
2 is unclear. That is the question again for the
3 actual parties to answer but it certainly looks
4 like they did not have an objection to that and
5 picked up the boat.

6 JUDGE GUTHRIDGE: Do you have any
7 evidence at all that MTL assumed responsibility
8 for the transportation of the boats from Dubai to
9 the United States?

10 MS. TARASSOVA: Other than Mr. Solovyev
11 asking MTL and arranging and it is our position
12 that Mr. Solovyev helped arrange the shipment from
13 Dubai to the United States and it was under Mr.
14 Solovyev's instruction that MTL was listed as
15 consignee. Do we have something in writing that
16 says MTL assumes responsibility? I do not believe
17 but I think it can be reasonably inferred. Not
18 only is their name on the bill of lading they also
19 confirmed their responsibility by paying money and
20 picking up the boat.

21 JUDGE GUTHRIDGE: That is a different
22 function it seems to me. That's not the

1 transportation of the cargo. As a consignee
2 identified on a bill of lading of cargo that's
3 coming from a former customer -- it comes in, why
4 they paid it I don't know. But does that mean they
5 assumed responsibility for the transportation of
6 the cargo from Dubai to the United States?

7 MS. TARASSOVA: We would argue that they
8 did assume it.

9 JUDGE GUTHRIDGE: How? Just because the
10 cargo came in to the United States and they paid
11 the customs fees?

12 MS. TARASSOVA: Yes, Your Honor, in
13 their course of dealings they took care of all the
14 complainant's shipping needs. Mr. Solovyev
15 arranged -- as we can see through the emails that
16 we do have Mr. Solovyev attempted to arrange at
17 least with another company not the company they
18 ended up using we don't have anything on that, but
19 it is clear that Mr. Solovyev was involved in it
20 on behalf of MTL in trying to arrange the
21 shipment.

22 JUDGE GUTHRIDGE: All we have in the

1 record is that Mr. Solovyev was contacted and made
2 some inquiries and passed the results of those
3 inquiries back to Middle East in Dubai but then
4 Middle East selected another carrier to actually
5 transport the cargo from Dubai to the United
6 States. That's the evidence that is in the
7 record. Yes, there are those inferences that
8 could be made but based on what?

9 MS. TARASSOVA: Based on their course of
10 dealing and based on what Mr. Safonov testified to
11 in his deposition, basically they relied on Mr.
12 Solovyev to handle the international shipping.
13 This is why they were dealing with him in the
14 first place is because he --

15 JUDGE GUTHRIDGE: Well, they did on the
16 transportation very clearly and that's why I think
17 I mean I asked the reason with inference I would
18 make on the other boats that were in the
19 containers with the two boats that went to Dubai
20 that, yes, MTL was handling the transportation
21 from the United States to Dubai. It clearly was a
22 course of conduct but this was the only one

1 shipment that came from Dubai back to the United
2 States. Whether that course of conduct on
3 transporting US to Dubai means they assumed
4 based on the fact that they were named as the
5 consignee means they assumed responsibility of the
6 transportation of the cargo. Because if they did
7 not assume responsibility for the transportation
8 of the cargo from Dubai to the United States how
9 could they have violated the Shipping Act?

10 MS. TARASSOVA: And it is our position
11 that they did assume responsibility of the cargo.

12 JUDGE GUTHRIDGE: And that's why I want
13 to clarify. Based on what? Based on the evidence
14 in the record and could you summarize it again for
15 me?

16 MS. TARASSOVA: Yes, Your Honor. Based
17 on the testimony of Mr. Safonov who stated that he
18 was dealing with Mr. Solovyev throughout all of
19 the transactions both the shipment from the United
20 States and then from Dubai back to the United
21 States. Also we do have emails where Mr. Solovyev
22 actually attempts to set it up with other

1 companies even though we don't have emails where
 2 he actually set it up with APL. It does show that
 3 Mr. Solovyev was involved in trying to arrange the
 4 shipment from Dubai to the United States. In
 5 addition to that, MTL was listed on the bill of
 6 lading as the consignee and ended up picking up
 7 the boats. So in totality it seems that MTL knew
 8 about the shipment that was coming from Dubai. It
 9 is our position that they are the ones that made
 10 it happen and figured out who would ship it and
 11 had contact in Dubai to make it happen and then
 12 ultimately took control and possession of the
 13 cargo when it arrived, paying for it. I don't see
 14 why they would pay the customs fee, et cetera if
 15 they had nothing to do with it and they were taken
 16 by surprise that they were listed on the bill of
 17 lading as consignee. The totality of the evidence
 18 shows that MTL was well aware of the fact that the
 19 boats were coming and Mr. Safonov's testimony is
 20 that Mr. Solovyev assisted them with all their
 21 international shipping needs.

22 JUDGE GUTHRIDGE: Mr. Chang, do you have

1 a response to that?

2 MR. CHANG: Yes, Judge. I think a lot
 3 of this is conjecture but it is also based on the
 4 recent self-serving certification that was
 5 submitted by Mr. Safonov which itself is at odds
 6 with the email correspondence and documents in the
 7 record. Just to take one example, in paragraph
 8 three of Mr. Safonov's certification he said he
 9 told his assistant to arrange delivery of the
 10 boats. Not that he spoke with Mr. Solovyev but
 11 he was speaking with his assistant. Paragraph
 12 four then goes on to say that Mr. Safonov's
 13 assistant found two companies that could deliver
 14 the boats for \$4000.00 but then he received a
 15 better offer from Mr. Solovyev for \$1500.00.
 16 Again, that isn't reflected in any of the
 17 correspondence and in fact in the final bill of
 18 lading issued by American President Lines ocean
 19 freight is in the amount of \$3000.00 plus not
 20 \$1500.00. So the certification isn't supported by
 21 email correspondence that was produced by
 22 complainants. This argument that a consignee

1 somehow assumes carrier responsibility, as Your
 2 Honor has pointed out, is not correct under the
 3 Shipping Act. More importantly, MTL through its
 4 president Ms. Alla Solovyeva was deposed about
 5 this issue and she said that it happens frequently
 6 that customers will return shipments and they will
 7 designate MTL as the consignee and MTL will pay
 8 the customs fees because they have to clear the
 9 container from the port. They can't have
 10 responsibility if the container is sitting there.
 11 I don't agree that an inference can be drawn just
 12 because a consignee accepts a shipment they are
 13 somehow simultaneously or retroactively accepting
 14 a responsibility for the ocean carriage as well.

15 JUDGE GUTHRIDGE: Let me ask you this,
 16 Mr. Chang, and maybe would a consignee in that
 17 situation be potentially liable for any demurrage
 18 that builds up on the container if they do not
 19 pick it up?

20 MR. CHANG: I think there is actually
 21 some conflicting case law on that but I believe
 22 that a consignee could be liable for demurrage if

1 a container remains at the port unclaimed. Under
 2 the bill of lading depending on the carrier the
 3 carrier can proceed against pretty much anyone
 4 listed on the bill of lading for outstanding
 5 freight or outstanding charges or demurrage. Not
 6 having the American President Line bill of lading
 7 in front of me it is certainly a possibility that
 8 MTL is very cognizant of it which helps motivate
 9 their acceptance of a container but only as a
 10 consignee.

11 JUDGE GUTHRIDGE: Ms. Tarasova, do you
 12 have any response to that? Could MTL as a
 13 consignee be liable for demurrage if they failed
 14 to pick it up?

15 MS. TARASSOVA: I don't think that is an
 16 unreasonable assumption to make but I mean at the
 17 same time if MTL -- MTL cannot be said to not have
 18 known about the shipment coming towards it and
 19 that is the main point. The respondents were very
 20 well aware that the two boats were coming to the
 21 United States and not only to the United States
 22 but it was expected that MTL would pick them up.

1 This did not come as a surprise I understand
2 that the respondents' position is that they did
3 not realize that they were listed as the consignee
4 until the boats arrived but our position is very
5 different. Our position is that they are the ones
6 that made that happen and very well knew and were
7 on notice and expected the cargo to arrive and
8 were not taken by surprise when they had to pay
9 for the fees. That's where our positions differ

10 JUDGE GUTHRIDGE: Even if it is assumed
11 that they did know that the boats were coming
12 back, that MTL knew that the boats were coming
13 back, does the fact that they knew the boats were
14 coming back mean that they assumed responsibility
15 for the transportation of the boats from Dubai to
16 the United States?

17 MS TARASSOVA: We would say yes because
18 they arranged the transportation

19 JUDGE GUTHRIDGE: What demonstrates that
20 they arranged the transportation? All we have is
21 an email from Solovyev to somebody whose name
22 starts with a Z, whose name I'm not remembering

1 right now, saying what quotes do you have, what
2 quotes can you give me and you've got two quotes
3 and yet Middle East Asia used another carrier.

4 MS TARASSOVA: Your Honor, in addition
5 to that we have certification from Mr. Safonov and
6 the Court can take evidentiary statements have an
7 evidentiary hearing and ask Mr. Safonov these
8 exact questions and take his testimony under oath
9 in regards to that. We do not have anything else
10 in writing other than that

11 JUDGE GUTHRIDGE: The time to present
12 your evidence was a couple of months ago. I asked
13 for a couple of other things that you said you do
14 not have at this point that might shed some light
15 on this referring to the documents that were
16 actually created in Dubai. As I understand it
17 before the container was even loaded on board the
18 vessel there had to be documentation sent to U.S.
19 Customs about what was actually going to be loaded
20 on the vessel before it is put out. Am I correct
21 about that you three lawyers? Does anyone know
22 anything different from that?

1 MR. CHANG: Yes, Judge. You're correct.
2 There is a 48-hour rule.

3 MR. VENGROW: For the last port of
4 loading going to the United States you've got to
5 advise Customs what the --

6 MR. CHANG: Within 48 hours from the
7 last non-U.S. Port import shipments have to be
8 reported to U.S. Customs. It is usually done
9 through the AES system. That is an automated
10 electronic system for filing of such documents
11 with Customs

12 JUDGE GUTHRIDGE: That would be for the
13 last port of loading and we don't know what the
14 last port of loading may have been necessarily.
15 It might be on the -- probably wouldn't be on the
16 APL bill of lading. Would copies of all those
17 documents, Mr. Chang or Ms. Tarassova, would
18 copies of all those documents that would be
19 created in either Dubai or some other port go to
20 the shipper?

21 MR. CHANG: Judge, we're a little
22 unclear on your question. Some of these documents

1 would originate from the shipper in Dubai because
2 if they would have been delivered to American
3 President Lines in Dubai, but if Your Honor's
4 question is who gets copies of the U.S. Customs
5 filings I don't know that it would go to the
6 shipper or anyone. It would be between the ocean
7 carrier and customs, I believe.

8 JUDGE GUTHRIDGE: I see. Would the
9 original documents be created by the shipper? The
10 original Customs' documents?

11 MR. CHANG: They certainly should be,
12 Judge, or the party who books to ship with the
13 carrier. In this case the shipper on the APL bill
14 of lading is Middle East Asia. So we see the
15 forwarding agent by the name of AEC Cargo Services
16 was somehow involved in this transaction as well

17 JUDGE GUTHRIDGE: Okay. The forwarding
18 agent -- in the normal course of business does a
19 forwarding agent -- and I don't know that you know
20 anything about Dubai shipments but just as a
21 general matter anywhere in the world, does a
22 forwarding agent who creates documents for a

1 shipper generally give copies of the documents to
2 the shipper?

3 MR. CHANG: Judge, that would be my
4 assumption. If the documents didn't come from the
5 shipper itself at some point the shipper should
6 have a copy of all the documents that were
7 submitted.

8 MS. TARASSOVA: And, Your Honor, just
9 for the record I mean just as MTL is stating that
10 they were not in control of being identified as
11 the consignee it is very plausible that Middle
12 East Asia was also put on there as the shipper by
13 the person that was assisting in doing this. It
14 is our position that Mr. Solovyev was the one
15 helping the complainants in getting the shipment
16 over from Dubai to the United States and therefore
17 it is unclear whether even if there were copies
18 that would naturally go to the shipper if they
19 actually went to Middle East Asia. That is
20 unknown and all of these documents could be in
21 possession of Mr. Solovyev.

22 MR. CHANG: Again, I can't speak for

1 Dubai procedures but what complainants' council
2 just posited certainly wouldn't fly for U.S.
3 exports shipments. A shipper is required to
4 submit certain documents. They have to be
5 identified as a shipper. These documents that go
6 through customs that go to the carrier. The
7 shipper has to sign off and be named as the
8 principle party of interest among other things.
9 They have to provide proof of ownership. It is
10 not simply the case that -- at least we've never
11 heard of a situation where a shipper was put on a
12 bill of lading for his own shipment without his
13 knowledge. That just doesn't seem to comport with
14 common sense, Your Honor.

15 JUDGE GUTHRIDGE: Yes, and I would
16 think, and Ms. Tarassova correct me if I'm wrong,
17 but didn't Middle East Asia have possession of the
18 boats in Dubai?

19 MS. TARASSOVA: Right, they did.

20 JUDGE GUTHRIDGE: And at some point
21 Middle East Asia gave up possession to the boats
22 to a carrier, correct?

1 MS. TARASSOVA: Yes.

2 JUDGE GUTHRIDGE: But you're telling me
3 that the complainants have no documents that
4 reflect that transfer which seems unlikely to me
5 but may very well be that they said we don't need
6 any documents just take the boats and get them to
7 the United States. That doesn't sound -- it
8 sounds to me like the complainant would certainly
9 have the burden of producing those documents.

10 MS. TARASSOVA: I understand that, Your
11 Honor.

12 JUDGE GUTHRIDGE: That could answer a
13 lot of questions. Well, I've heard your argument
14 on why you think MTL assumed responsibility for
15 transporting the boats from Dubai to the United
16 States. Where is the Shipping Act violation then?
17 Where do you contend the failure to comply with
18 41102(c) occurred?

19 MS. TARASSOVA: It occurred at the time
20 that MTL took possession of the cargo and
21 (inaudible) with Mr. Solovyev by producing bogus
22 invoices for storage.

1 JUDGE GUTHRIDGE: Wait what do you mean
2 by bogus invoices?

3 MS. TARASSOVA: Invoices for storage
4 that were never agreed to. What happened was
5 timeline-wise by the time that these two boats
6 arrived back in the United States respondents also
7 had possession of the larger boat that never left
8 the United States. It was originally going to go
9 to Dubai and then it continued to be in possession
10 of the respondents. So what happened was when the
11 invoice came out for storage for \$39,000.00 that
12 was an invoice for the storage of the larger boat,
13 the Formula. That apparently had been in their
14 possession for a year at that point. So they did
15 not release the smaller boats that had just
16 arrived back in the United States and come into
17 control and custody or possession of the
18 respondents because of the owed storage fees for
19 the larger boat. But as time went on it seemed
20 that the two smaller boats also accumulated
21 storage fees that were never --

22 JUDGE GUTHRIDGE: Okay. Let me clarify.

1 something there for me. The boats arrived back in
2 the United States. The 2011 Monterey and the 2008
3 Chaparral arrived in the United States?

4 MS. TARASSOVA: Yes.

5 JUDGE GUTHRIDGE: What notice did the
6 complainants have of that arrival?

7 MS. TARASSOVA: Your Honor, they did not
8 have notice of their arrival. What happened was
9 Mr. Safonov attempted to contact Mr. Solovyev
10 multiple times and I think at some point there
11 maybe was a phone call if I recall from Mr.
12 Safonov's deposition where Mr. Solovyev had said
13 that the boats had arrived in I believe July 2014,
14 and when Mr. Safonov had requested that the boats
15 be released Mr. Solovyev stopped communicating
16 with him. By August 2014 when the complainants
17 sent a demand to get all three boats back that is
18 when the invoice was issued. So as far as an
19 official notice that, hey, your boats are here
20 there was none of that. It was Mr. Safonov
21 contacting and trying to get in contact with Mr.
22 Solovyev and then finally Mr. Solovyev letting him

1 know, I believe over the phone, that the boats had
2 arrived. And after that there was no more
3 communication until the invoice was issued for
4 storage.

5 JUDGE GUTHRIDGE: Okay. So what again
6 is your contention that would be the alleged
7 violation of 41102 C?

8 MS. TARASSOVA: MTL is alleging that
9 they gave the boats to Solovyev's other company,
10 World Express and Connection. So MTL failed to
11 number one give notice to the complainants' --
12 give official notice that the boats are ready to
13 be picked up, and number two instead of giving the
14 boats back to the complainants' they gave it to
15 World Express and Connection. And then MTL in
16 addition to that allegedly issued what looked like
17 paid invoices or receipts so they had been paying
18 World Express and Connection for the storage fees
19 which we believe are fraudulent, they are not
20 accurate. I don't think there is any evidence
21 that Marine Transport and Logistic was able to
22 produce that shows that they actually paid World

1 Express and Connection for anything in relation to
2 those boats. But we do have receipts that show
3 that they did. So basically Marine Transport and
4 Logistic failed to give notice and release the
5 boats to their rightful owner.

6 JUDGE GUTHRIDGE: Okay. But in so far
7 as it being a Shipping Act violation that is all
8 dependent at the very least on a finding that MTL
9 had assumed responsibility of the transportation
10 of the boats from Dubai to the United States,
11 isn't that correct? I'm not saying there might
12 not be other claims in other forms by complainants
13 against MTL, World Express and everybody else that
14 we've talked about today. But in so far as being
15 a Shipping Act violation which is what this
16 Commission has jurisdiction over, if MTL did not
17 assume responsibility for the transportation of
18 the cargo what jurisdiction does the Commission
19 have over the claim?

20 MS. TARASSOVA: In addition to assuming
21 responsibility the only reason that MTL came into
22 custody, control and possession of the property is

1 because they were an NOVCC. This is the only
2 reason why the complainants entrusted the property
3 is in connection with international shipping.
4 They would have no other reason to have control or
5 possession or custody over the complainants' cargo
6 if they were not assisting in the international
7 shipping of these goods. And they had a duty in
8 not only properly shipping them but also
9 safe-keeping them and storing them.

10 JUDGE GUTHRIDGE: But if they did not
11 assume responsibility for the transportation of
12 the goods then they were not acting as a
13 non-vessel operating common carrier, as an ocean
14 transportation intermediary, on the transportation
15 of that cargo. So they received it in some other
16 function it seems to me. Again, it is depending
17 on a finding on whether the evidence in the record
18 -- whether it is established by a preponderance of
19 the evidence that MTL assumed responsibility of
20 the transportation from Dubai to the United
21 States. Just because their license is an NOVCC I
22 don't believe just because they have possession of

1 some cargo that came from overseas if they did not
2 transport it. If they did not assume
3 responsibility for the transportation of that then
4 they're holding it in some other function where it
5 may be the Federal Maritime Commission doesn't
6 have jurisdiction.

7 MS. TARASSOVA: I understand, Your
8 Honor.

9 JUDGE GUTHRIDGE: It is a knotty
10 question and I acknowledge that. But harking back
11 to something I said quite a while ago there seems
12 to be a lot of casualness about everything that
13 went on in this relationship and as long as
14 everything went right it was okay but when it goes
15 wrong then somebody has to figure out whether
16 there has been a violation in this case of the
17 Shipping Act and if so in this case who is
18 responsible. You said something about
19 conversations between Safonov and Solovyev about
20 the boats. Is there any documentary evidence in
21 the record about the complainants demanding
22 delivery of the 2011 Monterey and the 2008

1 Chaparral when they arrived back in the United
2 States?

3 MS. TARASSOVA: Yes, I believe that is
4 covered in the emails that went back and forth let
5 me look. There were several emails that went back
6 and forth and Mr. the eventually Mr. Solovyev
7 stopped responding to the emails.

8 JUDGE GUTHRIDGE: Where in the record?

9 MS. TARASSOVA: So the emails begin at
10 CX 19 and goes through to the end where he finally
11 --

12 JUDGE GUTHRIDGE: Are these ones you
13 submitted English translations?

14 MS. TARASSOVA: (Inaudible) Your Honor

15 COURT REPORTER: I'm sorry, what was
16 your response, Counsel?

17 JUDGE GUTHRIDGE: There was a
18 supplemental filing of a whole bunch of pages,
19 Complainants' appendix starting at 019 going
20 through I think it is every page up to 110. And
21 19 is the one she just referred to and there is an
22 English translation.

1 MR. CHANG: If I could just interject
2 briefly. Maybe for the court reporter's benefit
3 when Ms. Tarassova was responding to the question
4 posed by Your Honor of whether or not English
5 translations were provided her microphone cut out
6 so her response wasn't actually heard from our end
7 and I assume for the court reporter's end either

8 COURT REPORTER: Thank you, Counsel.

9 MS. TARASSOVA: The emails being at CX
10 19. It is series of emails from Mr. Safonov to Mr.
11 Solovyev just between the two of them. Your
12 Honor, I believe the question was is there
13 anything in writing where Mr. Safonov demands that
14 the boats are returned to him, is that the
15 question?

16 JUDGE GUTHRIDGE: Yes.

17 MS. TARASSOVA: So it is quite lengthy.
18 There are a few emails where it is clear that Mr.
19 Safonov starts panicking that Mr. Solovyev is not
20 responding and he does go on and ask -- and I just
21 want to see where they start because there is a
22 bunch of them.

1 JUDGE GUTHRIDGE: You started at 19 and
2 going for the next several pages?

3 MS. TARASSOVA: It is going to 19 all
4 the way through CX 111. The official --

5 JUDGE GUTHRIDGE: Those are not all
6 emails, I know I've been through that. There are
7 a lot of other things in there that are not
8 emails. I'm talking about the demand for the
9 Monterey and the Chaparral after they got back to
10 the United States.

11 MS. TARASSOVA: Yes, Your Honor. The
12 reason why they're not all emails is because it is
13 actually emails and attachments to the emails.
14 They are in order of the email and whatever the
15 attachment of the email was that is the document
16 that goes after the individual emails.

17 JUDGE GUTHRIDGE: Is that why there are
18 several copies of the same invoices and
19 everything?

20 MS. TARASSOVA: Yes, Your Honor. They
21 are actually the attachments that would have been
22 attached to each particular email. Because they

1 were going back and forth and attaching various
 2 invoices and attaching various certificates of
 3 title and photographs. Finally, if we look at CX
 4 74 that is where Crocus actually demands the boats
 5 and it is in Russian at the top and then in
 6 English at the bottom. That is an attachment that
 7 would have been attached to CX 73. It is an email
 8 that is the subject of Crocus Investments'
 9 notification to Alek Solovyev. It is dated August
 10 13, 2014. And then if you flip to CX 74 that was
 11 the attachment that was in the email which is the
 12 demand and then if you look on the bottom that is
 13 in English. Basically Crocus wrote it in Russian
 14 and in English and it says Aleksandr Solovyev
 15 required urgently send me you bought three boats
 16 Chaparral, Monterey, Formula by address or return
 17 the money for these boats in the amount of
 18 \$150,000.00. I regard your silence as unlawful
 19 withholding of my property and quality as fraud
 20 signed Aleksandr Safonov. Then there was another
 21 email on CX 75 that was sent on August 13, 2014 --

22 JUDGE GUTHRIDGE: That was the date the

1 other one was, right?

2 MS. TARASSOVA: On CX 73 it was August
 3 13 at 4:44 and CX 75 is August 13 at 4:30.

4 JUDGE GUTHRIDGE: So it is two emails 14
 5 minutes apart with the same letter attached?

6 MS. TARASSOVA: It seems so. And then
 7 it says subject line CX 75 is notification and
 8 then CX 76 would have been the attachment to that
 9 email that basically says pretty much the same
 10 thing again. Then there is an email CX 77 dated
 11 August 19, 2014 where -- Crocus Investments'
 12 notification is the subject line. It says
 13 Aleksandr Solovyev -- there is English translation
 14 that's what I'm reading. I'm attaching copies of
 15 the documents for the boats that were shipped from
 16 Dubai by Middle East Asia Alpha to your company
 17 MTL based on the agreement between partners
 18 Bartov, Oleg and Safonov, Aleksandr. I have the
 19 last say in this company in case of not meeting of
 20 lawful demands I will be forced to go through the
 21 legal system in the USA. And then he attaches the
 22 certificate of title for the boats.

1 JUDGE GUTHRIDGE: I'm looking at your
 2 translation that you just read. I am attaching
 3 copies of the documents for the boats that were
 4 shipped from Dubai by Middle East Asia to your
 5 company MTL. It doesn't say anything there at
 6 least in this email on August 19, 2014 that Mr.
 7 Safonov was thinking in terms of MTL transport.
 8 This indicates that MTL was the recipient shipped
 9 by Middle East Asia by Mr. Safonov's company to
 10 MTL. Is the only document the certificate of
 11 title?

12 MS. TARASSOVA: That he attached to the
 13 email?

14 JUDGE GUTHRIDGE: The email refers to
 15 documents for the boats that were shipped from
 16 Dubai to Middle East Asia but the only documents I
 17 see attached are the certificates of title.

18 MS. TARASSOVA: Your Honor, I guess
 19 that's all he knew to attach. This is all he knew
 20 to write and to attach. I don't think we can look
 21 at this one email and say it should have had all
 22 the information in it. This is the only thing he

1 could think of and this man is obviously panicking
 2 that he's lost all contact with the respondents
 3 and they have his property. They've been in
 4 contact, good contact, throughout their
 5 transaction and that's supported by the emails
 6 prior starting at CX 19. Mr. Solovyev would
 7 always respond, so I think that we can't look at
 8 this email and say that Mr. Safonov knew the
 9 proper language to put in there but to answer your
 10 question he definitely gave notice and requested
 11 that his property be returned.

12 JUDGE GUTHRIDGE: But in so far as it
 13 being a Shipping -- let's assume that MTL had the
 14 boat which I think we know they did and maybe
 15 perhaps should have turned them over to Safonov
 16 I'm not sure where they would do that. I don't
 17 know if Mr. Safonov said I've got somebody coming
 18 around to pick them up or anything like that but
 19 let's assume that it may very well only be a
 20 Shipping Act violation if MTL transported the
 21 cargo. If they were the recipient of cargo and
 22 not involved in the transportation, then it

1 doesn't seem to me that the Shipping Act would
2 apply to them That's the problem I have to
3 answer.

4 MS TARASSOVA: It sounds like the
5 Court's issue is that there is not enough written
6 documentation on that issue and that is why I want
7 to suggest that Mr. Safonov is -- I want to
8 suggest that the Court inquire as to the relevant
9 information directly from Mr. Safonov in and
10 evidentiary hearing.

11 JUDGE GUTHRIDGE He put that in his
12 declaration. That came in and unless his
13 testimony is going to differ from his declaration
14 which in and of itself might be a problem then
15 what other evidence would he submit?

16 MS TARASSOVA. Well, I guess it would
17 be more in detail and the Court would be able to
18 ask him supplemental questions about how they
19 arranged the shipment and what MTL's involvement
20 is. The certification has general statements but
21 I don't know if it would assist the Court in
22 making this decision by asking specific questions

1 in regard to the arrangements and how it was done
2 because we do not have documentation. The reason
3 we don't have documentation is maybe the
4 complainants', like you said, did not think it was
5 important enough to keep everything organized and
6 keep a record of everything. It seems they did
7 throw these transactions together haphazardly but
8 at this point the complainants are alleging that
9 MTL and Solovyev were the ones that arranged the
10 shipment and they were responsible for everything.
11 Other than their testimony they don't have
12 documentation but they do have other
13 circumstantial evidence such as emails where Mr
14 Solovyev knew that the boats were being shipped
15 from Dubai and even though the emails are to other
16 entities that were not involved it still shows
17 that Mr. Solovyev knew He was in his signature
18 block the way he held himself out is some kind of
19 an extension of MTL. He was an agent for MTL in
20 his signature block in the email block so I think
21 circumstantial evidence does show that it is more
22 likely than not that MTL was aware of this

1 shipment and assisted the complainants with it
2 JUDGE GUTHRIDGE What other evidence
3 would you anticipate presenting? I would have
4 assumed after I sent out the inquiry for wanting
5 the documents and you responded with Mr. Safonov's
6 statement that he would have put absolutely every
7 bit of information he had about this transaction
8 in there and would have put absolutely all the
9 emails that he had regarding the transportation
10 from Dubai back to the United States in the
11 original appendix That's where the documents,
12 the emails you just referred to about the alleged
13 arrangement by MTL or involvement in the
14 arrangement of that shipping by MTL, are
15 contained The burden of proof is on the
16 complainant here What other evidence would you
17 be telling me? If it is just Mr. Safonov coming
18 in and saying I really think this is the way it
19 happened with no evidence that really doesn't get
20 you very far.

21 MS TARASSOVA I'm referring to
22 specific detailed questions that he may be able to

1 answer better. I understand that he filed a
2 certification and it is accurate and it is sworn
3 so I'm just saying if the Court has additional
4 questions or details that it may need to consider
5 in regards to how this transaction was arranged he
6 would be able to better answer that. I don't know
7 what would help the Court My issue is that even
8 though he does not have or they do not have
9 documentation they can explain how it happened and
10 the Court can take into consideration everything,
11 the totality of the circumstances. If the Court
12 does not feel that additional information is
13 required from the complainants as far as testimony
14 is concerned, then I would just stand by what I
15 said originally which is if you look at everything
16 that we have so far it does indicate that MTL and
17 Mr. Solovyev were involved in this transportation
18 from Dubai to New Jersey.

19 JUDGE GUTHRIDGE: Okay We haven't
20 talked much yet about the Formula So let's talk
21 about the Formula boat. That was purchased on
22 August 7 it indicates at Complainants' Appendix

1 118 and purchase price and an extra \$3,500.00 is
2 listed at complainant's appendix 009 for delivery.
3 What was that delivery for, Ms. Tarassova?

4 MS. TARASSOVA: Your Honor, it is
5 unclear what that delivery is for because it does
6 not specifically state it in the invoice. I
7 understand that it is the respondents' position
8 that it was some kind of inland delivery from the
9 auto auction to MTL's warehouse. It is my
10 client's position that they understood that it was
11 for delivery to Dubai. But it is unclear as to
12 what specifically they meant by delivery. My
13 clients' know that they paid the invoice for the
14 cost of the boat and the cost of delivery. It
15 seems that the parties are not in agreement on
16 what --

17 JUDGE GUTHRIDGE: Mr. Chang, what is
18 your position on that?

19 MR. CHANG: Judge, if I could just have
20 two minutes I'm reading through Complainants'
21 Finding of Fact because I think this may have been
22 addressed there. As far as the respondents'

1 position is that was just for the inland movement
2 and delivery. There is another invoice actually
3 in the Complainants' Appendix where the cost for
4 freight is separately set out.

5 JUDGE GUTHRIDGE: The \$12,000.00?

6 MR. CHANG: Correct, and that
7 specifically identifies the loading and shipping
8 through Dubai. That is CX 031, I believe. So to
9 the extent there is some confusion about what
10 delivery means I think the presence of this
11 additional \$12,000.00 charge indicates that -- it
12 does not mean the ocean carrier to Dubai.

13 JUDGE GUTHRIDGE: I see on page 31 a
14 receipt -- an invoice 1189 AT dated August 7,
15 2013. Boat cost \$56,380.00 delivery \$3,500.00
16 then loading shipping to Dubai \$12,000.00 and a
17 \$500.00 commission, \$500.00 documentation and
18 \$4,500.00 for the trailer. Do you see that, Ms.
19 Tarassova?

20 MS. TARASSOVA: Can you please cite the
21 page number again?

22 JUDGE GUTHRIDGE: Complainants' Exhibit

1 31

2 MR. CHANG: Your Honor, there is also --
3 sorry go ahead, Ms. Tarassova.

4 MS. TARASSOVA: Yes, Your Honor, this is
5 one of a number of invoices that went back and
6 forth between Mr. Solovycv and Mr. Safunov. I
7 believe that then there is another invoice that
8 they actually paid. There are multiple invoices
9 that were attached to these emails that were going
10 back and forth and I believe that they were trying
11 to decide what the price was, et cetera. All I
12 know is that the complainants paid \$59,000.00 they
13 did not pay the 77 to 80 as this invoice.

14 JUDGE GUTHRIDGE: Okay.

15 MR. CHANG: Your Honor, there is also
16 Complainants' Exhibit 28 which is dated December
17 3, 2013 and that is a separate invoice that was
18 issued just reflecting the same amount of the
19 loading and shipping of \$12,000.00 plus commission
20 and documentation. I think the presence of this
21 latter invoice certainly supports the fact that
22 the \$12,000.00 is for loading and shipping in

1 ocean carriers to Dubai. On that note it was a
2 very large boat that had to be loaded on deck. It
3 required special equipment so the \$12,000.00
4 shipping is not atypical.

5 JUDGE GUTHRIDGE: Were the other two
6 loaded into containers?

7 MR. CHANG: That's correct, Your Honor.

8 JUDGE GUTHRIDGE: Let me tell you the
9 real problem -- the ultimate problem I have with
10 the Formula and Commission jurisdiction. That is
11 that the Formula never left the United States. It
12 was never involved in ocean transportation by
13 water from the United States to a foreign port.
14 It was transported from I think from something
15 about Brookhaven, New York to where, Brooklyn?

16 MR. CHANG: To the Port of New Jersey.

17 JUDGE GUTHRIDGE: And it never left the
18 country. So, Ms. Tarassova, I don't know what
19 gives the Commission jurisdiction to do anything
20 about the Formula.

21 MS. TARASSOVA: Your Honor, the idea was
22 for MTL to ship the boat to Dubai and that is the

1 reason why the respondents had the boat in the
2 first place. It is important to understand that
3 the reason that the complainants' -- Mr. Solovyev
4 is because of his representation of his -- mainly
5 because he was able to ship goods internationally.
6 It was initially -- and there is emails that state
7 that basically the boat was supposed to go to
8 Dubai and it was contemplated that it would go to
9 Dubai and therefore it is our position that the
10 respondents had possession, custody or control
11 over the property because it was going to be
12 shipped internationally. It never happened but
13 that was the intent and that is how the
14 respondents came into possession of it.

15 JUDGE GUTHRIDGE: Did the complainants
16 ever pay the \$12,000.00 payment for shipping to
17 Dubai? The loading, shipping to Dubai, and
18 \$500.00 commission, \$500.00 documentation?

19 MS. TARASSOVA: Are you talking about
20 did the complainants pay for the invoice?

21 JUDGE GUTHRIDGE: Did the complaints pay
22 to ship the Formula to Dubai?

1 MS. TARASSOVA: We know that they paid
2 for a delivery. It is unclear what delivery they
3 paid for. It seems that there are additional
4 invoices that state that the actual delivery to
5 Dubai is higher. It is unclear as far as whatever
6 happened to those invoices because Mr. Solovyev
7 and MTL never pursued those invoices. What we
8 have here is one invoice with the delivery fee is
9 paid and the other one there are multiple invoices
10 and different variations for different deliveries
11 that were not paid, Your Honor.

12 JUDGE GUTHRIDGE: Do you have any
13 evidence, Ms. Tarassova, that \$3500.00 was for
14 delivery to Dubai or anywhere other than delivery
15 to Port of New Jersey?

16 MR. CHANG: That's correct, Judge.

17 MS. TARASSOVA: No, Your Honor, I do
18 not.

19 JUDGE GUTHRIDGE: Okay. Then I know
20 there is deposition testimony from Mr. Safonov
21 that he began to suspect that Tretyakov, the
22 Middle East Asia employee in Dubai, and I have it.

1 down here as a quote "started to become a crook."
2 That is at Respondent's Appendix 72, it is the
3 deposition of Safonov page 65 lines 3 to 6
4 Safonov decided he did not want to ship the
5 Formula to Dubai and consequently the Formula
6 never left the United States. Apparently, Ms.
7 Tarassova, the complainants never paid to have it
8 shipped overseas. So I'm not sure where the
9 Commission has any jurisdiction at all. I'm not
10 saying that they're not claims that the
11 complainants have against the respondents, but I'm
12 just not sure that those claims are properly in
13 the Federal Maritime Commission.

14 MS. TARASSOVA: Your Honor, I think
15 where jurisdiction stems is the respondents were
16 engaged in starting in the shipment of the
17 international. That it was later canceled I don't
18 think matters because the respondents came into
19 possession of the boats because they were going to
20 ship the boats internationally. So the problem is
21 when cargo goes into possession, control or
22 custody of an NVOCC in relation to international

1 shipment and then, for example, that shipment gets
2 canceled the NVOCC cannot have unjust practices
3 where they're just giving up the property to
4 somebody else. They still have responsibility to
5 return it to its rightful owner.

6 JUDGE GUTHRIDGE: Are you talking about
7 the Formula?

8 MS. TARASSOVA: I'm talking about the
9 Formula. They have a responsibility that even if
10 the shipment is canceled to properly give the
11 property back or notify the rightful owners. They
12 just can't give it to another company as MTL did,
13 they allegedly submitted it to World Express and
14 Connection, and then submitted invoices that
15 supported the fact that MTL paid for storage when
16 it is our position that they never did. But where
17 they violate the Shipping Act is when they were
18 engaged in the international shipment and then at
19 some point was canceled but they still owed a
20 duty.

21 JUDGE GUTHRIDGE: Let me ask you this
22 The boats got to MTL, or World Express -- I mean I

1 think I recall from the record that MTL does not
2 have a storage facility of its own, is that
3 correct, Mr. Chang?

4 MR. CHANG: That is correct, Judge.

5 JUDGE GUTHRIDGE: And they use World
6 Express because it does have a cargo storage area.
7 I think there is evidence in the record about
8 that.

9 MR. CHANG: Correct.

10 MS. TARASSOVA: And, Your Honor, it is
11 our contention that that is simply a way for Mr.
12 Solovyev to protect himself from any liability.
13 It should be noted that World Express and
14 Connection is located at the same address of MTL.
15 MTL is if you look at their public website
16 advertises and has photographs of storage units
17 and places where they store containers and things
18 like that. So even though that is their position
19 that they do not handle the storage portion of it,
20 it certainly was a surprise to the complainants to
21 find out that in fact a different entity
22 technically stores the goods.

1 JUDGE GUTHRIDGE: The Formula got to MTL
2 in August 2013, correct?

3 MS. TARASSOVA: Yes, Your Honor.

4 JUDGE GUTHRIDGE: And was it being
5 contemplated that the Formula would be sent to
6 Dubai, is that correct?

7 MS. TARASSOVA: Yes, Your Honor. It was
8 contemplated all the way through December when the
9 second invoice for the trailer --

10 JUDGE GUTHRIDGE: That was my attorney
11 advisor that left the conference. I'm sorry, say
12 that again.

13 MS. TARASSOVA: Yes, it was contemplated
14 that the Formula be shipped to Dubai by MTL all
15 the way from August through December because there
16 are emails going back and forth in regards to
17 purchasing a trailer in order to ship it RO-RO and
18 that was -- the complainants paid for the trailer
19 in December 2013. So for six months there was a
20 plan was to eventually ship it to Dubai.

21 JUDGE GUTHRIDGE: August to December
22 would be four months is that what you're saying?

1 MS. TARASSOVA: Yes, Your Honor.

2 JUDGE GUTHRIDGE: Okay. So for that
3 period of time what efforts did -- let me back up.
4 I saw reference in the exhibits to one that MTL or
5 Solovyev --

6 MS. DIKE: I'm sorry I got kicked out.
7 I apologize.

8 JUDGE GUTHRIDGE: She's back. That
9 somebody found a trailer in November that would
10 permit shipment RO-RO and that was rejected by
11 Safonov, is that correct?

12 MS. TARASSOVA: Yes, I believe that
13 Solovyev was looking for a trailer and sending
14 Safonov photographs of the trailer and then
15 Safonov was to decide whether the trailer would be
16 something that would work for him and for the boat
17 or not. So yes there was a rejection at some
18 point and then I believe they ended up finding a
19 trailer.

20 JUDGE GUTHRIDGE: Okay. And then in
21 December they found a trailer I think is when that
22 was, is that correct?

1 MS. TARASSOVA: Yes, Your Honor.

2 JUDGE GUTHRIDGE: And that is December
3 2013. And then when was it they decided not to
4 ship the Formula to Dubai?

5 MS. TARASSOVA: I believe there was an
6 email in February 2014 where Mr. Safonov says
7 something like -- I'm trying to identify where it
8 is but he said good thing we didn't get to ship it
9 to Dubai yet.

10 JUDGE GUTHRIDGE: I think there was
11 something in his deposition about that.

12 MS. TARASSOVA: I think so as well, yes.

13 JUDGE GUTHRIDGE: I'm not finding it in
14 my notes. It raises -- and this is how this might
15 play out. Let me ask you this, Ms. Tarassova, do
16 you think that the complainants did not owe
17 anything at all for storage for the Formula from
18 August to December or February whichever it is
19 that the final decision was made?

20 MS. TARASSOVA: Your Honor, logically
21 speaking I think that they would owe something
22 if you look at the background, and this is in the

1 beginning of our conversation, you asked why the
 2 other cars that Mr. Solovyev sent over to Dubai
 3 were relevant and that I say that it was for
 4 purposes of the background of their business
 5 relationship. I believe the reason why the
 6 respondents never issued any sort of invoices
 7 during the time the boat was going to be shipped
 8 to Dubai while they were looking for a trailer, et
 9 cetera, so basically from August 2013 through
 10 February 2014 is because they were also aware that
 11 the complainants were doing something in their
 12 benefit. So it just shows that obviously number
 13 one no invoices were issued, there was no demand
 14 for payment of storage, there was no agreement to
 15 pay storage, the only thing that we have is MTL's
 16 tariffs which are completely a different storage
 17 fee than what was charged. If you look at the
 18 number of communications between Mr. Solovyev and
 19 Safonov there was no mention of storage fees
 20 from August 2013 until August 2014. That is the
 21 big problem here is these storage fees are
 22 exorbitant and they came out of nowhere. It is

1 very interesting that MTL claimed to have paid
 2 World Express and Connection for storing the
 3 Formula for an entire year if MTL had been paying
 4 World Express and Connection for storage of the
 5 Formula for an entire year why were the
 6 complainants never notified?

7 JUDGE GUTHRIEDGE: Do you have a response
 8 to that, Mr. Chang?

9 MR. CHANG: Yes, Judge. I would just
 10 like to make a quick comment about the MTL tariff
 11 which was mentioned. MTL's tariff does have a
 12 storage rate but it for shipments that are booked
 13 for export with MTL and it is only for exports,
 14 and as Your Honor pointed out with regard to the
 15 Formula not only was no shipment ever booked, no
 16 booking instructions were ever made, no booking
 17 confirmation was ever generated and indeed no
 18 payment for the ocean freight was ever made. So
 19 it wasn't an export shipment it was a boat that
 20 was delivered to the Port of New Jersey. It
 21 seemed like Complainant, Mr. Safonov, was waffling
 22 a little bit on what to do with this boat for

1 several months.

2 JUDGE GUTHRIEDGE: Wait a minute let me
 3 interrupt you there for a minute, Mr. Chang. The
 4 tariff, and I've got it in front of me, it says
 5 except as otherwise provided herein carrier
 6 provides 30 calendar days' free storage prior for
 7 vehicles, trucks and boats received for U.S.
 8 export shipments at its CPS/CY does that mean
 9 container freight station? Container yard?

10 MR. CHANG: Yes.

11 JUDGE GUTHRIEDGE: As listed herein.
 12 Beyond 30-day storage charges per day apply as
 13 follows. Well when the boat went to MTL which as
 14 I understand that's where it went, is that
 15 correct? From Copart when it came in from Copart
 16 did it go to MTL?

17 MR. CHANG: It went to the World Express
 18 warehouse, Judge. They are both at the same lot.
 19 It is a lot that houses multiple companies. It is
 20 not just the two companies operating out of the
 21 same office. It is a suite of offices. I think
 22 with regard to your question about the tariff it

1 is referring to property that is received by MTL
 2 for U.S. export shipment. 30 days' free time
 3 contemplates cargo that is booked for shipment and
 4 I think the Formula boat would not be included.

5 JUDGE GUTHRIEDGE: Well, isn't it MTL
 6 that was -- Ms. Tarassova just said that MTL
 7 charged for storage at some point. Did MTL not
 8 issue any charges for storage?

9 MR. CHANG: It did not, Your Honor. Ms.
 10 Tarassova mentioned World Express invoiced MTL as
 11 part of their commercial relationship as they are
 12 two distinct companies. So World Express was
 13 invoicing MTL but MTL was not invoicing any third
 14 party.

15 JUDGE GUTHRIEDGE: Where is the paperwork
 16 in the record, Ms. Tarassova, about -- that sort
 17 of sets forth the chain of custody of the Formula
 18 from the time it left Copart to the time it got to
 19 where it is now?

20 MS. TARASSOVA: Your Honor, if we look
 21 at CX 261 and flip through it is a number of
 22 invoices from World Express and Connection to MTL

1 that are stamped as paid. This is something that
2 was produced by the respondents basically showing
3 that MTL had been paying World Express and
4 Connection for the storage of the Formula boat.
5 It looks like CX 261 is an invoice for February
6 14, 2014 in the amount of \$20,137.66 for 186 days
7 of storage.

8 JUDGE GUTHRIDGE: Good point, Mr. Chang.
9 If World Express was billing MTL for storage of
10 the Formula wouldn't that indicate when the
11 Formula got to the Port of New Jersey it was in
12 the custody of MTL as contemplating export?

13 MR. CHANG: Judge, I think as was
14 discussed earlier the practice between the parties
15 was for these boats to move overseas. The
16 specific Formula for whatever reason Mr. Safonov,
17 the complainant, elected to depart from the
18 standard practice. The boat was arranged for
19 delivery by Car Express through the warehouse.

20 JUDGE GUTHRIDGE: So for the first 30
21 days it was free or it should have been. It looks
22 here like on 261 like they actually charged for

1 the first 30 days

2 MR. CHANG: Had there been a booking for
3 export then there would have been 30 days' free
4 time as per the MTL tariff. So a shipment that
5 never gets booked for export there wouldn't be 30
6 days' free time because the free time is in
7 contemplation of the NVOCC earning on the ocean
8 freight. What seemed to happen in this case as a
9 result of commercial considerations overseas there
10 was never a need for an export and the
11 complainants were looking for free storage.

12 JUDGE GUTHRIDGE: So it is a question
13 then although it might have been in the
14 contemplation of everybody when the formula was
15 purchased and sent from Copart to the Port of New
16 Jersey why would you send it to a port if it was
17 not going to be shipped, if it wasn't contemplated
18 to be shipped. The fact that it never was means
19 it was not actually received for export and
20 subject to the tariff, is that what you're saying?

21 MR. CHANG: That's correct, Judge.
22 Without instructions to ship, without payment to

1 ship, without a booking ever being made I don't
2 know that MTL would be in any position to act as a
3 carrier.

4 JUDGE GUTHRIDGE: We still have the fact
5 that whatever its function on that boat, on the
6 Formula, it never was transported. It was never
7 transported by water from a port to a point in the
8 United States and a port or point in a foreign
9 country and so we get back to Commission
10 jurisdiction to do anything at all. Ms.
11 Tarassova?

12 MS. TARASSOVA: Yes?

13 JUDGE GUTHRIDGE: What are your thoughts
14 on that? The other thing would be that if it was
15 not received for shipment overseas it would not be
16 subject to the tariff and even if it was subject
17 to the tariff at some point when it was decided
18 that it was no longer contemplated that it would
19 be shipped overseas why would the tariff still
20 apply for dates after that?

21 MS. TARASSOVA: Your Honor, the
22 respondents had a duty in the proper receiving,

1 handling, storing and delivering property. It is
2 our position that they were engaged in shipping
3 the boat overseas. It is our position that it was
4 their own delay in shipping it. There was a
5 trailer issue as we mentioned that initially the
6 complainants paid for the trailer for it to be
7 shipped immediately. The respondents came back --

8 JUDGE GUTHRIDGE: Wait back up there.
9 Where does it indicate that the complainants paid
10 for the trailer for it to be shipped immediately?

11 MS. TARASSOVA: Your Honor, we submitted
12 a printout of the bank wire transfer the
13 complainants submitted as proof of payment of
14 \$5,000.00 for which the complainants --

15 JUDGE GUTHRIDGE: Where in the record is
16 that?

17 MS. TARASSOVA: Give me just one second.
18 CX 114 is actually a deposit printout and the
19 complainants on August 13, 2013 wired \$5,000.00
20 and it has a reference number here. That is what
21 the complainants are alleging that is the proof
22 that they paid the \$5,000.00 for the trailer. A

1 couple of days after they paid the \$59,780.00 for
2 that invoice for the cost of the boat and a
3 delivery charge which it is unclear what the
4 delivery charge was

5 MR. CHANG: Judge --

6 JUDGE GUTHRIDGE: Yes, it was \$5,000.00
7 but a trailer was not actually purchased until
8 December, is that correct?

9 MS. TARASSOVA: According to Mr.
10 Safonov's testimony is that Mr. Solovyov had
11 contacted him again around November and stated
12 that he needed the trailer in order to transport
13 the Formula and Mr. Safonov having forgotten that
14 he already wired the \$5,000.00 ended up wiring
15 another \$4,950.00 on it looks like December 4,
16 2013. So initially it is the complainants'
17 position that they paid for the boat, paid some
18 type of a delivery charge and paid \$5,000.00 for
19 the trailer and waited for the boat to be shipped
20 and then realized the boat was not being shipped
21 because the trailer had not been purchased yet
22 Paid for trailer again under the impression that

1 the boat would be shipped and then at some point
2 cancelled the order I believe in February 2014.

3 JUDGE GUTHRIDGE: What links this
4 \$5,000.00 to a trailer? The 8/13 payment that you
5 just referenced what links that to a trailer? Are
6 these all payments to -- what links it to MTL?

7 MS. TARASSOVA: Your Honor, that's all
8 the complainants have in order to prove that they
9 wired the \$5,000.00. I'm trying to look at Mr.
10 Safonov's deposition transcript to see if he gives
11 clarification on that.

12 JUDGE GUTHRIDGE: I see a payment on the
13 9th the \$59,780.00 which lines up with the payment
14 for the boat and the delivery charge but then four
15 days later there is a \$5,000.00 payment but it
16 just says wired out 028409 but who did it go to?
17 What indicates who it went to?

18 MS. TARASSOVA: That document does not
19 indicate who it goes to, Your Honor. I believe it
20 was in Mr. Safonov's deposition transcript where
21 he described how that transaction occurred

22 MR. CHANG: Judge, if I may I think a

1 lot of this goes to the question of really which
2 party was responsible for the delay and ultimate
3 non-shipment. I understand Counsel is pinning the
4 blame on respondents for this but I think the
5 documents that are in the appendix in the record,
6 certainly and deposition transcripts and the
7 correspondence, show that respondents were
8 requested to procure a trailer for the Formula. A
9 trailer was procured by November 2013 then Mr.
10 Safonov rejected that trailer. A second trailer
11 was found by December 2013 but again for whatever
12 reason -- possibly because Mr. Safonov's problems
13 with his Dubai company made the decision at that
14 point unilaterally not to ship it to Dubai. There
15 was some correspondence in the record where he
16 indicates that he was glad that he never shipped
17 it to Dubai because that was a losing proposition
18 for him. So I don't see how Complainants can
19 really put any of the delay or the non-shipment
20 on Respondents especially when it seems like Mr.
21 Safonov certainly by December 2013 no longer
22 wanted to ship it to Dubai and we all know that

1 ultimately he wanted it shipped not to Dubai but
2 to Florida. MTL wouldn't be able to do that
3 shipment anyway. It would be an inland move from
4 New Jersey to Florida certainly not by ocean.

5 JUDGE GUTHRIDGE: I was going to ask
6 does MTL engage in domestic shipments?

7 MR. CHANG: No. There is a letter CX 74
8 undated but Complainants represented to be some
9 sort of demand for MTL to ship the boats from New
10 Jersey to Florida and that is not something that
11 MTL itself does.

12 JUDGE GUTHRIDGE: Does it require a
13 special license that it does not have or what is
14 the reason?

15 MR. CHANG: Certainly by water it
16 couldn't be done by MTL if it was traveling on
17 U.S. domestic waterways. MTL itself doesn't own
18 any trucks to perform inland domestic moves. It
19 would probably be subcontracted out to a trucker
20 designated by Complainant.

21 MS. TARASSOVA: Your Honor, I was able
22 to find in Mr. Safonov's transcript at RX 72 it

1 looks like on page 62 line 21 Mr. Safonov --
 2 JUDGE GUTHRIDGE Hold on, wait a
 3 minute. Let me find the right book.
 4 MS TARASSOVA This is the respondents.
 5 RX 72 this is the transcript, we're looking at
 6 page 62 line 21 where Mr. Safonov was asked do
 7 you remember paying for ocean freight for Formula
 8 and he says yes from bank PNC Do you remember
 9 when the payment was made? I have the bill or
 10 statement at home but I don't remember precisely
 11 but in summer in July and then it goes on to talk
 12 about the specifics about what Mr. Safonov's
 13 understanding was in shipping the boat. He goes
 14 on to talk about Mr. Solovyev stated that he
 15 thought on line 13 page 63 I thought it would take
 16 at least two months And the question is, so
 17 approximately two months afterwards do you know if
 18 the Formula was ever shipped from the U.S.?
 19 Answer No, it was not shipped from the United
 20 States question Question: By November 2013
 21 after more than two months had passed did you ask
 22 anybody why the Formula had not been shipped?

1 Answer No, I didn't ask because I knew that I
 2 was aware of what happened The question: Okay,
 3 by December 2013 were you concerned that the
 4 Formula had not arrived in Dubai yet? Answer.
 5 No, I was not concerned that it didn't make it
 6 because initially we were trying to agree on the
 7 shipping cost of the Formula 24 boat So Solovyev
 8 was supposedly trying to find proper shipping
 9 container because it was big and we knew that
 10 because Formula boat is bigger and is more than 24
 11 feet so there is no shipping container as in to
 12 put it in. The size of boat has to be mounted or
 13 somehow on the deck of the ship lower deck.
 14 Solovyev, in order to have it shipped on the deck
 15 of the ship it has to be installed on that
 16 trailer Solovyev was looking or trying to find
 17 that size of a trailer so the boat could fit
 18 Also I asked him to find a car or truck actually
 19 that would be capable of towing the trailer with
 20 this boat Question: Do you remember when you
 21 asked Mr. Solovyev to find such a trailer?
 22 Answer Initially he offered some trailer that he

1 found in November but I didn't like that trailer.
 2 Question: Did you eventually agree on a trailer
 3 with Mr. Solovyev? Answer Yes, in December he
 4 sent me picture good or proper trailer I think
 5 it is suitable and I paid for that trailer.
 6 Question Did you contact or communicate with Mr.
 7 Solovyev at that time to instruct him to ship the
 8 boat to Middle East? Answer No, I did not
 9 continue that because at that time I noticed that
 10 his friend Andrey Trecyakov started to become a
 11 crook or crooked activities stealing, hiding. I
 12 noticed that so at that point I decided I don't
 13 want to deal with the crooks so I instructed him
 14 to ship the boat to Miami So it looks like in
 15 December is when he canceled the shipment to
 16 Dubai But throughout the time it is evident from
 17 Mr. Safonov's statements that he was under the
 18 impression that Mr. Solovyev was putting efforts
 19 into shipping the boat overseas
 20 MR CHANG I disagree with that
 21 characterization based on the transcript. The
 22 final question and answer that was read indicated

1 that Mr. Safonov had at no time instructed Mr
 2 Solovyev to ship the boat to the Middle East The
 3 transcript testimony that was just read only
 4 reflects the efforts by Mr. Solovyev to procure a
 5 trailer and that's it
 6 JUDGE GUTHRIDGE Okay, he that all as
 7 it may, it may very well be that the Commission
 8 doesn't have any jurisdiction over the Formula or
 9 what happened to the Formula because it was never
 10 shipped internationally. It was received by MTL
 11 at some point or by somebody and it goes back
 12 maybe to sort of the casual way in which both
 13 parties treated this, their whole relationship
 14 But where Complainant has to prove by a
 15 preponderance of evidence a violation of the
 16 Shipping Act it has to be --
 17 MS TARASSOVA Your Honor, if I may
 18 JUDGE GUTHRIDGE: Let me finish It has
 19 to involve transportation by water and it has to
 20 involve and international shipment and the Formula
 21 was never shipped internationally That is the
 22 sticking point I have on the Formula

1 MS. TARASSOVA: If I may respond to
2 that.
3 JUDGE GUTHRIDGE: Sure.
4 MS. TARASSOVA: 46 U.S.C. 41102 (c)
5 which is titled Practices and Handling Property
6 states that a common carrier, marine terminal
7 operator, ocean transportation intermediary may
8 not fail to establish, observe and enforce just
9 and reasonable regulations and practices relating
10 to, connected with, receiving, handling, storing
11 or delivering property. So it is obvious that if
12 it never made it overseas -- I mean if it never
13 made it overseas does not mean that the
14 respondents do not have a duty to establish
15 reasonable practices in receiving, handling and
16 storing the boats. There are four separate duties
17 under the statute so delivering the property is
18 just one of them. But receiving, handling and
19 storing are three other ones.
20 JUDGE GUTHRIDGE: What was not
21 reasonable about what they did?
22 MS. TARASSOVA: They submitted the

1 property --
2 JUDGE GUTHRIDGE: Assuming MTL had
3 assumed control of the property even if it had not
4 shipped it overseas
5 MS. TARASSOVA: Right, it seems what MTL
6 did was they gave possession over to World Express
7 and Connection and allowed --
8 JUDGE GUTHRIDGE: That assumes that MTL
9 had assumed control of the boat to begin with. I
10 guess what would -- with the other boats that were
11 shipped and let's say the 2008 Chaparral and the
12 2011 Monterey the parties basically we're talking
13 here about Safonov and Solovyev went on the
14 internet, had this deal. Safonov said I want to
15 buy this boat, Solovyev would handle the purchase
16 of the boat through his Car Express company and at
17 some point acting as agent as I understand it for
18 MTL the transportation would be arranged. So did
19 MTL have any responsibility for the Monterey
20 before the creation of the contract of carriage or
21 until that point was the custody of the boat of
22 the 2011 Monterey in either Car Express or one of

1 Solovyev's other companies and did not go to MTL
2 until there was actually an arrangement of
3 transportation. I think for what you're saying,
4 Ms. Tarassova, there is a presumption that once
5 the purchase was made from Copart and the boat
6 started its winding its way from -- I think it was
7 stated that it was purchased in Brookhaven, New
8 York -- that MTL assumed custody somehow or other
9 at that point, but did it? It may not -- and it
10 is the same with the Formula. Until there is an
11 actual agreement to transport the cargo by water
12 to a foreign port then had MTL a separate company
13 actually assumed any responsibility at all for the
14 Monterey or did it ever assume responsibility for
15 the Formula?
16 MS. TARASSOVA: For the Formula, yes,
17 Your Honor, and it is evidenced by the invoices
18 that MTL purports to have paid to World Express
19 for the Formula.
20 JUDGE GUTHRIDGE: That's true yes.
21 MS. TARASSOVA: So what we have here is
22 MTL is purporting to have paid World Express over

1 \$40,000.00 from the time the boat was purchased
2 So I cannot see it any other way. Why would MTL
3 take the responsibility and make payments for this
4 Formula. Why would MTL that was not -- if we look
5 at the respondents' position that they were not
6 engaged in any kind of shipment activity that they
7 haven't booked anything or didn't even had it in
8 their system why would MTL pay World Express over
9 \$40,000.00 in storing the boat if it was not
10 responsible for it? That is my issue. I mean we
11 have invoices that are stamped paid.
12 JUDGE GUTHRIDGE: Response, Mr. Chang?
13 MR. CHIANG: This question was actually
14 posed at the deposition of Ms. Alla Solovyev on
15 behalf of MTL. The answer is that it was simply
16 part of their commercial relationship where these
17 invoices would be sent by World Express to MTL for
18 goods that were for lack of a better word passed
19 along through MTL. I think the real question here
20 as far as Shipping Act jurisdiction is whether MTL
21 was acting as a common carrier. Whether it was an
22 NVOCC or an OTI, and in order to do so MTL would

1 have had to assume responsibility from either port
2 to port or port to point and that is the
3 responsibility that is governed by their bill of
4 lading or their contract of carriage. I think in
5 this situation certainly when there is no bill of
6 lading that ever issued Complainants can't say
7 that MTL assumed responsibility for an ocean move.

8 JUDGE GUTHRIDGE: But we do have the
9 situation where the NVOCC did unarguably as
10 evidence by its paying the storage fees. Some
11 responsibility for the boat and had it in its
12 custody and how does that does that affect -- I
13 appreciate the fact that the Commission can only
14 operate where it has jurisdiction and generally
15 that does require the contract of carriage, the
16 bill of lading having been issued. Some agreement
17 to actually transport it. Here we have sort of an
18 Inco aid agreement to transport it. The question
19 is whether that inchoate agreement and of course
20 conduct with at least two other boats and maybe a
21 whole bunch of others so it adds a wrinkle to
22 that. I don't know. I'm going to have to think

1 about this

2 MR. CHANG: Judge, I really think we're
3 looking at two questions and the first question
4 which might answer your question to me is whether
5 or not a warehouse, let's say for World Express in
6 this example, has responsibility for the storage
7 and I think the answer obviously is yes. But that
8 responsibility isn't Shipping Act responsibility
9 or carrier responsibility but simply the
10 responsibility of a warehouse that was hired for
11 storage.

12 JUDGE GUTHRIDGE: You're talking about
13 World Express and what Ms. Tarassova is talking
14 about is the fact that MTL appears to have paid
15 those storage fees. Why did MTL think it had an
16 obligation to pay storage fees if it wasn't
17 somehow responsible for the boat?

18 MR. CHANG: I think the answer really is
19 that it was part of the practice and the
20 relationship between MTL and World Express. When
21 World Express would generate these invoices MTL
22 would pay them sort of as a matter of course.

1 because they do have a working relationship.

2 JUDGE GUTHRIDGE: So because of a course
3 of conduct between World Express and MTL is this
4 what you're saying, that MTL sort of paid them
5 without thinking or what? I don't know why an
6 NVOCC would be paying storage fees for a boat for
7 which it does not believe it has any
8 responsibility, that is hasn't somehow received in
9 contemplation of transporting overseas. Whether
10 even having done that whether that puts it within
11 Commission jurisdiction I don't know.

12 MR. CHANG: Well, Judge, I wouldn't say
13 without thinking but the process we were told is
14 automated. It perhaps was an oversight by someone
15 in the payment department having received an
16 invoice to just assume it was paid. That I don't
17 have a clear answer for you, Judge, but we do
18 disagree that having paid these invoices to the
19 warehouse somehow brings MTL within the purview of
20 the Shipping Act.

21 JUDGE GUTHRIDGE: For the Formula?

22 MR. CHANG: For the Formula, yes. And

1 with regard to the other two boats where it was
2 acting as a consignee only and we think whatever
3 circumstantial evidence Complainants are relying
4 upon show that MTL arranged for the carriage in
5 pretty thin at best and at worst we think there
6 may be some misrepresentation by Mr. Safonov
7 Certainly at odds with the documents and
8 correspondence in the record.

9 JUDGE GUTHRIDGE: As part of the record
10 is the District of New Jersey case World Express
11 and Connection vs. Crocus Investments, Crocus
12 FZE, Safonov and Middle East Asia. Is that for
13 the storage fees for the Formula?

14 MR. CHANG: Yes, Judge. It is the
15 outstanding storage and other charges for the
16 Formula and all three boats. We brought it in a
17 different form because it has sort of a
18 contractual maybe common law tort dispute.

19 JUDGE GUTHRIDGE: I understand there is
20 District Court jurisdiction over disputes like
21 that but why was it filing suit if it had already
22 been paid by MTL?

MR. CHANG: There were payments on some of the storage charges but not all and not all the customs charges either. Some charges were paid by MTL first with later reimbursement by other parties but I hope that answers your question.

JUDGE GUTHRIDGE: I guess the question would then become if MTL was paying -- paid some of the fees and then stopped paying the storage fees why didn't World Express sue MTL for them? By their course of conduct MTL had sort of assumed responsibility for them. I know World Express is not your client, MTL is your client.

MR. CHANG: In this context I think we can speak for both and I think the answer to that is just because of their close knit commercial relationship. World Express is a warehouse that is located by MTL or at the same lot which MTL uses as their preferred container freight station. So it didn't make sense to pursue MTL when a demand has been made for these boats by Complainant, Mr. Safonov, and as part of that demand Safonov would be obligated to pay the

storage to World Express. Had it been the other way around and no demand had materialized by Mr. Safonov and World Express was stuck with three boats that had no ties to anybody then perhaps we may be speaking of a different lawsuit.

JUDGE GUTHRIDGE: Okay. I think I've got some thinking to do about this case but so I think we're going to adjourn pretty soon but before we do, Ms. Tarassova, would you like to wrap up your position?

MS. TARASSOVA: Sure, Your Honor. To wrap up our position we just want to state that if it wasn't for the respondents' position specifically for MTL's position as a Non-Vessel Operating Common Carrier and its ability to provide international shipping services to the complainants the respondents would never have come into possession of the complainants' property. As far as the Monterey and the Chaparral it is the complainants' position that Solovyev as he had prior had assisted the shipment of the two boats from Dubai back to the United States just as he

has arranged all the shipments of the other boats from the United States to Dubai. Mr. Solovyev was very well versed in international shipment in the field of international shipping. The complainants relied on Mr. Solovyev to assist them in that and were not proficient in that area. That is evidenced by Mr. Safonov's email to Mr. Solovyev asking him to assist him and Solovyev acquiescing and attempting to get several quotes from various carriers in order to ship the boats from Dubai to New Jersey. Even though we do not have any documentation that would connect Mr. Solovyev for MTL into actually arranging the shipment that actually did occur from Dubai to New Jersey we do have evidence of MTL assuming responsibility for the cargo when it arrived paying the duties and the customs fees and taking possession of the boats, submitting them to World Express and Connection storage company which is owned by Solovyev and MTL continuing paying for the storage of all three boats. With regard to the Formula it was, again, came into possession of

the respondents in connection with MTL's position as an NVOCC. There was contemplation from the very beginning that the boat be shipped overseas to Dubai. It is supported by the record with Mr. Safonov in his deposition testimony explaining how Mr. Solovyev was explaining that the boat would need to be shipped in a specific way and he was attempting to figure out how but the entire time from August 2013 to approximately December 2013 when Mr. Safonov cancelled the order it was contemplated that the boat would be shipped to Dubai. It is also supported by the invoices where MTL took responsibility for paying for the Formula storage fees to World Express and Connection. 46 U.S.C. 41102 (c) states that the NVOCC is responsible for setting up just and reasonable practices in connection with not only delivering the property overseas but receiving, handling and storing the property. That is something that the NVOCC needs to be responsible for because it is assumed that when the property is submitted to a carrier the carrier needs to handle the property

1 in a respectful manner. What we have here is the
 2 respondents came into possession of the
 3 complainants' property and instead submitted it to
 4 another company and now these three boats that are
 5 worth over \$100,000.00 are just sitting in the lot
 6 and accumulating storage fees it resulted in a
 7 lawsuit being filed against the complainants for
 8 over \$100,000.00 and MTL should have sent the
 9 appropriate notices. They should have notified
 10 the complainants that storage fees would be
 11 accumulating and the amount of such storage fees
 12 and they should have allowed the complainants a
 13 reasonable opportunity to retrieve their property
 14 back. It is our position that the respondents did
 15 violate the Shipping Act and if it wasn't for
 16 their position as international shippers they
 17 would never have come into custody of the
 18 complainants' property.

19 JUDGE GUTHRIE: Okay, thank you Mr.
 20 Chang?

21 MR. CHANG: Yes, Judge I guess, first in
 22 regard to the 2010 Formula boat I think the record

1 is clear that MTL was never engaged as a
 2 Non-Vessel Operating Common Carrier. Certainly a
 3 shipment was never booked with MTL, ocean freight
 4 was never paid, no booking or shipping
 5 documentation was ever generated and even it had
 6 been generated it would have been for a port to
 7 port move which has been a practice between the
 8 parties. Under those circumstances we don't see
 9 that MTL is really, again, within the purview of
 10 the Shipping Act nor would MTL be liable as an
 11 NVOCC for any of its actions. I think aside from
 12 that there is also a causation question with
 13 regard to any alleged violation of the Shipping
 14 Act and Counsel just mentioned that allegedly
 15 because of the Shipping Act violations
 16 Complainants had been damaged when I think the
 17 facts are pretty clear that the complainants had
 18 been damaged because of their refusal to pay
 19 storage. It is not a question of whether MTL as an
 20 NVOCC or as a warehouse or whatever role
 21 mistreated the cargo or failed to take proper care
 22 of the cargo it is simply a question of who is

1 responsible for paying for over a year of storage
 2 of the Formula. Complainants' position which we
 3 think is unreasonable is that somehow respondents
 4 are responsible for paying this storage. With
 5 regard to the other two boats and those are the
 6 2008 Chaparral and the 2011 Monterey, we think,
 7 again, the record is pretty clear if not
 8 undisputed that both boats were shipped by a
 9 different ocean carrier. Again, that is American
 10 President Line. And MTL certainly has no role in
 11 any of the documents in having engaged in
 12 arranging for this transportation. To the
 13 contrary MTL is listed only as the consignee which
 14 is the recipient of the cargo. They're not listed
 15 as the shipper, they're not listed as the
 16 forwarding agent, there is no documentation or
 17 correspondence that ties MTL to arranging for this
 18 move. To the contrary the emails that were
 19 provided by Complainant show pretty clearly that
 20 Mr. Solovyev's limited involvement was in
 21 obtaining two freight quotes with Hapag-Lloyd and
 22 with Mediterranean Shipping Company. These two

1 freight quotes were disregarded by Middle East
 2 Asia. Under that circumstance we don't see how
 3 simply being a consignee or being a warehouse
 4 again implicates the Shipping Act or any Shipping
 5 Act violation.

6 Even under complainants' theory, again, it
 7 is not that the cargo was treated unreasonably or that
 8 proper care wasn't taken of the cargo in storage.
 9 Complainants' only real complaint is that Complainants
 10 feel they shouldn't be liable for storage or customs
 11 charges or any import charges. We don't think there
 12 is any legal grounds for that either.

13 So on a final note and as we mentioned
 14 earlier there is a real question about the
 15 credibility or weight of some of these documents
 16 that were submitted. There are multiple letters
 17 that are undated.

18 It seems that every time a critical or
 19 material letter is involved it is not sent by
 20 email which is the practice of the parties but on
 21 this separate letter attachment sometimes with
 22 multiple English and Russian translations written

thereon doesn't compose with practice either. I think it is well established that Complainants filed an original complaint which they alleged that MTL had never shipped any of the three boats in what we assume was an attempt to bring in the Shipping Act and of course that fact has subsequently or has always been known to be untrue.

Just recently Complainant submitted the certification where they make references to some sort of conversation or agreement by Mr. Solovyev and MTL for the import return shipment of the two boats and those allegations are contradicted by the correspondence as well. So it really -- to us there seems to be a question about what evidence should be considered by the Commission in terms of deciding this case.

JUDGE GUTHRIDGE: Ms. Tarassova, do you have any rebuttal to any of that limited solely to Mr. Chang's argument and responding to his argument?

MS. TARASSOVA: Your Honor, I hadn't

I think that the documents speak for themselves. I think the Commission should take care in reviewing all of the email communications that were submitted. I think it is very clear as to their credibility and I think that obviously we could raise the same issue as far as the credibility of the respondents' invoices for example, but I think the totality of the evidence shows a clear picture and I think that it supports the complainants' position that the respondents are in violation of the Shipping Act and they did take responsibility for these boats and their actions show that they continue to take responsibility for the boats by making certain payments or at least alleging to make certain payments on behalf of the complainants for the storage of the property.

JUDGE GUTHRIDGE: Okay, well thank you Counsel. It is a case like none other I've had here. It raises some peculiar problems. I do appreciate you taking the time to call in and thank you for your argument. We can go off the record.

(Whereupon, at 5:30 p.m., the HEARING was adjourned.)

* * * * *

CERTIFICATE OF NOTARY PUBLIC
DISTRICT OF COLUMBIA

I, Carleton J. Anderson, III, notary public in and for the District of Columbia, do hereby certify that the foregoing PROCEEDING was duly recorded and thereafter reduced to print under my direction; that the witnesses were sworn to tell the truth under penalty of perjury; that said transcript is a true record of the testimony given by witnesses; that I am neither counsel for, related to, nor employed by any of the parties to the action in which this proceeding was called; and, furthermore, that I am not a relative or employee of any attorney or counsel employed by the parties hereto, nor financially or otherwise interested in the outcome of this action.

(Signature and Seal on File)

Notary Public, in and for the District of Columbia
My Commission Expires: March 31, 2017

